# What Prices Reveal About Hidden Trader Populations, and What Identifying Them Costs

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**Abstract**

Can market prices tell apart groups of traders who react to past prices at different speeds? In a linear market model in which several groups follow prices with exponentially fading memory and their combined orders move the price, prices reveal only one combined summary of the groups, so groups with the same memory cannot be told apart from any amount of data. Groups with different memories can be told apart, but the cost rises steeply as their memories approach: for $K$ unknown groups whose memories are $\Delta\eta$ apart, the number of controlled experiments grows as $(\Delta\eta)^{-(4K-2)}$, with matching bounds on suitably rich classes (for two groups, halving the spacing multiplies the data needed by 64), and watching without trading needs at least as many observations. For a known pair, the trading capital needed rises sixteen-fold each time their difference is halved. Records that report each group's flow separately keep the problem well conditioned. In a stylised supervisory decision, sizing a market-wide limit needs only the combined response, while deciding whether halting one group is enough inherits the full cost of separating the groups. In pre-specified tests, published trader-class positions in eight CFTC futures markets, and Binance class data in 29 of 29 new markets, pin down a position persistence that prices leave open. We do not show that this persistence is learning memory; a pre-specified test of what prices do reveal failed, and class data did not improve return forecasts.

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**Research status update: 30 October 2026.** This development revision records a verified returned synthetic experiment and a dated work register at the end. The new audit supports a conditional finite-horizon financial decision result, not general profitability or real-market safety. Earlier theoretical and historical claims are retained with their stated assumptions; this update does not independently verify every proof or rerun every earlier empirical study. Novelty, full proof review, economic information acquisition and the public-data bridge remain open.

**Keywords:** algorithmic trading, identification, trader heterogeneity, market microstructure, system identification, minimax sample complexity, value of disclosure, audit trails.
**JEL:** C14, C32, C58, D83, G14, G18.

**Reproducibility.** Every number in the paper is produced by a script or notebook cell that writes a result file from public data or from a closed form; Appendix S.9 maps each table, figure and number to its source. The specifications of the October 2026 follow-up tests (Section 7 and Section 8.5) were committed to the repository before their test data were downloaded; because each specification reached the public repository in the same push as its results, that order is documented by the commit history rather than by an independent timestamp. "Registered" or "pre-specified" in this paper means that the authors wrote the specification and committed it to the public repository before opening the test data; because specification and results reached the repository in the same push, this is the authors' declaration, not independent preregistration. The proofs have been checked by the authors and against numerical computations; they have not yet been independently reviewed or formally verified, and the numerical checks reproduce results with the same code unless stated otherwise. The results whose proofs most need an independent check are Theorems 6.5, 6.8, 6.10, 5.1 and 5.3. Numerical constants such as the capital bounds are computed at a declared parameter set and are not separate theorems.

# 1 Introduction

Markets are increasingly run by algorithms. Trend-following funds, market-making programs, execution algorithms and, more recently, AI trading agents all read recent prices, decide what to trade, and by trading move the prices they read. When something goes wrong, a sharp sell-off, a sudden loss of liquidity, a crowded trade unwinding, the first questions supervisors and risk managers ask are who was trading and how. Which group of traders drove the move? How quickly do they react, and how long do they remember what prices did? Could the same group do it again?

This paper asks how much of that can be learned from what everyone can see, prices and anonymous order flow, and, when public data are not enough, what it costs to find out in other ways.

The question matters now. Trading is passing to learning algorithms and AI agents (Colliard et al., 2022; Dou et al., 2025), and regulators have begun to require firms to say which algorithm sent each order. Under MiFID II, EU trading venues must keep order records that identify the person or algorithm responsible for each investment and execution decision (European Commission, 2017; ESMA, 2016). The US Consolidated Audit Trail (CAT) is designed to record each order in US-listed stocks and options, and the account behind it, across exchanges and broker-dealers; its revised 2026 budget, published in March 2026, is about $147 million (SEC, 2012; CAT LLC, 2026). Such systems serve many purposes, among them enforcement, rebuilding market events after the fact, and surveillance. One question they raise, and the one we study, is how much of the information about who drives price moves could instead be learned from public data, and at what cost.

**The short answer.** Prices tell an observer less than one might hope, and sharpening what they do tell is expensive.

- Prices reveal one combined summary of all the trader groups, not the groups themselves. Two groups that react to prices with the same memory look exactly like one larger group, however much price data is collected (Theorem 3.1).
- Groups with different memories can be told apart in principle, but the data needed grow very fast as their memories get closer. For two unknown groups, halving the difference between their memories multiplies the data needed by 64; for three groups, by 1,024 (Theorems 6.4 and 6.5).

- Records that report each class's flow separately remove this problem. Each group then becomes an ordinary estimation problem that stays well conditioned however similar the groups are (Proposition 8.1).

We keep three statements apart throughout: what cannot be learned at all, what can be learned but only at high cost, and where estimates become unstable.

**Why prices hide the groups.** The reason is the feedback loop. Algorithms trade on recent prices, their orders move prices, and those prices feed back into the algorithms. We model each group as tracking the price with a fading memory: recent prices count most, older prices count less, and one number, the group's memory rate, sets how fast the past fades. A desk behaves exactly this way if it uses a Kalman filter or a regularized online learning rule (Lemma 2.1). Because every group reaches the price only through the sum of all their trades, the price records the total and loses the parts. Think of several people pushing the same door: from the door's movement one can learn the total push and how it builds and fades, but two people who push in the same rhythm look like one stronger person.

**Three ways to learn more, and what each costs.** An observer that wants to know more, whether a supervisor, an exchange's surveillance team or a large trading desk, has three options (Section 2.2).

(a) *Wait and watch prices.* This costs time. In a stationary Gaussian market observed without error, a passive observer needs at least as many observations, in order of magnitude, as an active one needs experiments (Theorem 6.10).

(b) *Trade against the groups* and watch how the price responds, much as one taps a wall to find a hidden beam. Every test trade moves the price against the trader, so learning this way costs money. To tell one group from two groups whose memory rates differ by $2\delta$, the quantity traded grows like $1/\delta^2$ and the capital at risk like $1/\delta^4$: halve the difference and the capital needed rises sixteen-fold (Theorems 4.1 and 4.3). If memory is a general mixture of fading memories rather than a few exponentials (with the slowest bounded away from a random walk), accuracy improves only with the logarithm of the data, so halving the error squares the data needed (Theorem 6.8).

(c) *Acquire labelled records*, such as audit-trail data or class-level position reports. This costs whatever the reporting system costs, but it removes the explosion in data:

labels save a factor of order $(\Delta\eta)^{-(4K-2)}$ at fixed accuracy, where $K$ is the number of groups and $\Delta\eta$ the spacing of their memory rates (Theorem 8.2).

Proposition 8.3 says when each option is the cheapest.

**How large are the costs? A hypothetical illustration.** To give a sense of scale we price the trading option in a hypothetical benchmark. The model parameters are illustrative; only the size of the measurement noise is estimated, from Bitcoin data. An outside participant that re-learns two unknown algorithms each week with test trades would lose at least \$15 million to \$356 million a year per market; with three unknown algorithms it would lose more than \$40 million a year per market even when their memories are far apart (Section 8.2). These are lower bounds for one stated way of learning, not estimates of what any regulator spends: regulators do not trade to learn. They are best read as the price of the information that labelled records deliver without any trading.

**Why this matters for finance.** The results point in a constructive direction for several groups of readers.

- *Supervisors and policymakers* get a way to decide what data to require. If the goal is only to watch overall price risk, public prices are enough, because the combined price response is learned at the ordinary rate (Remark 6.3). Labelled records earn their cost when supervision must be targeted, for example when one algorithm must be paused while the others keep supplying liquidity, and when the reporting system covers enough markets to share its fixed cost (Proposition 8.3). In our stylised cost model this illustrates a possible economy of scale for market-wide reporting; it does not explain the legal design of regimes such as CAT. For the narrow task of attributing behaviour to classes, a persistent pseudonymous label is enough, which bears on how much personal data such a task needs but not on what enforcement needs (Section 11). Proposition 8.4 gives a stylised decision in which this matters: the size of a market-wide measure depends only on the combined response, while deciding whether halting one group is enough needs that group's own intensity and inherits the full cost of separating the groups.
- *Exchanges and trading venues*, which already see account-level flow, learn which questions about their participants public prices cannot answer, and why publishing class-level positioning, as some crypto venues already do, adds information that prices do not contain.

- *Risk managers and trading desks* get a realistic limit on what can be inferred about other traders or about crowding from market data, and a warning that common feedback measures computed from public data mostly reflect filtering and timing rather than true feedback (Section S.5).
- *Researchers* who estimate models with several trader types get one reason why the parameters that separate the types are often imprecise, and a number that says how precise they can be before any estimation (Section 1.1).

**What the data show.** Two real reporting systems let us check the main prediction, that class records pin down what prices leave open. The U.S. Commodity Futures Trading Commission collects positions from large futures traders and publishes a weekly snapshot of them, aggregated by trader category. In a pre-specified test in eight futures markets (CME Bitcoin and Ether, the E-mini S&P 500, 10-year Treasury notes, the euro, the yen, crude oil and natural gas), these class positions pin down the persistence of the designated speculative class's positions to a range 9 to 71 times narrower than weekly prices allow, while prices alone leave it almost anywhere in the admissible range (Section 8.4). On Binance, in a pre-specified test on 30 markets never used before that matches the memory horizon of the two routes, the class data give the narrower interval in 29 of 29 evaluable markets, by a median factor of 7.3 (Section 8.5). These comparisons are descriptive: a position series reveals its own persistence directly, while the price route must infer it. Several predictions failed, and Table 1 lists them next to the ones that passed. The data therefore show what prices cannot pin down. They do not show that this persistence is the learning memory of the model.

**Two supplementary results.** Neither is needed for the main results. Markets with the same eigenvalues, the same one-step volatility and the same long-run price variance can still have very different worst-case short-run losses, so watching eigenvalues or volatility cannot replace knowing who trades (Theorem S.4.1). And standard feedback measures computed from public data mostly reflect filtering and clock alignment: two fee changes that moved trading volume by factors of 2.6 and 4.9 left measured feedback unchanged (Section S.5).

**Contribution.** A large literature asks how transparency affects liquidity and trading costs (Pagano and Röell, 1996; Boehmer et al., 2005; Bessembinder et al., 2006). We ask a different question, what disclosure lets an observer learn about the traders behind price

Table 1: What the empirical tests found: passes and failures

| Test | Prediction | Result |
|---|---|---|
| CFTC, 8 markets, H1 | Class positions pin down a persistence that weekly prices leave open | Pass, 8 of 8 |
| CFTC, H2 | The designated speculative class trend-follows | Fail, 4 of 8 (three markets have the opposite sign) |
| CFTC, H3 | That class has the less persistent positions | Pass, 6 of 8 (two indistinguishable) |
| Binance, 30 fresh markets, (i)–(ii) | Class data restrict persistence; price-only intervals wide | Pass, 30 of 30 (one-hour price kernel) |
| Binance, same test, (iii) | Prices pin down the combined response | Fail, 5 of 30; the test failed its 80% criterion |
| Binance, 30 new markets | Horizon-matched: class interval narrower | Pass, 29 of 29 evaluable (median factor 7.3) |
| Binance, same test, secondary | Class persistence is a stable memory | Not supported: close to a random walk after bias correction |
| Binance, 105-day follow-up | Combined response far cheaper to learn than the separate rates | Fail, 10 of 30 (23 required) |
| Binance, 58-day follow-up | Tagging advantage grows with the sample; parametric shrinkage | Pass, 22 of 29; fail, 20 of 29 (22 required) |
| Binance, return forecasts | Class memory states improve 30-minute return forecasts | Fail ($\Delta R^2 = -1.09$ points, inconclusive) |
| Binance, state tracking | Class data track class positions better than prices | Pass, but explained by persistence of the target |

moves, and make three contributions. First, we show that a closed-loop price process identifies only the combined distribution of the trader groups' memories and weights, and nothing finer (Theorem 3.1). Second, we price what it takes to go further under stated observation contracts, in experiments, observations, executed quantity and trading capital, with matching upper and lower bounds where we can prove them (Sections 4 and 6). Third, we measure the value of class-level records in the same units and test, with published class positions, the part of the prediction that public data can test, reporting the failures alongside the passes (Section 8). The mathematical tools, moment matching, two-point testing and Prony-type estimation, are known from mixture estimation and signal processing; what is new is their closed-loop, passive and financial form (Section 1.1).

**How to read the paper.** Every main result is stated formally and then explained in a short paragraph headed "In words", which says what it means for a trader or a supervisor; proofs are in the appendix. Section 4.5 works through two desks that use Kalman filters, in numbers, and Table 24 maps each question to its answer. Readers who want the finance first can read this introduction, Section 2.2, the worked example and Section 8, and take the statistical results as given. Table 2 explains the main symbols.

**What we do not claim.** The identification results hold for the stated linear model and for the stated observation contracts, that is, for what the observer is assumed to see. The

Table 2: The main symbols in plain words

| Symbol | Meaning |
|---|---|
| $K$ | Number of trader groups ("cohorts") |
| $\eta_i$ | Group $i$'s learning rate: the weight it puts on the newest price. Large $\eta_i$ means a short memory and fast reactions; small $\eta_i$ means a long memory |
| $r_i = 1 - \eta_i$ | Group $i$'s memory rate: the share of last period's view that survives |
| $q_i$ | Group $i$'s trading intensity: how strongly it trades on its view. Positive $q_i$ means it buys when the price is above value, as trend followers do |
| $\Delta\eta$, $2\delta$ | How far apart the groups' learning rates are ($\Delta\eta$ for unknown groups, $2\delta$ for a known pair) |
| $a$, $\kappa$ | How persistent pricing errors are, and how far one unit of net order flow moves the price |
| $M$ (merged measure) | The combined summary of all groups that prices reveal: where the memories are and how much trading sits at each |
| $N$ | Number of experiments (test trades from a fresh start) or observations |
| Par units | The model's own unit of quantity and money, before conversion to USDT (Table 9) |

model treats price impact and the persistence of pricing errors as known primitives rather than solving a dealer equilibrium, and it assumes the observer knows the fundamental value; real data meet neither assumption. They are not general limits on surveillance with participant-level records, which can be far more informative (Propositions 4.4 and 8.1). The matching upper bound holds on a class with separated rescaled rates and weights bounded away from zero. Capital figures depend on the observation-noise calibration, which we estimate rather than assume. The empirical results are reduced-form diagnostics; they do not identify structural learning parameters. Our pre-specified real-data test of the identification boundary failed its criterion on one of its three parts: on 42 days of data the merged response was precisely estimated in only 5 of 30 markets (Section 8.5). Binance's class ratios are positions, not tagged order flow, so they are the closest public analogue to the disclosure of Proposition 8.1, not an instance of it. We hold the algorithms' memories and intensities fixed across disclosure regimes; disclosure that reveals positions may lead informed desks to trade less or to split orders across accounts, which we do not model.

## 1.1 Related literature

**Algorithms, AI and supervision.** Recent work in finance asks how learning algorithms and AI agents behave in markets: reinforcement-learning market makers and informed traders can sustain wide spreads or collusive outcomes (Colliard et al., 2022; Dou et al., 2025), prices formed against Q-learners have distinctive dynamics (Banerjee and Szydlowski, 2026), and algorithmic markets can be manipulated (Tremacoldi-Rossi, 2025). Traders who differ in horizon or speed are studied in equilibrium by Cespa and Vives (2015) and Biais et al. (2015), and Crouzet et al. (2020) model investors who trade at different frequencies. These papers model or simulate the algorithms. We take the

supervisor's side and ask what can be learned about them from market data, and what disclosure is worth. A related literature measures the cost of regulation and of regulatory reporting (Trebbi et al., 2024); our dollar comparison with the Consolidated Audit Trail is a statement about the benefit side: what the audit trail buys that prices cannot.

**Price formation and impact.** Our price equation is a discrete linear impact model in the tradition of Kyle (1985), Glosten and Milgrom (1985) and Hasbrouck (1991), in which order flow moves prices and prices revert toward value. Transient impact and the cost of trading follow Almgren and Chriss (2001), Obizhaeva and Wang (2013), Gatheral (2010) and Bouchaud et al. (2004); Gatheral (2010) shows that absence of dynamic arbitrage requires a positive-definite decay kernel, Alfonsi et al. (2012) that excluding transaction-triggered manipulation requires convex, nonincreasing decay, and Alfonsi et al. (2016) extend positive definiteness to several assets. Positive definiteness is the property Lemma 4.2 delivers in our cohort economy. Bouchaud et al. (2018) document order splitting and long memory in order flow, which is the main confounder in Section S.5. Relative to this literature we treat the impact kernel not as a primitive but as the closed-loop output of adaptive traders, and ask what it reveals about them.

**Algorithmic trading and feedback.** Algorithms that react to recent prices can amplify or dampen moves. Brunnermeier and Pedersen (2009) and Shleifer and Vishny (1992) study liquidity spirals and fire sales, and Kirilenko et al. (2017) document the behaviour of automated intermediaries in the 2010 Flash Crash. Sornette et al. (2023) show that non-normal interactions can generate transient bubbles. Our contribution is on the measurement side: we show what a closed-loop observer can and cannot learn about the feedback, and that standard reduced-form indices are dominated by filtering and timing.

**Learning algorithms and what can be inferred about them.** Empirical game-theoretic analysis treats the choice among simulated trading strategies as a game (Wellman, 2006). Empirically, algorithmic trading has been found to improve liquidity and price discovery on average (Hendershott et al., 2011; Brogaard et al., 2014). These studies simulate the algorithms or observe them through regulatory data; we ask what an outside observer can infer about them from market data alone, and answer in samples and in capital. Our stance is that of partial identification (Manski, 2003): when the structure is not identified, characterize what the data do determine, here the merged measure and, through it, the intensity-weighted distribution of the desks' information quality (Proposition 4.6).

**Control without identification.** We do not claim that acting on a system without identifying it is new. Moallemi et al. (2008) study strategic execution against an observer who learns from prices, which bears directly on our assumption that cohorts do not react to being observed, and Park and Van Roy (2015) study execution that learns price impact while trading, with regret guarantees; our object is different, the latent trader cohorts behind the impact rather than the aggregate impact coefficients. Active identification of linear systems has matching bounds and optimal experiment design (Wagenmaker and Jamieson, 2020), and task-directed exploration asks what must be learned for a decision (Wagenmaker et al., 2021); our information matrix differs because the unknowns are zeros of a closed-loop response and the input is paid for in trading losses. van Waarde et al. (2020) characterize when control is possible without unique system identification. Our results concern a specific market observation contract and its costs in executed quantity, capital and money.

**Closest work.** The closest literature is super-resolution and moment-based mixture estimation, which gives rates for recovering clustered point sources and mixing measures from noisy moments (Moitra, 2015; Heinrich and Kahn, 2018; Batenkov et al., 2021; Liu and Ammari, 2022; Wu and Yang, 2020; Kong and Valiant, 2017). Our $K$-cohort rate is, in that language, the square of the amplitude condition number $(\Delta\eta)^{-(2K-1)}$ for $K$ clustered nodes (Heinrich and Kahn, 2018; Wu and Yang, 2020), and we do not claim the exponent as new. What changes when the mixture sits inside a closed-loop financial market is fourfold (Table 3): first, in mixture estimation and open-loop system identification the unknown rates are locations or poles of the observed law, whereas in a closed-loop market the cohorts feed back into the price, making the memory rates transmission *zeros* of the observable transfer function $H(z)$ that must first be extracted from the loop (Theorem 3.1); with $a$ and $\kappa$ known this extraction is a smooth invertible map, so it decides which method is valid (pole fitting on prices is not) rather than the rate; second, passive price observations face at least the same $(\Delta\eta)^{-(4K-2)}$ sample-complexity barrier as active probing, uniformly in the spacing, because $H(z)$ is minimum phase and the Whittle likelihood inherits the moment gap (Theorems 6.9 and 6.10); third, in a market statistical sample size translates into executed quantity $\Theta(\delta^{-2})$ and round-trip trading loss or margin capital $\Theta(\delta^{-4})$ via the self-impact Toeplitz quadratic form $\frac{1}{2}v^\top T_h v$ (Theorems 4.1–5.3); and fourth, class-tagged disclosure breaks the feedback loop cohort by cohort and cuts the sample requirement by $(\Delta\eta)^{-(4K-4)}$ (Proposition 8.1 and Theorem 8.2). Beyond the $K$-cohort case, we prove matching lower and upper bounds of exact logarithmic order

$\Theta(1/\log N)$ for general completely monotone memory (Theorem 6.8) and price the resulting disclosure savings against audit-trail budgets. Several ingredients are known in other settings, and we claim only their closed-loop, passive and financial forms: the $\delta^{-4}$ law for telling one component from two closely spaced ones is classical in resolution analysis (Shahram and Milanfar, 2005); logarithmic rates are known for mixtures of exponentials (Rebafka and Roueff, 2015) and for general mixing distributions, by the same moment-matching and polynomial-approximation technique (Wu and Yang, 2020); and labelled samples are known to be far more informative than unlabelled ones in mixture problems (Castelli and Cover, 1996).

**Estimating heterogeneous-agent models from prices.** A large literature models markets as populations of trader types that switch between forecasting rules (Brock and Hommes, 1998) and estimates such models from price data. Estimates of the parameters that separate the types are often imprecise: Amilon (2008) reports that the estimated model reproduces properties of returns but that its fit is generally poor, Franke and Westerhoff (2012) compare switching mechanisms by the method of simulated moments, and Kukacka and Barunik (2017) find the switching coefficient statistically insignificant by simulated maximum likelihood while the belief parameters are significant. These papers take the identification of the types from prices as given. Our results suggest one reason the type-separating parameters are hard to pin down: around a steady state, prices determine only the merged measure, and separating types whose memories differ by $\Delta\eta$ takes a number of samples of order $(\Delta\eta)^{-(4K-2)}$ for $K$ types (Theorems 3.1 and 6.4). The models these papers estimate are nonlinear, so this is a statement about their linearization, not a claim that their estimates are wrong; it does give a quantity, the separation of the types' memories, that bounds the precision one can expect before estimating.

**Closed-loop system identification.** Engineering has long studied identification under feedback (Ljung, 1999; Forssell and Ljung, 1999). There the object is the plant, the difficulty is that feedback correlates the input with the noise, and the remedy is external excitation that makes the experiment informative. Our problem is the reverse in two ways. The object is the feedback law (the traders), not the plant (the price), and the memory rates enter as zeros of the observed transfer function. And external excitation does not remove the difficulty: with a probe the merged measure is identified exactly (Theorem 3.1), so the barrier is not qualitative identifiability but the conditioning of the map from memories to responses, which we measure in samples, quantity and capital. In

Table 3: Comparison with finite-mixture estimation and open-loop identification

| Feature | Finite-mixture estimation (Heinrich and Kahn, 2018; Wu and Yang, 2020) | Open-loop exponential fitting (Roy and Kailath, 1989; Batenkov et al., 2021) | Closed-loop market identification (this paper) |
|---|---|---|---|
| Where rates live | Component locations / moments of density | Poles of impulse response | Transmission zeros of closed-loop $H(z)$ (Thm 3.1) |
| Active vs. passive data | i.i.d. draws only | Designed input vs. output spectrum | At least the same $(\Delta\eta)^{-(4K-2)}$ order, uniformly, via the minimum-phase Whittle gap (Thm 6.10) |
| Economic unit of cost | Sample size $N$ | Signal-to-noise ratio | Quantity $\Theta(\delta^{-2})$, trading loss and capital $\Theta(\delta^{-4})$ via $\frac{1}{2}v^\top T_h v$ (Thms 4.1–5.3) |
| Effect of class tagging | Observed component labels ($\Theta(1)$) | Separate sensor per mode | Breaks closed loop cohort-by-cohort; saves $\Theta((\Delta\eta)^{-(4K-2)})$ at fixed accuracy, $\Theta((\Delta\eta)^{-(4K-4)})$ for rates (Thm 8.2) |

finance, Leach and Madhavan (1993) show that a market maker can gain by setting prices to learn about demand, so learning through trading has an equilibrium counterpart; our probing observer is a reduced-form version of that idea without the equilibrium. In econometric terms, as $\Delta\eta \to 0$ the cohort parameters pass from strong to weak identification (Andrews and Cheng, 2012), and our rates state that passage in samples.

**Inferring trader types from market data.** Market microstructure has a tradition of inferring hidden trader populations from public data. The probability of informed trading (Easley et al., 1996) fits a mixture model to daily counts of buys and sells to estimate the share of informed orders, and what it captures has been debated (Duarte and Young, 2009). With regulatory account data, Kirilenko et al. (2017) classify traders by their holding and trading patterns. Our results speak to the case where types differ in how long they remember prices: from prices alone the separation is costly, and account or class records of the kind Kirilenko et al. (2017) use remove most of the cost (Proposition 8.1).

**Statistical identification.** The identification results use two-point testing arguments (Le Cam, 1986; Tsybakov, 2009). The moment-matching construction of Section 6 is the dynamical analogue of the slow rates in finite-mixture estimation (Manole and Ho, 2022) and of super-resolution of near-colliding sources (Liu and Ammari, 2022; Batenkov et al., 2021); the general-memory result combines best-approximation duality (Bernstein, 1914; Rivlin, 1981) with the moment comparisons used by Kong and Valiant (2017) and Wu and Yang (2020), and its logarithmic rate parallels supersmooth deconvolution (Fan, 1991); recovery of exponentials connects to ESPRIT and matrix-pencil methods (Roy

Table 4: Closest results and how this paper differs

| Existing result | Observations | Target | Conclusion | Difference from this paper |
|---|---|---|---|---|
| Mixture estimation (Heinrich and Kahn, 2018; Wu and Yang, 2020) | i.i.d. draws from a $K$-component mixture | Mixing measure | Rates that slow sharply as components merge; $n^{-1/(4K-2)}$ for Gaussian location mixtures | Same exponent; here the measure is observed through a feedback loop, as zeros of $H$, actively or passively, and the cost is also priced in quantity and capital |
| Super-resolution and Prony (Moitra, 2015; Batenkov et al., 2021; Katz et al., 2023) | Noisy Fourier or exponential samples | Point-source locations | Stability governed by Vandermonde conditioning and node separation; Prony attains the min-max bound for clustered exponents | Real nodes extracted from a closed loop; our matching upper bound (Theorem 6.5) adapts this known result |
| Closed-loop system identification (Ljung, 1999; Forssell and Ljung, 1999) | Input–output data under feedback | The plant | Consistency requires informative (externally excited) experiments | Target is the feedback law (the traders); excitation gives exact identification of $M$, and the barrier is conditioning, measured in samples and capital |
| Heterogeneous-agent estimation (Brock and Hommes, 1998; Franke and Westerhoff, 2012; Kukacka and Barunik, 2017) | Prices and returns | Type and switching parameters | Type-separating parameters often imprecise | Bounds that precision by the types' memory separation (in the linearization) |
| Probability of informed trading (Easley et al., 1996) | Daily buy and sell counts | Share of informed orders | Mixture estimate of trader population | Types that differ in memory; price-only versus class-tagged data |
| Data informativity (van Waarde et al., 2020) | Finite data, often noiseless | Whether a property is determined | Qualitative conditions | Quantitative minimax costs under noise |

and Kailath, 1989; Hua and Sarkar, 1990). Minimum-phase spectral factorization and the Whittle likelihood are classical (Whittle, 1953). What is new here is the mapping from these statistical rates into executed quantity and money through a financially specified account, the passive equivalence, and the value of class records; that the relevant rates are zeros, not poles, of the observable transfer function matters for which estimator is valid, not for the rate.

**Non-normal dynamics and supervision.** Transient growth of stable non-normal systems is classical (Trefethen and Embree, 2005; Kreiss, 1962). We use it to show that supervision through eigenvalues and second moments of prices is blind to transient risk (Theorem S.4.1), which motivates the identification-free control of the companion paper. On the regulatory side, pre-trade risk controls for broker-dealers with market access are governed by SEC Rule 15c3-5 (SEC, 2010), and participant-level audit trails are the natural disclosure regime for Proposition 8.1. A large literature studies how pre- and post-trade transparency affects liquidity and trading costs (Pagano and Röell, 1996; Boehmer et al., 2005; Bessembinder et al., 2006); we ask a different question, what disclosure lets a supervisor learn about the algorithms that trade, and give the answer in samples. Crypto venues, whose market structure is studied by Makarov and Schoar (2020), are a natural laboratory for this question because they publish class-level positioning every five minutes, while the CFTC publishes it weekly for regulated futures.

Partial fractions, Gaussian testing, convolution inequalities and positive-system gains are established tools. Our contribution is to connect them into a quantitative chain from memory resolution, through probing resources, to money, with matching orders, explicit constants and a supervisory interpretation, and then to measure the relevant quantities in data.

## 1.2 Outline

Section 2 sets out the model. Section 3 gives the identification boundary. Section 4 links memory resolution to quantity and money for a known pair. Section 5 computes account-level capital. Section 6 treats unknown mixtures and passive data. Section 7 checks the results against stylized nonlinear and adaptive trading rules. Section 8 studies disclosure and compares its cost in dollars with the U.S. Consolidated Audit Trail. Section S.4 gives the spectral blind spot. Section S.5 reports the empirical evidence. Section 12 concludes. Proofs are in Appendix S.6; Appendix S.8 collects additional results, and Appendix S.9 maps every number to its source.

# 2 Model and motivating examples

**The model in words.** The market has one price and $K$ groups of traders. Each period three things happen. First, the price moves: it drifts back toward its fundamental value, and it is pushed by the groups' trades, by any test trade and by news. Second, each group updates its view by mixing the newest price into its running average, with weight $\eta_i$ on the newest price and $1-\eta_i$ on its old view. Third, each group trades in proportion to its view, with intensity $q_i$. A group with a large $\eta_i$ has a short memory and reacts quickly, like a short-horizon trend follower; a group with a small $\eta_i$ has a long memory and reacts slowly. The equations below write this down.

Time is discrete. Let $p_t$ be the price, $p^*$ the fundamental value and $x_t = p_t - p^*$ the pricing error. A reduced-form dealer sector absorbs net order flow with price impact $\kappa > 0$, an imposed primitive rather than an equilibrium quote, and arbitrage pulls the error toward zero with persistence $a \in [0, 1)$:

$$x_t = a x_{t-1} + \kappa \sum_{i=1}^{K} q_i y_{i,t-1} + \kappa v_t + w_t, \tag{1}$$

where $v_t$ is an executed probe quantity and $w_t$ a price innovation. Cohort $i$ holds a state $y_{i,t}$ with exponential memory and trades $q_i y_{i,t}$:

$$y_{i,t} = (1-\eta_i)\, y_{i,t-1} + \eta_i x_t, \qquad \eta_i \in (0, 1). \tag{2}$$

The ordering is *price first*: the price responds to the probe, then cohorts update. Write $r_i = 1-\eta_i$ for the memory rate and $w_i = q_i \eta_i$ for the merged weight. The feedback kernel and its transform are

$$k_m = \sum_i w_i r_i^m, \qquad G(z) = \sum_i \frac{w_i z}{z - r_i}, \tag{3}$$

and the transfer function from probes to prices, $H(z) = \sum_{j \geq 0} h_j z^{-j}$, is

$$H(z) = \frac{\kappa z}{z - a - \kappa G(z)} = \frac{\kappa z D(z)}{(z-a)D(z) - \kappa N(z)}, \qquad G = \frac{N}{D}, \quad D(z) = \prod_i (z - r_i), \tag{4}$$

with impulse response $h_0 = H(\infty) = \kappa, h_1, h_2, \ldots$; in particular $H(1) = \kappa/(1-S) = \sum_j h_j$. Stacking $z_t = (x_t, y_{1,t}, \ldots, y_{K,t})^\top$ gives $z_t = J z_{t-1} + b v_t$, where, because cohorts update on

the same period's price, the probe enters every state on impact through

$$b = \kappa\,(1, \eta_1, \ldots, \eta_K)^\top, \tag{5}$$

and

$$J = \begin{pmatrix} a & \kappa q_1 & \cdots & \kappa q_K \\ \eta_1 a & 1-\eta_1+\eta_1\kappa q_1 & \cdots & \eta_1\kappa q_K \\ \vdots & & \ddots & \vdots \\ \eta_K a & \eta_K\kappa q_1 & \cdots & 1-\eta_K+\eta_K\kappa q_K \end{pmatrix}, \qquad S \equiv a + \kappa \sum_i q_i. \tag{6}$$

In the *positive economy* ($q_i \geq 0$), $J$ is entrywise nonnegative, its price row sums to $S$, and the economy is Schur stable iff $S < 1$.

**Lemma 2.1** (Two motivating examples: filtering and learning)**.** *(i)* Kalman memory. *A desk that tracks a latent random-walk trend $v_{t+1} = v_t + \zeta_{t+1}$, $\zeta \sim N(0, \sigma_\zeta^2)$, from signals $r_t = v_t + \nu_t$, $\nu \sim N(0, \sigma_\nu^2)$, using the steady-state Kalman filter, updates as $\hat{v}_{t+1} = (1-\eta)\hat{v}_t + \eta r_t$ with*

$$\eta = \frac{-\sigma_\zeta^2 + \sqrt{\sigma_\zeta^4 + 4\sigma_\zeta^2\sigma_\nu^2}}{2\sigma_\nu^2} \in (0,1). \tag{7}$$

*(ii)* Gradient memory. *Online gradient descent with $L_2$ regularization $\gamma \in (0,1)$, step size $\alpha > 0$ and loss $\frac{1}{2}H(x_t - \theta_t)^2$ gives $\theta_{t+1} = (1-\eta)\theta_t + \eta q x_t$ with $\eta = \gamma + \alpha H \in (0,1)$ and $q = \alpha H/\eta$. A tabular value update with learning rate $\eta$ at a fixed state has the same form; general reinforcement-learning policies need not.*

*Remark* 2.2 (Why exponential memory). Lemma 2.1 shows that two different design philosophies, Bayesian filtering and regularized online learning, produce the same observable reduced-form belief state $y_{i,t}$. When desk $i$ chooses order flow $u_{i,t}$ subject to $I_{i,t} = (1-\delta_{\text{inv}})I_{i,t-1} + u_{i,t}$ and an inventory cap $|I_{i,t}| \leq \bar{I}_i$ to maximize expected continuation return $\beta_i y_{i,t} u_{i,t}$ net of quadratic execution cost $\frac{1}{2}\lambda_{\text{tc},i}u_{i,t}^2$ and quadratic inventory holding cost $\frac{1}{2}\gamma_{\text{inv},i}I_{i,t}^2$, its interior first-order condition gives $u_{i,t}^* = q_i y_{i,t} - \psi_{\text{inv},i} I_{i,t-1}$ with market-response weight $q_i = \beta_i/(\lambda_{\text{tc},i} + \gamma_{\text{inv},i})$ and inventory mean-reversion $\psi_{\text{inv},i} = \gamma_{\text{inv},i}(1-\delta_{\text{inv}})/(\lambda_{\text{tc},i} + \gamma_{\text{inv},i})$, which shrinks toward zero as trading costs or inventory penalties tighten and destabilizes the market when the closed-loop spectral radius reaches one (`microfoundation_and_baselines.py`). This filtering-and-control recursion specifies an individual agent's decision rule, not a complete economic equilibrium (dealer–trader

equilibrium is analysed in the companion paper). Two further simplifications matter for reading the results: the observer is taken to know the fundamental value $p^*$, so the pricing error $x_t$ is observed, and the dealer sector is a fixed linear impact $\kappa$ rather than an equilibrium quote. The paragraph before Section 8.4 states what the data tests lose when neither holds. The model applies these rules to the pricing error $x_t$: a desk that cannot separate fundamental news from transitory deviations treats recent deviations as a signal of a persistent trend, which is the exponential extrapolation of Barberis et al. (2015, 2018). With $q_i > 0$ such a desk buys after rises, as trend followers do, and nothing in the model says this is profitable; the lemma shows only that the update has the exponential form. Assuming that the observer knows $p^*$ gives it more information than any real observer has, so the lower bounds hold a fortiori when $p^*$ is unknown; the upper bounds use it. In these two illustrative families of algorithms the memory rate is a known function of a tuning parameter, the desk's signal-to-noise ratio or its regularization. That is the kind of private information a supervisor would like to recover, although real trading algorithms need not belong to either family. Section 3 shows why prices reveal it only in merged form.

**Lemma 2.3** (Positive price-response geometry)**.** *In the positive, stable economy the impulse response is a nonnegative mixture of decaying exponentials,*

$$h_j = \sum_{\ell} \omega_\ell \lambda_\ell^j, \qquad \omega_\ell \geq 0, \quad \sum_{\ell} \omega_\ell = \kappa, \quad 0 \leq \lambda_\ell < 1.$$

*It is completely monotone and nonincreasing; its peak is the direct impact $\kappa$, even though $J$ is non-normal. In price/memory coordinates the price-only gain is* $\sup_t \|e_x^\top J^t\|_2 = 1$.

As an illustration of the lemma (not part of its proof), $(-1)^n \Delta^n h_j \geq 0$ for $n \leq 4$ held in all 892 stable random positive economies tested. Lemma 2.3 matters twice: it makes probing costs positive (Section 4), and it shows that in this economy transient amplification of the price response cannot arise from cohort feedback alone. The companion paper locates amplification in order-book depth instead.

## 2.1 Discussion of the assumptions

**Linearity.** The model is linear in prices, flows and memory states. Linearity is what makes the merged-measure equivalence exact and the testing problems Gaussian. Nonlinear strategies (for example threshold rules or position limits) can break the equivalence

class, but they do so in regions of the state space that a small probe does not visit; for small probes the linearization around the steady state is the relevant object.

**Price-first timing.** We order the price update before the cohort update. Under the alternative lagged timing the transition matrix becomes $\left(\begin{smallmatrix} a & 1 \\ \eta Q & 1-\eta \end{smallmatrix}\right)$ and its eigenvalues differ, so stability statements must be computed under the timing actually used. The identification results depend on the transfer function and survive either convention.

**Exponential memory.** Lemma 2.1 justifies exponential memory for filtering and regularized learning. Neural and reinforcement-learning policies are not exponential filters. Rules whose orders are smooth functions of an exponential-memory state are exponential filters to first order, so the results hold for small probes; Section 7 checks this in stylized simulations and finds where it fails, and how closely production algorithms follow such rules remains an empirical question we do not settle. Mixtures of exponentials can approximate any completely monotone kernel, so a power-law memory corresponds to a continuum of cohorts, for which Theorem 6.8 shows that accuracy improves only logarithmically in the data.

**Algorithms that react to being probed.** The probing results assume that the cohorts keep their memories while they are probed. An algorithm that detects a probe could pause, shorten its memory or trade against the probe. Four observations limit what this does to our conclusions. First, a reaction that all cohorts share does not help separate them, and an algorithm that mimics another group's memory rate only brings the hypotheses closer, so neither lowers the costs we derive. A reaction that differs across cohorts is a new signature, but one the observer must specify and estimate, so it shifts the identification problem rather than solving it. Second, the passive route needs no probe: Theorem 6.10 shows that natural price variation carries information about the same separation at a rate of the same polynomial order, so an observer who fears detection pays in time, not in rate. Third, detection is itself a testing problem against the same noise: the generalized-eigenvector probe of Section 5 trades at most 1.25 par units in any period, and a probe sized within normal flow variation is hard to tell from noise, so the threat bites mainly for large single pulses, which our ledger shows are not optimal anyway. Fourth, what we cannot rule out is an algorithm designed to defeat surveillance, which turns identification into a game between observer and observed; our results are the benchmark against which such a game would be measured, and we leave it to future work.

**Known primitives.** The resource theorems take $\kappa$, $a$ and the noise law as known. Unknown primitives can only make separation harder, so the lower bounds remain valid. The upper bounds as stated assume the primitives known; estimating them adds a cost we do not analyse, which we expect to be of lower order because they enter the response at first order. In an equilibrium in which dealers set the impact $\kappa$ from the order flow they see, as in Kyle (1985), a prober's unexpected trades would also move $\kappa$; we do not model this, and expect it to raise the cost of probing rather than lower it.

**Observation contracts.** Each result names what the observer sees. A price-only observer, an observer with executed quantities, one with noisy statements, one with audited equity and one with tagged flow face different experiments. The paper's central message is that these differences, not the observer's statistical skill, determine what can be learned.

## 2.2 The observer, its options and its costs

The results are stated from the side of one observer outside the trader groups: a supervisor, an exchange's surveillance unit or a large desk. Its *target* is attribution, recovering the merged weight and memory rate of each group to a stated accuracy, or deciding between two candidate populations at a stated error. Before it observes, it knows the price persistence $a$, the impact $\kappa$ and the law of the observation noise, and, for the $K$-group results, the number of groups; it does not know their rates or weights. These are the conditions under which the lower bounds are statements about the data rather than about the observer's ignorance; unknown primitives can only enlarge the set of candidate populations.

The observer has three options, and each result prices one of them.

(a) *Wait.* Record stationary prices driven by natural innovations, without trading. The cost is time: the number of observations needed (Theorems 6.9 and 6.10).

(b) *Probe.* Execute a sequence $v_t$ of trades against the groups and record the price response. Probes execute at the average price of a linear book after the uncontrolled state update; the prober bears the execution loss $\frac{1}{2}v^\top T_h v$ plus fees (Lemma 4.2) and must fund margin throughout. The counted resource is the number of independent experiments, each starting from the reset state, or the executed quantity and capital of a single experiment (Theorems 4.1–5.1).

(c) *Acquire disclosure.* Receive each class's flow or position, observed with noise, at an

operating cost per supervisory cycle and a compliance cost per market (Proposition 8.1, Theorem 8.2, Proposition 8.3).

Within each period the order is: the probe (if any) executes and the price updates, the groups update their states on the new price, and the observer records the price with noise. The groups do not change their rules in response to being observed; Section 2.1 discusses what happens if they do. Probing experiments start from the reset state. A probe sent into a running market adds the free response of the current state, which by linearity superposes with the forced response; if the state is unknown it acts as a nuisance term, which can only make separation harder, so the lower bounds still hold, while the upper bounds as stated need the reset state or a known one. Independent resets are a benchmark experiment that no outside participant can run in a live market; we use them because they make the information content of the data exact, and the economic comparisons say whenever they rely on them. Regulators do not, in practice, trade to learn; the probing option describes an outside participant, or prices the information a supervisor would otherwise have to buy by trading.

Three money quantities appear and are kept apart: the *capital required*, the equity an account must hold so that its margin constraint is never breached while it probes (Theorem 4.3 and Lemma 4.5); the *round-trip trading loss*, the execution loss of a probe that ends flat, which is what the account actually spends (Theorems 5.1, 5.2 and 5.3); and the *annualised loss* of renewing that probe weekly, used for the comparison with audit-trail budgets (Section 8.2). The lower bounds hold for the stated probe classes, deterministic probes and, in Theorem 5.2, non-anticipating sequential probes; they are not lower bounds on information obtained through other channels, which is the point of Section 8. Two rates recur and measure different things: $\delta^{-4}$ is the capital (and the average-power horizon) for a *known* symmetric pair whose rates differ by $2\delta$, while $(\Delta\eta)^{-(4K-2)}$, which is $(\Delta\eta)^{-6}$ for $K = 2$, is the number of experiments for $K$ *unknown* groups with spacing $\Delta\eta$.

# 3 The identification boundary

A central question in algorithmic market surveillance is whether an observer of executions and prices can identify the individual strategies active in the market.

**Theorem 3.1** (Merged rate–weight equivalence)**.** *Let $\kappa > 0$ and $a \in [0, 1)$ be known. Use zero initial states and a common probe contract, and observe the modeled price state $x_t$.*

*(i)* Equivalence class. *Two economies* $\mathcal{E}^A = \{(q_i^A, \eta_i^A)\}$ *and* $\mathcal{E}^B = \{(q_j^B, \eta_j^B)\}$ *produce identical price responses for every probe sequence if and only if their merged measures coincide:*

$$\sum_{i:\eta_i^A=\eta} q_i^A \eta \;=\; \sum_{j:\eta_j^B=\eta} q_j^B \eta \qquad \forall \eta \in (0,1]. \tag{8}$$

*Write* $a' = a + \kappa M(\{0\})$*, so that cohorts with* $\eta = 1$ *(rate* $0$*) act as part of the anchor. For* $a' \neq 0$ *the minimal realization has dimension* $1 + |\mathrm{supp}(M) \cap (0,1)|$*, counting distinct positive rates with nonzero merged weight after signed cancellation; for* $a' = 0$ *the price carries no state of its own and the dimension is* $|\mathrm{supp}(M) \cap (0,1)|$*. A cohort with* $\eta = 1$ *merges into the anchor* $a$ *without adding a pole.*

*(ii)* Separation complexity under average power. *Consider testing a single cohort with rate* $\bar{\eta}$ *against two cohorts with rates* $\bar{\eta} \pm \delta$ *and the same total weight, on a compact family that is uniformly Schur stable with rates bounded away from* $0$ *and* $1$*. Observe* $\tilde{x}_t = x_t + \nu_t$ *with* $\nu_t \sim N(0, \sigma_\nu^2)$ *and use deterministic probes with* $\frac{1}{T}\sum_{t<T} v_t^2 \leq P$*. Any test with worst-case error at most* $\alpha \in (0, 1/4)$ *needs*

$$T \;\geq\; \frac{4\sigma_\nu^2 (1-2\alpha)^2}{C_{\mathcal{F}}^2 P\, \delta^4} = \Omega(\delta^{-4}), \tag{9}$$

*where* $C_{\mathcal{F}}$ *depends only on the family.*

**In words.** If two trading desks update on prices with the same memory, no amount of price data can tell them apart or say how much each trades: prices reveal only how much trading happens at each memory speed. Desks with different memories can be told apart in principle, and the rest of the paper prices how hard that is.

The memory rates are poles of $G$ and *zeros* of $H$, not closed-loop poles. This has a practical consequence we verify in Section 6: pole-fitting methods applied directly to the price impulse response recover closed-loop eigenvalues (0.4256 and 0.8224 for $K = 1$, $\eta = 0.3$, $a = 0.5$, $\kappa = 0.8$, $q = 0.2$) and miss the memory rate 0.70.

*Remark* 3.2 (Scope). The result concerns the stated model and observation contract. Cohorts sharing an exact rate enter prices through their merged weight; this does not determine identities or wealth allocations. Nearby rates can be distinguishable with enough information. The $\delta^{-4}$ statement in (ii) is a lower bound on a declared family, with family-dependent constants. Individual algorithms may choose their rates strategically, but any unilateral change maps into the same observer-facing merged measure, which reinforces rather than circumvents the boundary.

# 4 Probing resources, memory resolution and money

Observation length alone cannot buy identification when the lifetime quantity of controlled executions is fixed. This section connects the merged-memory experiment to a financially specified input/output contract. Throughout, $\Phi$ is the standard normal distribution function.

## 4.1 Quantity

**Theorem 4.1** (Sharp probing-resource orders for a known symmetric pair)**.** *Fix $0 \le a < 1$, $\kappa, q > 0$, $S = a + \kappa q < 1$ and $\eta \in (0,1)$. Compare a single cohort of weight $q$ and rate $\eta$ with two cohorts of weight $q/2$ and rates $\eta \pm \delta$, both in $[\epsilon, 1-\epsilon]$. All parameters are known. The price receives executed quantity through $\kappa v_t$, starts from zero, has no process noise, and is observed with independent $N(0,\sigma^2)$ noise. Probes are deterministic and common to both alternatives. Let $d_T = (h^\delta_j - h^0_j)_{j<T}$ and $K_* = 2\kappa^2 q/[\epsilon^3(1-S)^2]$.*

*(i) For every probe with $\sum_t |v_t| \le V$,*

$$D_{\mathrm{KL}}(P^v_0 \| P^v_\delta) \le \frac{K_*^2 V^2 \delta^4}{2\sigma^2}, \qquad e_{\mathrm{worst}} \ge \frac{1}{2}\Big(1 - \frac{K_* V \delta^2}{2\sigma}\Big)_+. \tag{10}$$

*(ii) The optimal worst-case error over these probes and all classifiers is exactly*

$$e^*_T(V) = \Phi\left(-\frac{V\|d_T\|_2}{2\sigma}\right), \tag{11}$$

*attained by a pulse at the first input and the likelihood-ratio test. Waiting adds information but $\|d_T\|_2 \uparrow \|d_\infty\|_2 < \infty$, so it cannot make the error arbitrarily small at fixed $V$. Error at most $\alpha < 1/2$ requires $V \ge 2\sigma(1-2\alpha)/(K_*\delta^2)$ independently of $T$.*

*(iii) The first two taps coincide and $d_2 = -\kappa^2 q \delta^2$. A single pulse of size*

$$A = \frac{2\sigma\Phi^{-1}(1-\alpha)}{\kappa^2 q \delta^2} \tag{12}$$

*and the third observation achieve error exactly $\alpha$. The necessary and sufficient quantity order is $\delta^{-2}$.*

*(iv) Under average power $\sum_{t<T} v_t^2 \le PT$, the necessary horizon order is $\delta^{-4}$, attained by the pulse whenever $T \ge \max\{3, \lceil A^2/P \rceil\}$.*

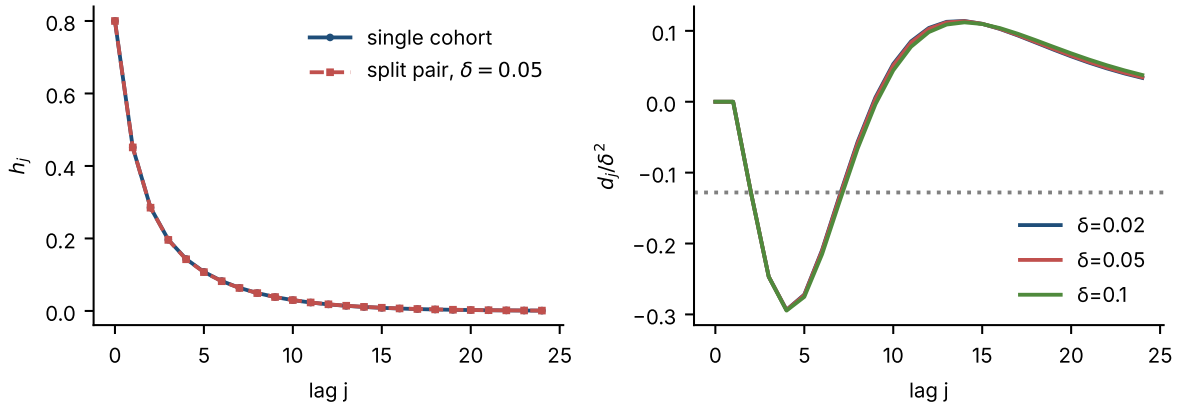



Figure 1: Left: impulse responses of the single cohort and the split pair ($\delta = 0.05$) are nearly indistinguishable. Right: the difference scaled by $\delta^2$ collapses onto one curve, with first nonzero value $-\kappa^2 q$ at lag 2 (dotted). Calibration $a = 0.5$, $\kappa = 0.8$, $q = 0.2$, $\eta = 0.4$.

*(v) For a fixed monetary price exposure $\lambda \neq 0$, additive reserve $L$ and cost envelope $c\sum|v_t|$, the sharp robust quantity allowance under budget $B > L$ is $V_B = (B - L)/(|\lambda|\kappa + c)$.*

**In words.** To tell one desk from two desks whose memories differ slightly, the observer must trade against them, and the quantity it must trade grows like $1/\delta^2$: halving the difference quadruples the trading needed. Waiting longer after a fixed trade does not help, because the trade's echo in the price dies out.

The identity in (iii) follows by direct substitution, and code checks it at $\delta \in \{0.02, 0.05, 0.10\}$: the difference is $-1.2 \times 10^{-4}$, $-7.5 \times 10^{-4}$ and $-3.0 \times 10^{-3}$ at $\kappa = 1$, $q = 0.3$, and $-3.2 \times 10^{-4}$ at the calibration $\kappa = 0.8$, $q = 0.2$, $\delta = 0.05$. The theorem does not solve estimation of an unknown mixture (Section 6).

**A Monte Carlo check of the exact error.** Formula (11) is exact for the likelihood-ratio test. We simulated 200,000 noisy paths per hypothesis at the calibration ($\sigma = 0.01$, $\delta = 0.05$) for several pulse sizes and horizons (Table 5); simulated errors match the formula within Monte Carlo standard error under both hypotheses.

Figure 1 shows why the problem is hard. The two economies have the same direct impact and the same first-lag response; they first differ at lag two, by an amount proportional to $\delta^2$, and the whole difference sequence scales with $\delta^2$. A test therefore needs the signal-to-noise ratio $V\|d\|/\sigma$ to grow like $\delta^{-2}$, which is the quantity order, and because the adverse mark of a probe grows with the square of its size, capital grows like $\delta^{-4}$.

Table 5: Exact known-pair error: formula versus simulation

| Pulse $V$ | Horizon $T$ | $\Phi(-V\|d_T\|_2/2\sigma)$ | Simulated error, $H_0$ | Simulated error, $H_\delta$ |
|---|---|---|---|---|
| 20 | 3 | 0.3745 | 0.3734 | 0.3762 |
| 40 | 3 | 0.2611 | 0.2599 | 0.2603 |
| 40 | 10 | 0.0029 | 0.0030 | 0.0027 |
| 80 | 20 | $1.8 \times 10^{-10}$ | 0 | 0 |

200,000 paths per hypothesis; $a = 0.5$, $\kappa = 0.8$, $q = 0.2$, $\eta = 0.4$.

## 4.2 Execution cost

A probe changes inventory as well as price. We therefore specify cash and execution timing. Price has units of currency per asset, and $\kappa$ currency per squared quantity.

**Lemma 4.2** (Fair execution)**.** *For a quote schedule refreshed after the uncontrolled state update, execution at the average price of a linear book costs, relative to the constant fundamental mark,*

$$C(v) = \tfrac{1}{2} v^\top T_h v + c\|v\|_1, \qquad (T_h)_{ij} = h_{|i-j|}. \tag{13}$$

*In the positive stable economy $T_h$ is positive definite, so no nonzero round trip produces a deterministic gain.*

We verify the ledger identity (13) against an explicit cash account to $5.7 \times 10^{-13}$ on 1,000 random probes, and the smallest eigenvalue of $T_h$ over 1,000 random stable positive economies is 0.141. A direct-only proxy $\sum \frac{1}{2}\kappa v_t^2$ omits cross-time impact: for $v = (+1, -1)$ it gives 0.80 against a true Toeplitz loss of $h_0 - h_1 = 0.3488$.

## 4.3 Capital supplied by a counterparty

**Theorem 4.3** (Sharp robust quantity cap from cash and margin)**.** *Use the positive, stable, reset economy with constant fundamental price $P_* > 0$ and no process noise. A designated dealer fills only nonnegative probes $v_t \geq 0$ at the average price $P^0_{t+1} + \kappa v_t/2$ of a linear schedule, holds inventory $I_{t+1} = I_t - v_t$ and cash $K_{t+1} = K_t + v_t(P^0_{t+1} + \kappa v_t/2) - cv_t$, starts with equity $B > 0$, and must satisfy $\mu|I_t|P_t \leq E_t$ at every time. For the robust contract admitting every probe with $\sum_t v_t \leq V$, the largest allowance guaranteeing margin is*

$$V_B = \frac{2B}{\beta + \sqrt{\beta^2 + 4(\mu + \frac{1}{2})\kappa B}}, \qquad \beta = c + \mu P_*, \tag{14}$$

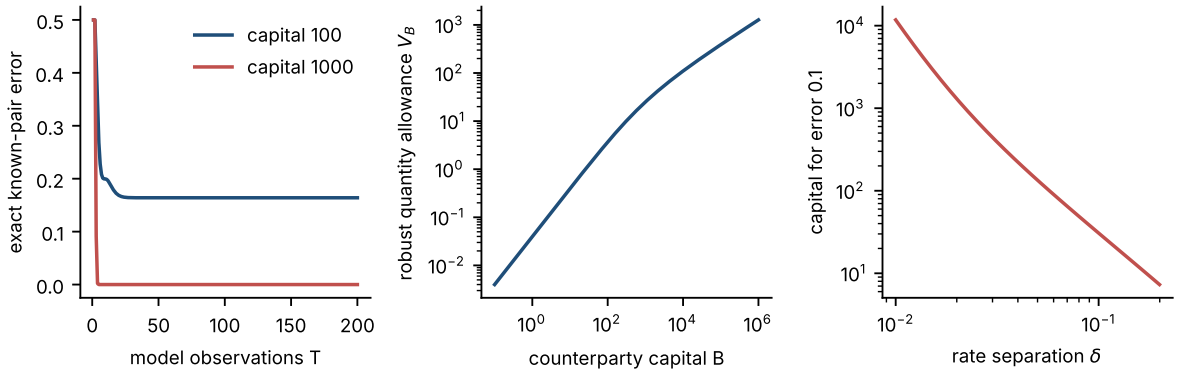



Figure 2: Known-pair experiment funded by the counterparty cash/margin contract. (a) Exact Gaussian error at fixed capital 100 and 1,000, separation $\delta = 0.05$. (b) The sharp robust quantity allowance (14). (c) Capital for error 0.1 with 200 observations. Parameters: $a = 0.5$, $\kappa = 0.8$, $q = 0.2$, $\eta = 0.4$, observation s.d. 0.003, reference price 100, margin 0.25, cost 0.02. No process noise.

*equivalently* $(\mu + \frac{1}{2})\kappa V^2 + (c + \mu P_*)V \le B$. *The cap holds across all positive cohort representations with* $S < 1$, *without resolving individual rates. An observer that receives only noisy prices and executed quantities has best error* $\Phi[-V_B\|d_T\|_2/(2\sigma)]$ *within this allowance; fixed error* $\alpha < 1/2$ *requires capital of order at least* $\delta^{-4}$, *and a single positive pulse attains that order.*

**In words.** A probe moves the price against the account that makes it, so the margin it needs grows with the square of the probe. Because the probe grows like $1/\delta^2$, the capital grows like $1/\delta^4$: halving the difference multiplies the capital needed by 16.

Even with zero initial inventory, the probe creates a quadratic adverse mark that a fixed initial price exposure would miss. Figure 2 illustrates the experiment.

**Proposition 4.4** (Exact financial disclosure changes the experiment)**.** *In this noiseless-state account, exact disclosure of the third equity mark after a single positive pulse* $0 < A \le V_B$ *distinguishes the known pair with zero error for every* $\delta > 0$.

**In words.** If the observer can see an account's exact equity, a single test trade settles the question, however close the two candidate markets are. The hard part of the problem is therefore not the market itself but what the observer is allowed to see.

Exact marked equity is extra information, not a free observation assumed by the price-only theorem. Real account marks have their own precision: with reports rounded to 0.01, a guaranteed change requires a larger trade (Section 8).

## 4.4 Capital paid by the probe trader

**Lemma 4.5** (Time-domain Toeplitz coercivity: capital order for funded probes)**.** *Use the same economy and execution law. The statistical observer receives only noisy prices and executed quantities. The probe trader starts with cash $B > 0$ and zero inventory; a finite signed sequence $v$ changes inventory by $+v_t$ and cash by $K_{t+1} = K_t - v_t(P^0_{t+1} + \kappa v_t/2) - c|v_t|$, after which trading stops and the trader must remain solvent as the price returns to $P_*$. Put*

$$r = 1 - \epsilon(1 - S) < 1, \qquad m = \kappa \frac{1 - r}{1 + r} > 0, \qquad K_* = \frac{2\kappa^2 q}{\epsilon^3 (1 - S)^2}.$$

*Every solvent strategy satisfies $D_{\mathrm{KL}}(P^v_0 \| P^v_\delta) \le K_*^2 B \delta^4/(\sigma^2 m)$, so error at most $\alpha < 1/2$ requires*

$$B \;\ge\; \frac{2\sigma^2 m (1 - 2\alpha)^2}{K_*^2 \delta^4}, \tag{15}$$

*without a quantity cap and at any horizon. Conversely, for any margin fraction $0 < \mu \le 1$, the pulse $A$ in (12) achieves error $\alpha$ and remains margin-solvent at every later mark with capital $B_A = \frac{\kappa}{2} A^2 + (c + \mu P_*) A$. Necessary and sufficient capital orders are $\delta^{-4}$.*

Lemma 4.5 is an order statement: an elementary time-domain coercivity argument for Toeplitz forms that establishes the $\delta^{-4}$ rate before the exact frequency-domain optimization of Section 5. Its explicit constant is very conservative, because it scales as $m/K_*^2 \propto \epsilon^7 (1 - S)^5$: at the calibrated parameters it is $4.9 \times 10^{-4}$ par units at $\delta = 0.05$ with $\epsilon = 0.35$, five orders of magnitude below any feasible design. We therefore state it as a lemma; Section 5 computes the sharp constant, within 5% of a feasible design at every separation.

## 4.5 A worked example: two Kalman desks

To make the orders concrete, consider two desks that track the same trend with Kalman filters (Lemma 2.1(i)) and differ only in their signal-to-noise ratios: $\sigma_\zeta^2/\sigma_\nu^2 = 0.09$ and 0.16. Their gains are $\eta_1 = 0.2584$ and $\eta_2 = 0.3279$, so $\bar\eta = 0.2931$ and $\delta = 0.0348$. With equal weights, the economy is observationally the split pair of Theorem 4.1 around $\bar\eta$, and the response difference first appears at lag two, $d_2 = -\kappa^2 q \delta^2 = -1.55 \times 10^{-4}$ (verified).

A supervisor who wants to tell this market from a single desk with gain $\bar\eta$ at 5% error using a single pulse and the third observation needs $A = 2\sigma\Phi^{-1}(0.95)/(\kappa^2 q \delta^2) = 212$ units of executed quantity, and, under a 0.5% margin and 4 basis points of fees, single-pulse capital of 18,166 par units. The pulse is very inefficient: the spectral lower bound of

Theorem 5.1, evaluated at this pair ($\bar{\eta} = 0.2931$, $\delta = 0.0348$), gives about 77 par units for the optimal flat probe (rescaling the $\bar{\eta} = 0.4$ constant by $\delta^{-4}$ alone would give 262, because the constant also depends on $\bar{\eta}$). Converting with the measured Roll noise (factor $(0.40/0.01)^2$), the optimal probe costs roughly $1.2 \times 10^5$ USDT and the naive pulse about $3 \times 10^7$ USDT. Two desks whose signal-to-noise ratios differ by almost a factor of two are therefore expensive, but not impossible, to tell apart by probing; three or more desks are much harder (Theorem 6.4).

## 4.6 What prices hide, in economic terms

The worked example states the barrier in signal-to-noise ratios. That is the general picture. Write $s = \sigma_\zeta^2/\sigma_\nu^2$ for a desk's signal-to-noise ratio, so that by (7) its memory rate is $1 - \eta(s)$ with

$$\eta(s) = \tfrac{1}{2}\big(\sqrt{s^2 + 4s} - s\big), \qquad \eta'(s) = \tfrac{1}{2}\Big(\frac{s+2}{\sqrt{s^2+4s}} - 1\Big) > 0,$$

and $\eta$ is increasing and concave. With no inventory penalty, the first-order condition of the Remark on exponential memory gives the trading intensity $q_i = \beta_i/\lambda_{\mathrm{tc},i}$: what the desk expects to earn per unit of belief, over what it pays to trade.

**Proposition 4.6** (Identification in economic primitives)**.** *Consider $K$ Kalman desks (Lemma 2.1(i)) with signal-to-noise ratios $s_i \in [\underline{s}, \bar{s}] \subset (0, \infty)$ and intensities $q_i = \beta_i/\lambda_{\mathrm{tc},i}$, and write $c_- = \eta'(\bar{s})$ and $c_+ = \eta'(\underline{s})$.*

*(i) Prices and aggregate order flow depend on the desks only through the measure*

$$\sum_i q_i\, \eta(s_i)\, \delta_{1-\eta(s_i)}.$$

*Desks are identified through their signal-to-noise ratios and intensities only; expected returns and trading costs enter only through their ratio, and two populations with the same intensity-weighted distribution of signal-to-noise ratios are observationally equivalent.*

*(ii) Fix a centre $s_c$ and let the ratios lie in $s_c + \Delta s\,[-1, 1] \subset [\underline{s}, \bar{s}]$. Recovering the intensity-weighted distribution of signal-to-noise ratios to Wasserstein accuracy of order $\Delta s$, or its weights $q_i\eta(s_i)$, from $N$ noisy reset experiments with worst-case error probability below $1/4$ requires $N \geq c\,\sigma^2(\Delta s)^{-(4K-2)}$; on separated configura-*

*tions, Prony's method of Theorem 6.5 composed with $\eta^{-1}$ achieves this order. The constants are those of Theorems 6.4 and 6.5 multiplied by powers of $c_-$ and $c_+$.*

**In words.** What prices reveal about Kalman-filter desks is the mix of how good their information is (their signal-to-noise ratios), weighted by how hard they trade. Expected returns and trading costs matter only through their ratio. Pinning down that mix carries the same steep cost as separating memory rates.

*Proof.* (i) By Lemma 2.1(i) desk $i$ is a cohort with memory rate $1-\eta(s_i)$ and weight $q_i$, so Theorem 3.1 applies, and $\beta_i, \lambda_{\mathrm{tc},i}$ enter the economy only through $q_i$. (ii) On $[\underline{s}, \bar{s}]$, $\eta$ is a $C^1$ bijection onto its image with $c_- \le \eta' \le c_+$. Lower bound: take the two economies of Theorem 6.4 with centre $r_c = 1-\eta(s_c)$ and rate spacing $\Delta\eta = c_-\Delta s$. By the mean value theorem their gains are images of ratios in $s_c + \Delta s\,[-1,1]$, so they are two populations of Kalman desks in the class, and the bound $N \ge c\,\sigma^2(\Delta\eta)^{-(4K-2)} = c\,c_-^{-(4K-2)}\sigma^2(\Delta s)^{-(4K-2)}$ applies to recovering their weights. Because $\eta$ is $c_+$-Lipschitz, the Wasserstein distance between the two distributions of ratios is at least $1/c_+$ times that between the two distributions of rates, which Theorem 6.4 bounds below by a constant times $\Delta\eta = c_-\Delta s$. Upper bound: ratios in $s_c + \Delta s\,[-1,1]$ with spacing at least $\gamma\Delta s$ have gains in $\eta(s_c) + c_+\Delta s\,[-1,1]$ with spacing at least $c_-\gamma\Delta s$, a class of the form required by Theorem 6.5 with rescaled separation $\gamma c_-/c_+$; Prony's method recovers the rates and weights at that theorem's rate, and $\eta^{-1}$, which is $1/c_-$-Lipschitz, maps rate errors to ratio errors. □

The private information a supervisor would most like to know, how good each desk's information is, is exactly what prices hide. In the worked example the two desks' ratios differ by a factor of almost two, and separating them already costs hundreds of thousands of dollars of probing capital. The proposition takes intensities to vary independently of information quality, because they also reflect costs and capital. The next proposition asks what happens when the economics ties them together.

**Proposition 4.7** (Intensity tied to information quality)**.** *Let each desk's intensity be a known function of its signal-to-noise ratio, $q = \varphi(s)$ with $\varphi$ positive and $C^2$ on $[\underline{s}, \bar{s}]$ (for a mean–variance desk, $\varphi(s)$ increases with $s$), and let $n_i \ge 0$ denote the mass of desks with ratio $s_i$ (a divisible population, not an integer desk count). Write $s(\eta)$ for the inverse gain map and $w(\eta) = \varphi(s(\eta))\,\eta$ for the weight per desk as a function of its gain.*

*(i)* Unknown numbers of desks. *The merged measure is $\sum_i n_i\, w(\eta(s_i))\,\delta_{1-\eta(s_i)}$. Every positive measure with finitely many atoms in $[1-\eta(\bar{s}), 1-\eta(\underline{s})]$ is of this form, with*

*$n_i = m_i/w(\eta_i)$ for an atom of mass $m_i$ at $1-\eta_i$. So when the numbers of desks of each type are not known, tying intensity to information quality removes no economy, and every lower bound of Proposition 4.6(ii) holds unchanged.*

*(ii)* Known numbers of desks. *If the $n_i$ are also known, the set of economies is smaller, but the single-versus-pair problem keeps its order: one type at gain $\bar\eta$ with $2n$ desks and two types at $\bar\eta \pm \delta$ with $n$ desks each have taps that differ by $n\,\delta^2\,\partial_\eta^2[w(\eta)(1-\eta)^m]_{\bar\eta} + o(\delta^2)$, so separating them needs $N \geq c\,\sigma^2\delta^{-4}$ reset experiments, the order the symmetric pair has when intensities vary freely.*

*(iii)* Self-confirming configurations. *Suppose the ratio each desk perceives is the one implied by the closed-loop dynamics it trades in, through a map $T$ from configurations $(s_1,\dots,s_K)$ to perceived ratios that is continuous on a box $\prod_i[\underline{s},\bar{s}]$ and maps it into itself. Then a configuration with $T(s)=s$ exists, and parts (i)–(ii) and Proposition 4.6 apply at it.*

*Proof.* (i) Desk type $i$ is a cohort with gain $\eta_i = \eta(s_i)$, memory rate $1-\eta_i$ and total weight $n_i\varphi(s_i)$, so it contributes $n_i\varphi(s_i)\eta_i = n_i w(\eta_i)$ to the atom at $1-\eta_i$. Since $w>0$, any atom mass $m_i \geq 0$ is attained with $n_i = m_i/w(\eta_i)$. (ii) Write $g_m(\eta) = w(\eta)(1-\eta)^m$; the tap difference is $n[g_m(\bar\eta+\delta)+g_m(\bar\eta-\delta)-2g_m(\bar\eta)] = n\delta^2 g_m''(\bar\eta)+o(\delta^2)$, with $\sum_m \sup|g_m''|^2 < \infty$ on gains bounded away from zero, so the Euclidean distance between the two tap vectors is $O(n\delta^2)$ and the Kullback–Leibler divergence over $N$ experiments is $O(Nn^2\delta^4/\sigma^2)$; Le Cam's two-point argument gives the bound. (iii) is Brouwer's fixed-point theorem. □

So the barrier does not depend on intensities varying freely: it survives any known link between intensity and information quality as long as the supervisor does not also know how many desks of each kind there are, and even then the simplest separation problem keeps its $\delta^{-4}$ order. Whether the full $(\Delta\eta)^{-(4K-2)}$ exponent survives with known numbers of desks is open. Part (iii) shows only that self-confirming configurations exist under continuity; it does not derive the map $T$ from a model of the desks' learning.

## 4.7 Natural excitation and the cost of ambiguity

Natural price innovations can also separate the pair with zero controlled quantity: an exact finite-sample test on independent three-step blocks needs order $\delta^{-4}$ blocks (Internet Appendix, Proposition S.8.2), the same order as the passive Whittle bound of Section 6. Non-identification also has a price on the quote side: when the relevant set of economies

includes costlier ones, a robust dealer widens its quote, which the companion paper analyses (Niroula et al., 2026); cohort non-identification alone does not establish that the worst relevant cost exceeds the informed one.

# 5 Account-level capital

Lemma 4.5 gives the order but not the constant. This section computes what a trader actually needs under a calibrated linear-impact environment, then converts it to Bitcoin dollars.

**Numerical values.** Decimal optima and brackets below are numerical evaluations of the stated bounds.

## 5.1 Observation design and the tri-region partition

Under observation horizon $T$ per pulse, $(\delta, B)$ space splits into three regions: a feasible single-pulse region ($C^* = \Theta(\delta^{-4})$ for symmetric splitting), a sequential bounded-probing region where each capped pulse supplies divergence $V_{\text{eff}}^2 \|d_T\|_2^2/(2\sigma^2)$, and an infeasible region below the finite-session resolution floor $\delta_{\min} = \Theta(T_{\text{session}}^{-1/4})$ (Supplemental Appendix, Proposition S.2.1 and Figure 7).

## 5.2 Account-level capital and the gap to the lower bound

We run each candidate design through an explicit synthetic ledger at reference price $P_* = 100$: fills at the average linear-book price, taker fees of 4 basis points, marks at the prevailing price, and 0.5% maintenance margin. Initial capital is $C_0 = \max_t(\text{margin}_t - \text{equity}_t)$, maximized over both hypotheses, and the test uses the full price path including unwind legs.

Table 6 gives three conclusions. First, twelve buys that are never unwound fail the 5% target once the test uses the joint price path (divergence $4.95 < 5.41$) and end with 75 units of inventory. Second, if every unwind leg is itself informative, five or six round trips meet the target with zero terminal inventory. Third, pulses are not optimal: a generalized-eigenvector probe, which maximizes divergence per unit of fee-free round-trip cost, needs about 65 par units with maximum trade 1.25 and maximum displacement 2.23, well inside limits.

Table 6: Account-level initial capital at $\delta = 0.05$ (par units)

| Design | $C_0$ | Error | End inv. | Peak margin | Max $\lvert v_t \rvert$ | Trades |
|---|---|---|---|---|---|---|
| 12 buys, $T = 20$ apart, never unwound | 229.13 | 0.0578 | 75.00 | 39.38 | 6.25 | 12 |
| 6 buy/sell round trips | 189.45 | 0.0308 | 0.00 | 3.28 | 6.25 | 12 |
| 5 buy/sell round trips | 157.89 | 0.0442 | 0.00 | 3.28 | 6.25 | 10 |
| 12 buys, each unwound after 20 steps | 378.82 | 0.0040 | 0.00 | 3.28 | 6.25 | 24 |
| Generalized-eigenvector probe ($L = 120$) | 65.06 | 0.0500 | 0.00 | 2.74 | 1.24 | 120 |
| Generalized-eigenvector probe ($L = 160$) | 64.86 | 0.0500 | 0.00 | 2.17 | 1.09 | 160 |
| Fee-refined probe ($L = 240$) | 64.48 | 0.0500 | 0.00 | — | 1.30 | 240 |

The pulse designs place a pulse every 40 steps and close it 20 steps later; the fee-refined probe is re-optimized by sequential quadratic programming over $L = 240$. The numerically evaluated lower bound of Theorem 5.1 is 61.41; the explicit constant of Lemma 4.5 is $4.9 \times 10^{-4}$.

For flat fee-paying policies $v \in \mathbb{R}^L$ with $\sum_t v_t = 0$, the capital problem is

$$\min_{v} \max_{i \in \{0,1\}} L_i(v) + \sum_t \phi P_* |v_t| + \max_t \mu P_* |I_t| \quad \text{s.t.} \quad \|(H_1 - H_0)v\|_2 \geq 2\sigma z_{1-\alpha}, \tag{16}$$

where $L_i(v) = \frac{1}{2} v^\top T_{h_i} v$ is the exact Toeplitz round-trip loss. Zero-padding embeds horizon $L$ into $L + 1$ at identical cost and information, so the minimum is non-increasing in $L$.

**Theorem 5.1** (Spectral dissipation lower bound)**.** *Let* $\hat{H}_i(z) = \sum_{j \geq 0} h_{i,j} z^{-j}$, $\Delta\hat{H} = \hat{H}_1 - \hat{H}_0$, *and define the dissipation kernel*

$$g_i(\omega) = \operatorname{Re} \hat{H}_i(e^{i\omega}) - \kappa/2 > 0 \qquad \forall \omega \in [-\pi, \pi]. \tag{17}$$

*(i)* Toeplitz energy identity. *For any flat round trip,* $L_i(v) = \frac{1}{2\pi} \int_{-\pi}^{\pi} g_i(\omega) |V(e^{i\omega})|^2 d\omega$.

*(ii)* Lower bound. $\|(H_1 - H_0)v\|_2^2 \leq \sup_\omega \frac{|\Delta\hat{H}(e^{i\omega})|^2}{g_i(\omega)} L_i(v)$, *so every deterministic round trip with error at most* $\alpha$ *has*

$$L_i(v) \;\geq\; 4\sigma^2 z_{1-\alpha}^2 \inf_\omega \frac{g_i(\omega)}{|\Delta\hat{H}(e^{i\omega})|^2} \;\equiv\; C^*_{\text{det,quad}}(\delta). \tag{18}$$

*(iii)* Bracket. *At* $\delta = 0.05$, $C^*_{\text{det,quad}} = 61.14$ *at* $\omega^* = 0.2526$*; adding the unavoidable fee* $\phi P_* \cdot 2\sigma z / \sup_\omega |\Delta\hat{H}|$ *gives the numerical lower estimate* $C_{\text{det}} \geq 61.41$. *A feasible 240-step sequence attains 64.48, so the fee-paying optimum lies in* $[61.41, 64.48]$.

*(iv)* Process noise. *Let the price also receive the innovations* $w_t \sim N(0, \sigma_w^2)$ *of (1), independent of observation noise* $\nu_t \sim N(0, \sigma_\nu^2)$, *so that from the reset state the observer sees* $\tilde{x}_t = (h_i * v)_t + \kappa^{-1}(h_i * w)_t + \nu_t$, $t < T$. *For the known pair of Theorem 4.1, put* $\sigma^2_{\text{eff}} = \sigma_\nu^2 + \sigma_w^2/4$, $\bar{M} = 1/(1 - S)$ *and* $C_w = 2\sigma_w^4 \bar{M}^2 K_*^2 (\sigma_\nu^2 +$

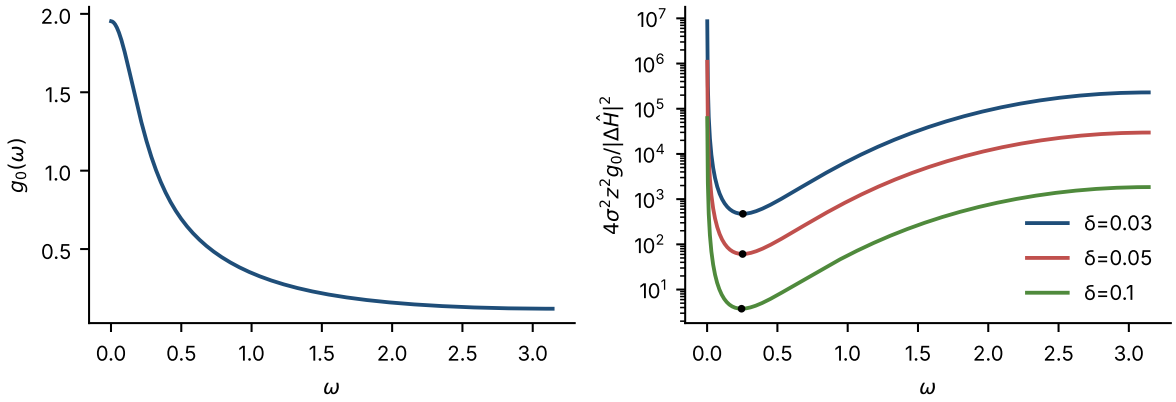



Figure 3: Left: the dissipation kernel $g_0(\omega)$ is strictly positive. Right: the capital ratio in (18); dots mark its minimum, near $\omega^* \approx 0.25$ for every separation. Recomputed in this revision.

$\sigma_w^2 \bar{M}^2)/(\kappa^2 \sigma_\nu^2 \sigma_{\text{eff}}^4)$. *Every deterministic round trip whose test has errors* $\alpha$ *and* $\beta$ *under the two hypotheses satisfies*

$$L_i(v) \;\geq\; 2\sigma_{\text{eff}}^2 \big[\mathrm{kl}(\alpha, 1-\beta) - C_w T \delta^4\big]_+ \inf_\omega \frac{g_i(\omega)}{|\Delta\hat{H}(e^{i\omega})|^2}, \tag{19}$$

*with* kl *as in Theorem 5.2. In-loop noise therefore leaves the* $\delta^{-4}$ *capital order intact for every horizon* $T \leq \mathrm{kl}(\alpha, 1-\beta)/(2C_w\delta^4)$*; at horizons of order* $\delta^{-4}$ *and longer, the noise itself separates the pair without a probe (Theorem 6.10).*

**In words.** This turns the order into a dollar floor. No round trip that tells the two candidate markets apart at 5% error can lose less than this amount, and a concrete probe comes within 5% of it.

Positivity of $g_i$ follows from Lemma 2.3: $g_i(\omega) = \frac{1}{2}\sum_\ell \omega_\ell \frac{1-\lambda_\ell^2}{1-2\lambda_\ell \cos\omega + \lambda_\ell^2} > 0$. We compute $C^*_{\text{det,quad}}$ across separations (Table 7): 61.14 at $\delta = 0.05$, with $\delta^4 C^*_{\text{det,quad}}$ between $3.67 \times 10^{-4}$ and $3.84 \times 10^{-4}$, confirming the $\delta^{-4}$ law. The fee term, the feasible upper bounds and the adaptive bound of Theorem 5.2 are reported in the same table.

The infimum over $\omega$ is evaluated on a fine frequency grid; a local refinement agrees to four digits (61.1377 at $\omega^* = 0.2526$), and the reported constant is the larger of the two hypotheses' bounds. "Certified" here means a numerical evaluation of the stated bound, not an interval-arithmetic enclosure.

**Theorem 5.2** (Adaptive and sequential probing)**.** *Let* $(v_t)_{t\leq\tau}$ *be any non-anticipating policy adapted to the price filtration, with an almost surely finite stopping time and*

Table 7: Capital lower bounds and feasible upper bounds across separations (par units)

| $\delta$ | $\omega^*$ | $C^*_{\mathrm{det,quad}}$ | $\delta^4 C^*_{\mathrm{det,quad}}$ | Certified $C_{\mathrm{det}}$ | Feasible UB | Adaptive LB |
|---|---|---|---|---|---|---|
| 0.02 | 0.2546 | 2397.85 | $3.84 \times 10^{-4}$ | 2399.58 | 2428.25 | 1176.04 |
| 0.03 | 0.2541 | 473.19 | $3.83 \times 10^{-4}$ | 473.97 | 484.50 | 232.51 |
| 0.05 | 0.2526 | 61.14 | $3.82 \times 10^{-4}$ | 61.41 | 64.48 | 30.22 |
| 0.08 | 0.2488 | 9.26 | $3.79 \times 10^{-4}$ | 9.37 | 10.38 | 4.64 |
| 0.10 | 0.2453 | 3.77 | $3.77 \times 10^{-4}$ | 3.83 | 4.44 | 1.91 |
| 0.15 | 0.2331 | 0.73 | $3.67 \times 10^{-4}$ | 0.76 | 1.01 | 0.38 |

Calibration $a = 0.5$, $\kappa = 0.8$, $q = 0.2$, $\eta = 0.4$, $\sigma = 0.01$, $\alpha = 0.05$. From `recompute_theory.py` and `recompute_p1_capital.py`; the numerical-bound column adds the fee lower bound to the fee-free infimum; the feasible column is the best flat probe found over $L \leq 240$; the adaptive column adds the fee lower bound to the adaptive bound.

$\sum_{t \leq \tau} v_t = 0$, *followed by a terminal test* $\psi_\tau \in \{0, 1\}$ *with* $P_0(\psi_\tau = 1) \leq \alpha$ *and* $P_1(\psi_\tau = 0) \leq \beta$. *Then*

$$\mathbb{E}_0[L_0(v)] \;\geq\; 2\sigma^2 \,\mathrm{kl}(\alpha, 1-\beta) \inf_{\omega} \frac{g_0(\omega)}{|\Delta \hat{H}(e^{i\omega})|^2}, \tag{20}$$

*where* $\mathrm{kl}(\alpha, 1-\beta) = \alpha \log \frac{\alpha}{1-\beta} + (1-\alpha) \log \frac{1-\alpha}{\beta}$. *Hence adaptation can lower expected fee-free loss by at most the factor* $\mathrm{kl}(\alpha, 1-\beta)/(2z^2_{1-\alpha}) \approx 0.4897$ *at* $\alpha = \beta = 0.05$, *and cannot alter the* $\delta^{-4}$ *order.*

**In words.** Letting the observer adapt its test trades as data arrive, and stop as soon as it is confident, helps only a little: at the calibration it can cut the expected loss by at most about half. The steep cost is a property of the market, not of a clumsy probing plan.

At $\delta = 0.05$ the adaptive bound is 29.94, or 30.22 with the minimal fee. Pairing it with the feasible deterministic 64.48 gives a numerical ratio of at least 0.464. In 20,000 simulated sequential probability-ratio tests, which split the optimal probe into ten copies of equal information, mean loss was 39.5 under $H_0$, between the two bounds, but losses vary with the stopping time: the 95th and 99th percentiles of required account capital were 91.7 and 128.4, and funding a trader with only the mean loss gives a 37.5% insolvency rate before the test ends. Expected-loss savings are not solvency savings.

**Theorem 5.3** (Finite-horizon Rayleigh–Hölder duality)**.** *For a horizon of* $L \geq 4$ *trading periods, let* $E \in \mathbb{R}^{L \times (L-1)}$ *be the first-difference basis of flat probes* ($\sum_t v_t = 0$), $Q_i = \frac{1}{2} T_{h_i}$ *(so that* $L_i(v) = v^\top Q_i v$*),* $A_{\mathrm{diff}} = (H_1 - H_0)^\top (H_1 - H_0)$, *and let* $G_i = E^\top Q_i E \succ 0$ *and*

*$M = E^\top A_{\text{diff}} E \succeq 0$ be the reduced execution-loss and information matrices, with $G_i$-orthonormal generalized eigenvectors $e_j$ and eigenvalues $0 \le \lambda_1 \le \cdots \le \lambda_{L-3} < \lambda_{L-2} \le \lambda_{L-1}$; put $c_{\text{req}} = 4\sigma^2 z_{1-\alpha}^2$ and $c_{\text{fee}} = \phi P_*$. For $\theta \in [0, \pi)$ let $d(\theta) = \cos\theta\, e_{L-2} + \sin\theta\, e_{L-1}$, $\lambda(\theta) = \lambda_{L-2}\cos^2\theta + \lambda_{L-1}\sin^2\theta$, $s_\theta = \operatorname{sign}(Ed(\theta))$, and*

$$F_{\text{dom}}(\theta) = c_{\text{fee}}\sqrt{\frac{c_{\text{req}}}{\lambda(\theta)}}\,\|Ed(\theta)\|_1, \qquad W_\perp(\theta) = c_{\text{fee}}^2 \sum_{j \le L-3} \frac{(s_\theta^\top E e_j)^2}{1 - \lambda_j/\lambda(\theta)},$$
$$\gamma(\theta) = \frac{\lambda(\theta)\,\lambda_{L-3}}{(\lambda(\theta) - \lambda_{L-3})\,c_{\text{req}}}. \tag{21}$$

*Then every flat probe meeting the separation constraint of (16) satisfies*

$$L_i(v) + c_{\text{fee}}\|v\|_1 \;\ge\; \min_\theta \Big\{ \frac{c_{\text{req}}}{\lambda(\theta)} + \Psi(\theta) \Big\} \;\equiv\; C_{\text{RH}}(L) \;\ge\; \frac{c_{\text{req}}}{\lambda_{L-1}}, \tag{22}$$

$$\Psi(\theta) = \min_{x \ge 0} \Big\{ x^2 + \Big[ F_{\text{dom}}(\theta)\big(1 - \gamma(\theta)x^2\big)_+ - \sqrt{W_\perp(\theta)}\,x \Big]_+ \Big\} \;\ge 0,$$

*a piecewise-quadratic minimization in closed form; when $\gamma F_{\text{dom}} < 1$ and the minimizer has $\gamma x^2 \le 1$, $\Psi \ge \max\big(0, F_{\text{dom}} - W_\perp/(4(1 - \gamma F_{\text{dom}}))\big)$, which is what the bound uses.*

**In words.** This is the exact cheapest probe over a finite number of trading periods, fees included. It confirms that the dollar floor of Theorem 5.1 is not an artefact of assuming an infinitely long probe.

The bound is computable for any horizon. Table 8 reports its quadratic part $c_{\text{req}}/\lambda_{L-1}$, which decays toward the infinite-horizon value 61.14 at rate $O(L^{-1})$, the full bound $C_{\text{RH}}(L)$, and the best feasible fee-paying probe we find at each horizon. At $L = 80$ the full bound is 64.72 against a best probe of 64.76 on the same loss-plus-fee objective (Table 8 reports 65.02 for ledger capital, which also includes margin), so the dual is essentially tight at short horizons; at longer horizons the fee term of the dual weakens and the bracket widens to about 5%. The fee of unpadded full-support eigenvectors grows as $\Theta(\sqrt{L})$, which is why zero-padded or $L_1$-localized probes are needed at long horizons.

## 5.3 Robustness: heteroskedastic impact and probing protocols

Probing-induced heteroskedasticity and convex impact leave the $\delta^{-4}$ capital order unchanged (Supplemental Appendix, Corollary S.3.1), and four simulated probing protocols all exhibit log–log capital slopes near $-4$ (Table 32).

Table 8: Finite-horizon capital at $\delta = 0.05$ (par units)

| Horizon $L$ | Quadratic part $c_{\mathrm{req}}/\lambda_{L-1}$ | Full bound $C_{\mathrm{RH}}(L)$ | Best feasible probe | Gap to $C_{\mathrm{det}} = 61.41$ |
|---|---|---|---|---|
| 80 | 62.55 | 64.72 | 65.02 | 5.9% |
| 120 | 61.84 | 63.39 | 64.59 | 5.2% |
| 160 | 61.54 | 62.46 | 64.50 | 5.0% |
| 240 | 61.32 | 61.76 | 64.48 | 5.0% |
| 320 | 61.25 | — | $\leq 64.48$ | $\leq 5.0\%$ |
| 480 | 61.19 | — | $\leq 64.48$ | $\leq 5.0\%$ |

Quadratic bound $c_{\mathrm{req}}/\lambda_{L-1}$ from the generalized eigenproblem of Theorem 5.3 on flat probes (equivalently $c_{\mathrm{req}}/(2\lambda'_L)$ with $\lambda'$ computed against $T_{h_0}$ rather than $\frac{1}{2}T_{h_0}$); it converges to the infinite-horizon value 61.14. The full bound minimizes (22) over 3,600 values of $\theta$ (`hardening/rh_bound.py`); at $L = 80$ and 120 a direct numerical minimization of loss plus fee under the separation constraint gives 64.76 and 64.43, above the bound. Feasible probes: top generalized eigenvector refined by sequential quadratic programming on the full ledger; at $L = 320$ and 480 the $L = 240$ probe padded with zeros is feasible at the same cost, so the best feasible value can only be lower.

Table 9: Capital lower bound under alternative observation-noise calibrations (USDT)

| Noise calibration | $\delta = 0.02$ | $\delta = 0.05$ | $\delta = 0.10$ |
|---|---|---|---|
| Roll estimator, median (0.40 USDT) | 3,874,696 | 99,192 | 6,200 |
| One-second price-change s.d., median (1.98 USDT) | 93,688,369 | 2,398,422 | 149,901 |
| Earlier assumption (4 USDT, upper scenario) | 383,812,500 | 9,825,600 | 614,100 |

$C(\sigma, \delta) = 61.41 \times (\sigma/0.01)^2 \times (0.05/\delta)^4$, with $\sigma$ the unrounded median. Noise estimated on 11 days of checksum-verified Binance BTCUSDT one-second klines.

## 5.4 From par units to Bitcoin dollars

Capital scales as $\sigma^2\delta^{-4}$, so the dollar magnitude hinges on the observation noise. Treating the 4 USDT ten-second price volatility as observation noise would give 9.8 million USDT at $\delta = 0.05$, but that conflates price volatility with measurement error. We now estimate observation noise from Binance BTCUSDT one-second closes on January 10–20, 2023, with the Roll covariance estimator $\hat{\sigma} = \sqrt{-\mathrm{cov}(\Delta p_t, \Delta p_{t-1})}$ (Roll, 1984). Daily estimates range from 0.09 to 0.77 USDT, median 0.40 USDT.

At realistic noise, separating rates that differ by 0.05 costs about $9.9 \times 10^4$ USDT, which is not prohibitive for a well-capitalized desk (Table 9). The barrier becomes large only for finer separation (3.9 million USDT at $\delta = 0.02$) and, through Theorem 6.4, when several cohorts are unknown. Two factors we do not model would raise these figures: walking several levels of a real book costs more than the linear top-of-book impact assumed here, and impact-induced heteroskedasticity raises the noise a probe must overcome. The capital figures are therefore lower bounds for the stated model.

Table 10: Daily observation-noise estimates, Binance BTCUSDT one-second closes

| Date | Roll $\hat{\sigma}$ (USDT) | One-second change s.d. (USDT) | Mean price (USDT) |
|---|---|---|---|
| 2023-01-10 | 0.152 | 0.679 | 17,288 |
| 2023-01-11 | 0.092 | 0.891 | 17,456 |
| 2023-01-12 | 0.232 | 2.292 | 18,343 |
| 2023-01-13 | 0.348 | 1.762 | 19,075 |
| 2023-01-14 | 0.773 | 3.511 | 20,818 |
| 2023-01-15 | 0.482 | 1.790 | 20,778 |
| 2023-01-16 | 0.629 | 2.357 | 21,036 |
| 2023-01-17 | 0.457 | 1.976 | 21,194 |
| 2023-01-18 | 0.695 | 2.541 | 21,122 |
| 2023-01-19 | 0.402 | 1.316 | 20,850 |
| 2023-01-20 | 0.316 | 2.038 | 21,306 |
| Median | 0.402 | 1.976 | |

The Roll estimator measures the negative first-order autocovariance of price changes, which reflects bid-ask bounce and recording noise rather than price volatility.

# 6 Unknown mixtures and passive data

Theorem 4.1 concerns a *known* pair. A supervisor faces an unknown number of cohorts with unknown rates and weights. This section asks how fast the cost of recovering them grows.

## 6.1 Why naive pole fitting fails

Because the memory rates are zeros of $H$ (Theorem 3.1), extracting poles directly from the price impulse response by matrix-pencil or Prony methods targets closed-loop eigenvalues. A four-step inversion repairs this: (1) decouple $g_t = h_{t+1} - ah_t$; (2) form a Hankel matrix of $g$ and compute a minimal realization by Kung's eigensystem realization; (3) compute its transmission zeros, which are the roots of the denominator of $G$; (4) project reconstructed flow onto the recovered memory filters to obtain the weights (Appendix S.8.3). Without noise this recovers $K = 0$, $K = 1$ and well-separated two-cohort systems exactly (Appendix S.8.3); with noise, per-cohort weights become unreliable once rates are close. The reason is information-theoretic, as the rest of this section shows.

## 6.2 Local information: the Cramér–Rao benchmark

**Proposition 6.1** (Cramér–Rao benchmark)**.** *Let $\theta$ collect the weights $w_1, \dots, w_K$ and rates $\eta_1, \dots, \eta_K$. Suppose the impulse response $h_t(\theta)$, $t \le T$, is observed with i.i.d. Gaussian error from $N$ reset probes of size $V_{\text{probe}}$ against innovation noise $\sigma_p$, so the error has*

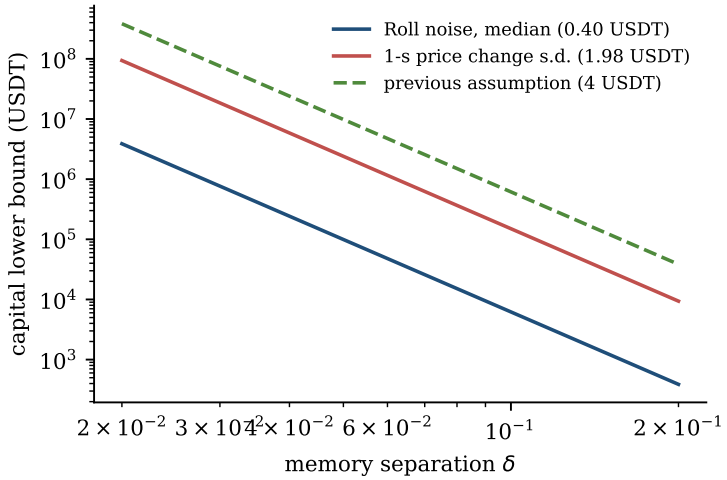



Figure 4: Capital lower bound against memory separation for three observation-noise calibrations.

Table 11: Cramér–Rao sample sizes for multi-cohort weight recovery ($T = 120$ taps)

| Scenario | $K$ | $N^*$ probes | $\sigma_{\text{crit}}$ | ML success ($f = 1$) | RMSE/CRB |
|---|---|---|---|---|---|
| $\eta = 0.30$ | 1 | 0.1 | $6.05 \times 10^{-3}$ | 94% | 1.02 |
| $\Delta\eta = 0.30$ | 2 | 47.8 | $2.31 \times 10^{-4}$ | 94% | 1.01 |
| $\Delta\eta = 0.20$ | 2 | 597 | $6.55 \times 10^{-5}$ | 96% | 0.98 |
| $\Delta\eta = 0.10$ ($\delta = 0.05$ pair) | 2 | 40,374 | $7.96 \times 10^{-6}$ | 93% | 1.03 |
| $\Delta\eta = 0.05$ | 2 | 2,620,320 | $9.88 \times 10^{-7}$ | 95% | 1.03 |
| spacing 0.10 | 3 | 17,349,791 | $3.84 \times 10^{-7}$ | 98% | 1.22 |
| spacing 0.20 | 3 | 27,038 | $9.73 \times 10^{-6}$ | 98% | 0.88 |

Tolerance $\pm 0.01$ at 95%. $\sigma_{\text{crit}}$ is the single-probe noise at which one probe suffices; operational single-probe noise is $1.6 \times 10^{-3}$. ML columns: least squares over all weights and rates from six generic starts (never the true values), 200 replications per row at $\sigma_{\text{crit}}$; success means every weight within $\pm 0.01$. Fitted log–log slope of $N^*$ in $\Delta\eta$: $-6.04$.

*standard deviation* $\sigma_h = \sigma_p/(V_{\text{probe}}\sqrt{N})$. *With Jacobian* $J_{tj} = \partial h_t/\partial\theta_j$ *and* $F_{\text{unit}} = J^\top J$, *any regular unbiased estimator has* $\mathrm{Var}(\hat{w}_k) \geq \sigma_h^2[F_{\text{unit}}^{-1}]_{kk}$, *and a 95% interval of half-width* tol *requires*

$$N^* \geq \left(\frac{1.96}{\text{tol}}\right)^2 \left(\frac{\sigma_p}{V_{\text{probe}}}\right)^2 [F_{\text{unit}}^{-1}]_{kk}. \tag{23}$$

*For* $K = 2$ *with spacing* $\Delta\eta$, $[F_{\text{unit}}^{-1}]_{kk} = \Theta((\Delta\eta)^{-6})$, *so* $N^* = \Theta((\Delta\eta)^{-6})$.

**In words.** This gives the number of test trades any well-behaved estimator needs to pin down one group's trading weight to a stated precision. Each extra group with a nearby memory raises the number sharply, as Table 11 shows.

At the critical noise level maximum likelihood attains the bound: its RMSE for the

hardest weight is between 0.88 and 1.22 times the Cramér–Rao value and every weight is within tolerance in 93% to 98% of replications (Table 11), so the critical noise levels, not estimator failure, are what make close cohorts expensive. Under ordinary surveillance budgets ($N \leq 50$) unbiased estimators cannot resolve close weights.

## 6.3 A global two-point bound for any estimator

The Cramér–Rao benchmark of Proposition 6.1 applies only to regular unbiased estimators. Could biased, ridge, shrinkage or Bayesian estimators escape the $(\Delta\eta)^{-6}$ scaling? No.

**Theorem 6.2** (Global two-point bound and matching upper bound, $K = 2$)**.** *In this theorem $w_k$ denotes cohort $k$'s trading intensity $q_k$, not the merged weight $q_k\eta_k$ of Section 2, and $\Delta\eta$ is the actual spacing of the two rates. Fix total intensity $q = 0.20$, mean rate $\bar{\eta} = 0.40$, target separation $\tau = 0.01$, and $\Delta\eta \in (0, 8/11)$ (so that $\bar{\eta} - p_+\Delta\eta > 0$). Let $p_\mp = \frac{1}{2} \mp \tau/q$ and*

$$\theta_0 = (qp_-, qp_+, \bar{\eta} - p_+\Delta\eta, \bar{\eta} + p_-\Delta\eta), \qquad \theta_1 = (qp_+, qp_-, \bar{\eta} - p_-\Delta\eta, \bar{\eta} + p_+\Delta\eta). \quad (24)$$

*(i) Label cohorts in increasing order of rate, so that weight vectors are compared rate by rate (as unordered sets the two weight vectors coincide). Both economies have spacing $\Delta\eta$, weight separation $\|w(\theta_1) - w(\theta_0)\|_\infty = 2\tau$ in this labelling, and equal rate moments $M_m = \sum_k w_k\eta_k^m$ for $m \in \{0, 1, 2\}$, while*

$$M_3(\theta_1) - M_3(\theta_0) = 4\tau p_- p_+ (\Delta\eta)^3. \quad (25)$$

*Hence $\|h(\theta_1) - h(\theta_0)\|_2 = \Theta(\tau(\Delta\eta)^3)$.*

*(ii) For any measurable estimator (including biased, ridge, James–Stein or MAP) that reports weights in the same rate order, the supremum being over the class of two-cohort economies with total weight $q$, mean rate $\bar{\eta}$ and spacing $\Delta\eta$,*

$$\sup_\theta P_\theta(\|\hat{w} - w(\theta)\|_\infty \geq \tau) \;\geq\; 1 - \Phi\Big(\frac{\sqrt{N}\|h(\theta_1) - h(\theta_0)\|_2}{2\sigma_h}\Big), \quad (26)$$

*so failure probability at most 0.05 requires $N \geq 4\sigma_h^2 z_{0.95}^2/\|h(\theta_1) - h(\theta_0)\|_2^2 = \Omega((\Delta\eta)^{-6})$. For $\Delta\eta \geq 2\tau q/(q + 2\tau)$ ($\approx 0.018$ at the stated values) the same bound*

Table 12: Two-point sample complexity for two-cohort weight recovery

| $\Delta\eta$ | $\Delta M_3$ | $\|\Delta h\|_2$ | $N^*_{\text{LeCam}}$ (95%) | $N^*_{\text{CRB}}$ |
|---|---|---|---|---|
| 0.30 | $2.67 \times 10^{-4}$ | $1.98 \times 10^{-3}$ | 7.1 | 47.8 |
| 0.20 | $7.92 \times 10^{-5}$ | $5.60 \times 10^{-4}$ | 88.2 | 597.0 |
| 0.14 | $2.72 \times 10^{-5}$ | $1.89 \times 10^{-4}$ | 775.3 | 5,267.9 |
| 0.10 | $9.90 \times 10^{-6}$ | $6.84 \times 10^{-5}$ | 5,927.6 | 40,374.2 |
| 0.08 | $5.07 \times 10^{-6}$ | $3.49 \times 10^{-5}$ | 22,740.5 | 155,048.9 |
| 0.06 | $2.14 \times 10^{-6}$ | $1.47 \times 10^{-5}$ | 128,333.0 | 875,732.3 |
| 0.05 | $1.24 \times 10^{-6}$ | $8.50 \times 10^{-6}$ | 383,859.1 | 2,620,321.2 |
| 0.04 | $6.34 \times 10^{-7}$ | $4.35 \times 10^{-6}$ | 1,466,361.5 | 10,012,662.4 |

*Worst-case failure at* $\Delta\eta = 0.10$*,* $N = 50$*, 1,000 trials per hypothesis*: bound 44.1%; ML 94.5%, ridge 47.5%, positive-part shrinkage 100%, heavy prior 73.9%.

$\tau = 0.01$, $\sigma_h = 1.6 \times 10^{-3}$, $a = 0.5$, $\kappa = 0.8$, 121 taps. Recomputed columns from `recompute_theory.py`. Estimators re-implemented in `recompute_p1_estimators.py`: ML is least squares from four starts; ridge and heavy prior are posterior modes with prior standard deviations $(0.05, 0.10)$ and $(0.005, 0.02)$ for (weights, rates) around the symmetric centre of the two hypotheses; positive-part shrinkage pulls the ML weights toward their mean. Failure means some weight is off by at least $\tau$.

*holds without any labelling convention, for the permutation-invariant loss*

$$d_\infty(\hat{\theta}, \theta) = \min_{\pi \in S_2} \max_k \big( |\hat{w}_{\pi(k)} - w_k| + |\hat{\eta}_{\pi(k)} - \eta_k| \big),$$

*because then* $d_\infty(\theta_0, \theta_1) = \min\{2\tau(1 + \Delta\eta/q), (1 + 2\tau/q)\Delta\eta\} \geq 2\tau$*. For smaller spacings the relevant permutation-invariant statement is the Wasserstein bound of Theorem 6.4.*

*(iii) Conversely, the matching upper bound* $N = O((\Delta\eta)^{-6})$ *on rich separated two-cohort classes is Theorem 6.5 with* $K = 2$*. On the separated class with weights and rates bounded away from the boundary, Toeplitz deconvolution followed by a Prony–Hankel root step has Hankel determinant* $g_1 g_3 - g_2^2 = w_1 w_2 \eta_1 \eta_2 r_1 r_2 (\Delta\eta)^2 > 0$ *for the deconvolved kernel* $g_m = \sum_i w_i \eta_i r_i^m$*, and perturbation analysis gives the same order.*

**In words.** For two unknown groups, no method can tell the two candidate markets apart reliably with fewer than a number of experiments of order $(\Delta\eta)^{-6}$, and a practical method (Prony's method, Theorem 6.5) achieves this order. Halving the spacing multiplies the data needed by 64.

We recomputed the two-point quantities exactly (Table 12): the moment gap equals $4\tau p_- p_+ (\Delta\eta)^3$ to machine precision, and the Le Cam requirement at $\Delta\eta = 0.10$ is 5,927.6 resets. The worst-case failure rates of four re-implemented estimators all lie above the lower bound (Table 12).

*Remark* 6.3 (The hard directions carry no risk). The two economies of Theorem 6.2 have the same total weight $\sum_i q_i = q$, so their summed price response $\sum_t h_t = \kappa/(1-a-\kappa\sum_i q_i)$ is identical, 2.353 at the calibration of Table 12: the directions in which prices are least informative about the cohorts are directions in which cumulative price risk does not move. The summed response is a linear functional of the response and is estimated at the parametric rate whatever the spacing of the memories; the companion paper turns this into a certification theorem, a minimax-optimal pre-trade guard and a decision value of disclosure (Niroula et al., 2026). Identification and safety ask different questions of the same data.

## 6.4 Many unknown cohorts

**Theorem 6.4** ($K$-cohort two-point lower bound)**.** *Fix $K \geq 2$, a center $r_c \in (0,1)$, total merged weight $W > 0$ and $0 < \Delta\eta < \min(r_c, 1-r_c)$, so that all rates lie in $(0,1)$, and assume $a + \kappa W/(1-r_c-\Delta\eta) < 1$, so that every candidate economy is Schur stable. Each reset experiment observes $T \geq 2K$ noisy taps ($T = \infty$ allowed); the bound below uses the full response norm, which dominates any finite prefix. There exist two $K$-cohort economies with rates in $r_c + \Delta\eta[-1,1]$, positive weights, and merged measures whose moments of order $0,\dots,2K-2$ coincide while the moment of order $2K-1$ differs by a constant times $(\Delta\eta)^{2K-1}$. Their impulse responses differ by $\|h^A - h^B\|_2 \asymp (\Delta\eta)^{2K-1}$, so recovering the weights from $N$ independent noisy reset experiments with worst-case error probability below $1/4$ requires*

$$N \;\geq\; c\,\sigma^2(\Delta\eta)^{-(4K-2)}.$$

*The same requirement holds for the permutation-invariant loss $W_1(\hat{M}, M)$ between estimated and true merged measures at accuracy $c_K W \Delta\eta$, where $2c_K > 0$ is the Wasserstein distance between the two normalized quadrature rules, so no relabelling of atoms escapes it.*

The two losses have different targets. The weights of the two economies differ by a constant that does not shrink with $\Delta\eta$, so the first statement is about weights at fixed accuracy, which Theorem 6.5 matches; the Wasserstein statement is about the memory distribution at accuracy proportional to $\Delta\eta$, which Theorem 6.6 matches.

The construction uses the $K$-point Gauss and Gauss–Radau rules of the same weight function: both are positive, have $K$ atoms and integrate polynomials of degree $2K-2$ exactly. For $K = 2$ it reproduces the order of Theorem 6.2. Table 13 lists the two rules:

Table 13: Gauss and Gauss–Radau rules on $[-1, 1]$ used in Theorem 6.4

| $K$ | Gauss nodes / Gauss–Radau nodes | Max gap, orders $< 2K-1$ | Gap at order $2K-1$ |
|---|---|---|---|
| 2 | $\pm 0.5774$ / $-1$, 0.3333 | $6 \times 10^{-17}$ | 0.2222 |
| 3 | 0, $\pm 0.7746$ / $-1$, $-0.2899$, 0.6899 | $2 \times 10^{-16}$ | 0.0533 |
| 4 | $\pm 0.3400$, $\pm 0.8611$ / $-1$, $-0.5753$, 0.1811, 0.8228 | $4 \times 10^{-16}$ | 0.0131 |

All Gauss–Radau weights are positive.

Table 14: Numerical check of Theorem 6.4

| | $K=2$ | $K=3$ | $K=4$ |
|---|---|---|---|
| Theoretical exponent of $N^*$ | $-6$ | $-10$ | $-14$ |
| Fitted log–log slope (small $\Delta\eta$) | $-5.96$ | $-9.96$ | $-14.01$ |

Le Cam bound $N^* \propto \sigma^2/\|h^A - h^B\|_2^2$ with $\sigma = 1$, $a = 0.5$, $\kappa = 1$, total merged weight 0.10, rates centered at 0.70, responses over 400 lags.

their low moments agree to machine precision and their moment of order $2K-1$ differs by 0.222, 0.0533 and 0.0131 for $K = 2, 3, 4$. The shrinking gap explains why constants deteriorate with $K$ on top of the exponent.

**What counts as an experiment.** In Theorem 6.4 an experiment is a unit impulse from the reset state whose response is observed with noise of variance $\sigma^2$ per tap. The exponent is the same for any probe design of bounded energy. For any probe $v$ the mean difference between the two economies is at most $\sup_\omega |\Delta\hat{H}(e^{i\omega})|\,\|v\|_2$, and $\sup_\omega |\Delta\hat{H}| = O((\Delta\eta)^{2K-1})$ because $\Delta\hat{H} = z^{-1}\hat{H}_A\hat{H}_B\,\Delta G$ with both responses bounded on the circle. Experiments with probe energy $E$ each therefore need $NE \gtrsim \sigma^2(\Delta\eta)^{-(4K-2)}$: a larger probe buys the same information with fewer experiments, and Section 5 prices the capital that a larger probe requires. The bound does not cover information obtained without trading against the groups, such as class records (Section 8).

Table 14 and Figure 5 confirm the order numerically.

**Theorem 6.5** (Matching upper bound for every $K$)**.** *Fix $K \geq 2$, a compact set $\mathcal{S} \subset \{s \in [-1,1]^K : s_1 < \cdots < s_K\}$ of ordered rescaled rates with $\min_{i \neq j} |s_i - s_j| \geq \gamma > 0$, and weights in $[\omega_{\min}, \omega_{\max}]$ with $\omega_{\min} > 0$. Consider the class of $K$-cohort economies with rates $r_c + \Delta\eta\, s$, $s \in \mathcal{S}$, and $N$ independent reset experiments whose responses carry Gaussian noise with variance $\sigma^2$. There are constants $c_0, C > 0$ depending only on $(K, \mathcal{S}, \gamma, \omega_{\min}, \omega_{\max}, a, \kappa, r_c)$ such that, whenever $\epsilon_N \equiv \sigma N^{-1/2}(\Delta\eta)^{-(2K-1)} \leq c_0/\sqrt{\log(4K/\beta)}$, Prony's method applied to the first $2K$ estimated kernel values, with*

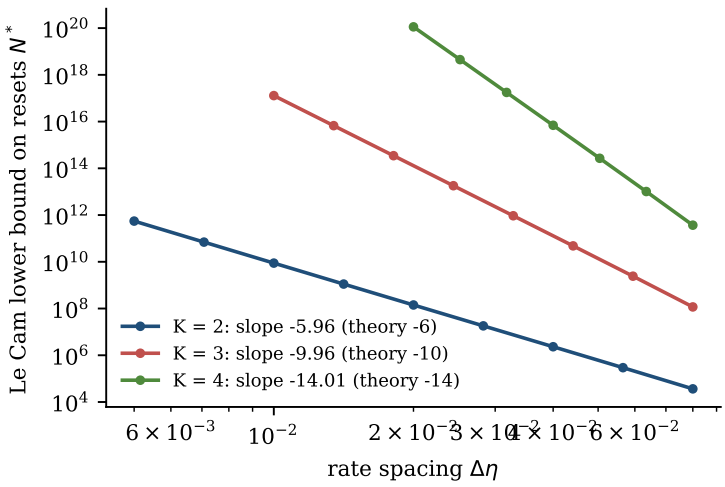



Figure 5: Two-point lower bound on the number of reset experiments needed to separate $K$-cohort economies, as a function of the rate spacing.

*its output atoms listed in increasing order of rate, recovers the weights with*

$$\max_i |\hat{w}_i - w_i| \;\le\; C\sqrt{\log(4K/\beta)}\,\epsilon_N$$

*with probability at least* $1-\beta$. *Hence* $N = C'\sigma^2(\Delta\eta)^{-(4K-2)}$ *experiments suffice for any fixed accuracy and confidence, On any such class that contains the Gauss and Gauss–Radau pair of Theorem 6.4 (a rich class), together with that theorem the minimax sample requirement is* $N^* \asymp \sigma^2(\Delta\eta)^{-(4K-2)}$. *On smaller classes the upper bound need not be tight: if the rates are known, for example, the weights need only order* $\sigma^2(\Delta\eta)^{-2}$ *experiments.*

*Proof.* The kernel values $k_m = \sum_i w_i r_i^m$ are the power moments of the merged measure. The closed-loop recursion $h_t = ah_{t-1} + \kappa\sum_m k_m h_{t-1-m}$ (plus $\kappa$ at $t=0$) can be solved for $k_0,\dots,k_{2K-1}$ from $h_1,\dots,h_{2K}$. Because $h_0 = \kappa$ is a known primitive, each $k_m$ is a polynomial in $h_1,\dots,h_{m+1}$ with coefficients depending on $(a,\kappa)$ (the only division is by $\kappa h_0 = \kappa^2$), so on the bounded set of responses within sup-distance 1 of the class this map is $L_h$-Lipschitz, with $L_h$ depending on the class but not on $\Delta\eta$. Let $E$ be the event $\max_{1\le t\le 2K}|\bar{h}_t - h_t| \le \sigma N^{-1/2}\sqrt{2\log(4K/\beta)}$, where $\bar{h}_t$ averages the $N$ responses; a Gaussian tail bound and a union bound over the $2K$ estimated taps give $P(E)\ge 1-\beta$. On $E$, and provided this radius is at most 1, the estimated kernel values satisfy $\max_m|\hat{k}_m - k_m| \le L_h\sigma N^{-1/2}\sqrt{2\log(4K/\beta)}$. Centring at $r_c$ is a fixed triangular linear map, $\mu_m = \sum_{j\le m}\binom{m}{j}(-r_c)^{m-j}k_j$, and $\mu_m = (\Delta\eta)^m t_m$ with $t_m = \sum_i w_i s_i^m$. The map $F:(s,\omega)\mapsto(t_0,\dots,t_{2K-1})$ does not depend on $\Delta\eta$; its Jacobian is a confluent Vandermonde matrix

with determinant $\prod_i \omega_i \prod_{i<j}(s_i - s_j)^4$, bounded away from zero on the compact class. On ordered, $\gamma$-separated nodes $F$ is injective, because a measure with $K$ distinct atoms is determined by its first $2K$ moments. A $C^1$ map that is injective on a compact set $Q$ and has a nonsingular Jacobian there is injective on an open neighbourhood $U$ of $Q$: otherwise there are $x_n \neq y_n$ with $F(x_n) = F(y_n)$ and distance to $Q$ tending to zero, whose limits $x, y \in Q$ satisfy $F(x) = F(y)$, so $x = y$, contradicting local injectivity at $x$. Applying the quantitative inverse function theorem uniformly on $Q$, there are $\rho_0 > 0$ and $L < \infty$, uniform over the class, such that $F(U)$ contains the ball of radius $\rho_0$ around every point of $F(Q)$ and the single inverse $F^{-1} : F(U) \to U$ is $L$-Lipschitz on each such ball. An error $e$ in $\mu_m$ is an error $e(\Delta\eta)^{-m}$ in $t_m$, largest at $m = 2K - 1$. Since $\Delta\eta < 1$ and the centring map is fixed, on $E$ we get $\|\hat{t} - t\|_\infty \leq C_1\sqrt{\log(4K/\beta)}\,\epsilon_N$ with $C_1$ equal to $\sqrt{2}L_h$ times the norm of the centring map; and because $\sigma N^{-1/2}\sqrt{2\log(4K/\beta)} \leq \sqrt{2}\,\epsilon_N\sqrt{\log(4K/\beta)}$, the radius condition holds whenever $c_0 \leq 1/\sqrt{2}$. When this is below $\rho_0$, $\hat{t}$ lies in the ball where $F^{-1}$ is $L$-Lipschitz. For an input in such a ball, $x = F^{-1}(\hat{t})$ has $K$ distinct nodes and nonzero weights, so the $K \times K$ Hankel matrix of $\hat{t}$ is nonsingular and Prony's method returns exactly $x$; Prony's method computes the algebraic inverse of the moment map up to the order of the atoms, so, listing its output in increasing order of rate (which the error bound below keeps unambiguous once $C\sqrt{\log(4K/\beta)}\,\epsilon_N < \gamma/2$), its output is $F^{-1}(\hat{t})$ and the stated bound follows with $C = LC_1$ and $c_0 = \min\{\min(\rho_0, \gamma/(2L))/C_1,\, 1/\sqrt{2}\}$, which also keeps $C\sqrt{\log(4K/\beta)}\,\epsilon_N < \gamma/2$. No separate root-perturbation bound is needed: on the ball where $F^{-1}$ is $L$-Lipschitz, Prony's roots and weights are the coordinates of $F^{-1}(\hat{t})$, so the conditioning of the root step is part of $L$ (for an explicit step-by-step analysis of Prony's method with clustered exponents see Katz et al., 2023). The matching statement requires the class to contain the Gauss and Gauss–Radau pair of Theorem 6.4 (ordered nodes with separation at least the smaller of their two minimum gaps, and weights within $[\omega_{\min}, \omega_{\max}]$ after scaling to total weight $W$); for any such class the orders match, with constants that depend on the class. □

**In words.** With $K$ unknown groups whose memories lie within $\Delta\eta$ of each other, the number of experiments needed grows like $(\Delta\eta)^{-(4K-2)}$. For two groups, halving the spread multiplies the data needed by 64; for three groups, by 1,024. Theorem 6.4 shows that no method does better, and this theorem shows that Prony's method achieves it.

Table 15 confirms the order numerically. For numerical stability the estimator works in centred and rescaled coordinates (the estimator is the same; only its floating-point evaluation changes). The argument parallels the stability analysis of super-resolution for

Table 15: Sample requirement of Prony's method against the lower-bound order

| | $K=2$ | $K=3$ | $K=4$ | $K=5$ |
|---|---|---|---|---|
| Lower-bound order $-(4K-2)$ | $-6$ | $-10$ | $-14$ | $-18$ |
| Fitted slope of $N^*$ in $\Delta\eta$ (Prony) | $-5.94$ | $-10.00$ | $-13.93$ | $-18.34$ |

Rates $0.7 + \Delta\eta\, s$ with $s$ the $K$-point Gauss nodes, total weight 0.1, $\Delta\eta \in [0.03, 0.2]$; $N^*$ is the number of experiments for a weight RMSE of 10% of the smallest weight, from 400 simulated estimates per point. At $K = 5$ the fit is numerically sensitive: rerunning the same seeded script with a different numerical library gives slopes $-5.94$, $-10.00$, $-13.92$ and $-17.89$.

clustered complex nodes (Batenkov et al., 2021), and Katz et al. (2023) show that Prony's method attains the min-max bound for clustered exponents; here the nodes are real and are first extracted from the closed loop, and it reproduces the ESPRIT slope of $-6.15$ reported for $K = 2$ in the earlier version.

## 6.5 Near-colliding rates: a uniform rate for the merged measure

Theorem 6.5 needs the rates to stay $\gamma$-separated and every weight to stay away from zero. Neither restriction can be dropped for weight recovery: two atoms of weights $w$ and $W - w$ at rates $r$ and $r + \Delta$ and two of weights $W - w$ and $w$ at the same rates have merged measures that converge to the same measure as $\Delta \to 0$, so no estimator recovers the individual weights uniformly over near-colliding economies. What can be recovered uniformly is the merged measure itself, in the permutation-invariant Wasserstein distance.

**Theorem 6.6** (Uniform rate without separation)**.** *Fix $K \geq 1$, a memory bound $\bar{r} < 1$ and $0 < m_{\min} \leq B$. Let $\mathcal{M}_K$ be the merged measures with at most $K$ atoms in $[0, \bar{r}]$ and total mass $k_0 \in [m_{\min}, B]$, with no separation condition and no lower bound on individual weights, and write $\bar{M} = M/k_0$ for the normalized memory distribution. From $N$ reset experiments as in Theorem 6.5, let $\hat{M}$ be any element of $\mathcal{M}_K$ whose first $2K$ kernel values are closest in the sup norm to the estimated ones. There is $C$ depending only on $(K, \bar{r}, a, \kappa, B)$ such that, with probability at least $1 - \beta$,*

$$W_1(\hat{\bar{M}}, \bar{M}) \;\leq\; C\Big(\frac{\sigma\sqrt{\log(4K/\beta)}}{m_{\min}\sqrt{N}}\Big)^{1/(2K-1)} \qquad \text{uniformly over } \mathcal{M}_K.$$

*Hence $N = O(\sigma^2 m_{\min}^{-2} \epsilon^{-(4K-2)})$ experiments give accuracy $\epsilon$, and with the Wasserstein statement of Theorem 6.4 the minimax rate for the merged memory distribution*

*is $N^{-1/(4K-2)}$, uniformly over near-colliding economies.*

**In words.** Even with no lower limit on how close the groups' memories are or how small a group is, the combined memory distribution can still be estimated, and no faster rate is possible. What is lost when groups nearly coincide is the ability to tell them apart, not the ability to describe the combined picture.

*Proof.* As in the proof of Theorem 6.5, the kernel values $k_0, \dots, k_{2K-1}$ are a Lipschitz function of the first $2K+1$ responses on the bounded set of responses the class produces, so a union bound gives $\max_{t<2K} |\bar{k}_t - k_t| \le e = C_1\sigma\sqrt{\log(4K/\beta)/N}$ with probability at least $1-\beta$ (the Lipschitz constant is for a bounded neighbourhood of the class; when the noise is too large for that, the right-hand side of the theorem exceeds $\bar{r} \ge W_1$ once $C$ is enlarged, so the bound holds trivially). The class is compact and the moment map continuous, so a closest element $\hat{M}$ exists, and $\max_t |k_t(\hat{M}) - k_t(M)| \le 2e$ by the triangle inequality. Since all atoms lie in $[0,1]$, $|k_t| \le k_0$, and the normalized moments $m_t = k_t/k_0$ satisfy $|m_t(\hat{M}) - m_t(M)| \le 2e/k_0 + (|\hat{k}_t|/\hat{k}_0)(2e/k_0) \le 4e/m_{\min}$. The affine map $r \mapsto 2r/\bar{r} - 1$ carries both normalized measures to distributions on $[-1,1]$ with at most $K$ atoms, multiplies $W_1$ by $2/\bar{r}$ and the differences of moments of order below $2K$ by at most $(1+2/\bar{r})^{2K-1}$. The moment comparison inequality for $K$-atomic distributions on $[-1,1]$ (Wu and Yang, 2020), $W_1 \le c_K\delta^{1/(2K-1)}$ when the first $2K-1$ moments differ by at most $\delta$, then gives the bound with $C = c_K(\bar{r}/2)(1+2/\bar{r})(4C_1)^{1/(2K-1)}$. □

The theorem separates two questions that Theorem 6.5 answers together. Which memory distribution do the participants have? That has the same polynomial cost whether or not their rates collide. Which participant has which weight? That becomes arbitrarily expensive as rates approach each other (Theorem 6.4) and impossible when they coincide (Theorem 3.1). A supervisor who needs the first can have it at the rate of Theorem 6.4; one who needs the second has to be told the number of cohorts and a separation, or has to obtain tagged data (Section 8).

## 6.6 General memory: the minimax rate is logarithmic

Exponential memory is a modelling choice. Suppose instead that the feedback kernel is completely monotone, $k_m = \int_{[0,\rho]} r^m \, d\mu(r)$ with $\rho < 1$, where $\mu$ is any nonnegative measure of total mass $W$: a finite or infinite mixture of exponential memories with merged weight $W$. Write $\mathcal{M}(\rho, W)$ for this class, assume the closed loop is uniformly stable,

$s \equiv a + \kappa W/(1-\rho) < 1$, and measure accuracy by

$$d(\mu, \mu') = \sup\Big\{ \int f \, d(\mu - \mu') : \ f \text{ 1-Lipschitz on } [0,\rho], \ f(0) = 0 \Big\},$$

which equals the Wasserstein-1 distance between measures of equal mass and also compares estimates whose mass is not exactly $W$. Let $E_L(|x|)$ denote the error of the best uniform approximation of $|x|$ on $[-1,1]$ by polynomials of degree $L$, and let $c_* = \inf_{L \geq 1} L\, E_L(|x|)$. Bernstein (1914) showed that $L\, E_L(|x|)$ converges to a positive constant (0.2802; Varga and Carpenter, 1985), so $c_* > 0$; numerically $c_* = 1/4$, attained at $L = 2$ (Table 16).

**Lemma 6.7** (Moment-matched cohort pairs)**.** *For every $n \geq 2$ there are two probability measures on $[0,\rho]$, each with exactly $n$ atoms, whose moments of orders $0, \ldots, 2n-2$ coincide and whose Wasserstein-1 distance is at least $\rho\, E_{2n-2}(|x|) \geq c_* \rho/(2n-2)$.*

The atoms are the points where the best approximation of $|r - \rho/2|$ by polynomials of degree $2n-2$ attains its maximal error with alternating signs, and the weights are those of the divided difference on these points, which annihilates every polynomial of degree $2n-2$ (Appendix S.6). Each measure is an $n$-atom merged measure in the class; one atom may sit at rate 0 (a cohort with $\eta = 1$), which the class allows.

**Theorem 6.8** (Minimax rate for general memory)**.** *Let $N$ independent reset experiments observe the impulse response with Gaussian noise of variance $\sigma^2$ per tap, and let $B(\rho) = (1+\sqrt{2})(1+2/\rho)$ and $C_h = \kappa^2/(1-s)^2$.*

*(i)* Lower bound. *Let $\Lambda_N = \log(N/\sigma^2) + \log\big(2C_h^2 W^2/((1-\rho)\rho)^2\big)$. Whenever $\Lambda_N > 4\log(1/\rho)$, every estimator $\hat{\mu}$ satisfies*

$$\sup_{\mu \in \mathcal{M}(\rho, W)} P_\mu\Big( d(\hat{\mu}, \mu) \geq \frac{c_*\, \rho W \log(1/\rho)}{\Lambda_N} \Big) \ \geq \ \frac{1}{4e},$$

*and the bound already holds over $n$-cohort economies, for a finite $n$ that grows with $N$.*

*(ii)* Upper bound. *With $a$ and $\kappa$ known, invert the averaged response into kernel values $\hat{k}_0, \ldots, \hat{k}_L$, with $L+1 = \lfloor \log(N/\sigma^2)/(4 \log B(\rho)) \rfloor$, and let $\hat{\mu}$ be any measure on $[0,\rho]$ minimizing $\max_{j \leq L} |\int r^j d\hat{\mu} - \hat{k}_j|$ (a linear program). For every $\beta \in (0,1)$ there is $N_0$ depending only on $(\rho, W, a, \kappa, \beta)$ such that for $N/\sigma^2 \geq N_0$,*

$$\sup_{\mu \in \mathcal{M}(\rho, W)} P_\mu\Big( d(\hat{\mu}, \mu) > \frac{3\pi \rho W \log B(\rho)}{\log(N/\sigma^2)} \Big) \ \leq \ \beta.$$

*Hence the minimax accuracy is of exact order* $1/\log(N/\sigma^2)$*, and reaching accuracy* $w$ *requires and suffices* $N/\sigma^2 = \exp(\Theta(1/w))$*.*

*Proof sketch.* (i) Put the measures of Lemma 6.7, scaled to mass $W$, into the model. Their difference annihilates polynomials of degree $2n-2$, so the generating function of the kernel difference is $\int(1-rz)^{-1}d(\mu_A-\mu_B) = z^{2n-1}\int r^{2n-1}(1-rz)^{-1}d(\mu_A-\mu_B)$; on $|z|=1$ it is at most $2W\rho^{2n-1}/(1-\rho)$, and Parseval bounds $\|k^A-k^B\|_2$ by the same quantity. The response difference is $H_AH_B$ times the shifted kernel difference, so $\|h^A-h^B\|_2 \le C_h\|k^A-k^B\|_2$. Choosing the smallest $n$ for which the Kullback–Leibler divergence of the $N$-sample experiments is at most one, the Bretagnolle–Huber form of Le Cam's lemma gives the bound with half the Wasserstein separation of the lemma. (ii) For a 1-Lipschitz $f$ with $f(0)=0$, Jackson's theorem gives a polynomial $q$ of degree $L$ with $\sup|f-q| \le \pi\rho/(4(L+1))$, and expanding $q$ in Chebyshev polynomials of $2r/\rho-1$ bounds the sum of its monomial coefficients by $\rho B(\rho)^{L+1}$. Hence $d(\hat{\mu},\mu) \le \pi\rho(W+\delta)/(2(L+1)) + 2\delta\rho B(\rho)^{L+1}$, where $\delta$ is the largest kernel error. The kernel is recovered from the response by a series reciprocal, $K(z) = (1-az-\kappa/H(z))/(\kappa z)$, whose error is at most $2((1+s)/\kappa)^2(L+2)$ times the largest response error, so $\delta = O_P(\sigma N^{-1/2}L\sqrt{\log L})$. The choice of $L$ makes $\delta B(\rho)^{L+1} = O_P((\sigma^2/N)^{1/4}L\sqrt{\log L})$, negligible against the first term. Full proofs are in Appendix S.6. □

**In words.** If trader memory is a general mixture of exponentials rather than a few clean ones, accuracy improves only with the logarithm of the data: to halve the error, the data must be squared. The few-groups model of the previous results is therefore the optimistic case.

Theorem 6.8 replaces a polynomial barrier with a logarithmic one. With exponential memory and $K$ known cohorts, halving the error multiplies the required number of experiments by a constant; with general memory, halving the error squares it. The lower bound holds already for finite mixtures, so knowing that the memory is a finite mixture of exponentials does not help unless the number of cohorts is also known (Theorem 6.6). The constants of the two bounds differ, by a factor that grows as $\rho \to 1$, so the dependence on how long memory lasts is not pinned down. The source of the gap is visible in the proof: as $\rho \to 1$ the moment-matched pairs separate their kernels more slowly ($\rho^{2n-1}$ decays slowly), which weakens the lower bound through $\log(1/\rho)$, while the upper bound pays $\log B(\rho)$, which stays bounded away from zero, for the conditioning of polynomial approximation on $[0,\rho]$. Logarithmic rates of this kind are familiar from deconvolution with supersmooth errors (Fan, 1991) and from moment methods for mixing distributions

Table 16: General memory: moment-matched cohort pairs and the moment estimator

| | | | | | | |
|---|---|---|---|---|---|---|
| *A. Best approximation of* $\lvert x\rvert$ | | | | | | |
| $L$ | 2 | 4 | 6 | 10 | 20 | 30 |
| $L\,E_L(\lvert x\rvert)$ | 0.2500 | 0.2705 | 0.2756 | 0.2785 | 0.2797 | 0.2800 |
| *B. Pairs of Lemma 6.7* | | | | | | |
| Atoms per measure $n$ | 2 | 4 | 6 | 8 | 10 | 12 |
| $W_1(\mu_A,\mu_B)$, $\rho=0.9$ | 0.2250 | 0.1037 | 0.0669 | 0.0494 | 0.0391 | 0.0324 |
| $n\,W_1$, $\rho=0.9$ | 0.450 | 0.415 | 0.402 | 0.395 | 0.391 | 0.388 |
| $\lVert k^A-k^B\rVert_2$, $\rho=0.9$ | $4.41\times10^{-2}$ | $1.03\times10^{-3}$ | $4.08\times10^{-5}$ | $1.96\times10^{-6}$ | $1.05\times10^{-7}$ | $5.95\times10^{-9}$ |
| $\lVert k^A-k^B\rVert_2$, $\rho=0.99$ | $7.41\times10^{-2}$ | $5.84\times10^{-3}$ | $1.07\times10^{-3}$ | $2.76\times10^{-4}$ | $8.33\times10^{-5}$ | $2.76\times10^{-5}$ |
| *C. Linear-programming estimator, continuous memory distribution,* $\rho=0.9$ | | | | | | |
| $\log_{10} N$ | 4 | 8 | 12 | 16 | 20 | 24 |
| Moments used $(L+1)$ | 2 | 3 | 5 | 6 | 7 | 8 |
| Error $d(\hat\mu,\mu)$ | 0.00878 | 0.00759 | 0.00432 | 0.00445 | 0.00382 | 0.00399 |
| Error $\times\log(N/\sigma^2)$ | 0.202 | 0.245 | 0.179 | 0.226 | 0.229 | 0.276 |

A: Remez algorithm; the limit is Bernstein's constant 0.2802. B: moments of orders $0,\dots,2n-2$ agree to $10^{-61}$ (60-digit arithmetic); every $W_1$ exceeds $\rho E_{2n-2}(\lvert x\rvert)$. C: true merged measure Beta(2,3) on $[0,0.9]$ with mass 0.1; kernel values observed with noise $\sigma N^{-1/2}$, $\sigma=10^{-3}$; $L$ from the rule in Theorem 6.8(ii); measure fitted on a 401-point grid; 20 replications. Kind: recomputed (`general_minimax.py`).

(Kong and Valiant, 2017; Wu and Yang, 2020); here they arise from the closed loop of a market.

Table 16 checks the construction and the estimator. The pairs of Lemma 6.7 have exactly $n$ atoms, agree in all moments below order $2n-1$ to $10^{-61}$, and remain at Wasserstein distance about $0.4/n$, while the distance between their kernels shrinks by a factor of about 0.2 per atom at $\rho=0.9$. The linear-programming estimator applied to a continuous memory distribution has error times $\log(N/\sigma^2)$ between 0.18 and 0.28 for $N$ from $10^4$ to $10^{24}$: a $10^{20}$-fold increase in data halves the error. The exponential-memory model of the previous subsections, where the cost is polynomial in $1/\Delta\eta$, is therefore the optimistic case: relaxing the parametric form makes identification from prices much harder, not easier.

## 6.7 Passive data

**Theorem 6.9** (Passive identification: minimum phase)**.** *In a stable economy with* $0<a<1$*, distinct* $0<r_i<1$ *and nonzero merged weights, the zeros of* $H$ *are the memory rates* $r_i$ *together with a structural zero at* $z=0$*, and* $H$ *is minimum phase. Degenerate anchor and zero-rate cases require the cancellations described in the merged-equivalence proof. With a single price innovation, the price spectrum identifies* $H$ *up to scale, hence the memory rates; with* $\kappa$ *and a known, as in Theorem 3.1, it identifies the merged measure.*

The result holds for signed weights (mean-reverting cohorts): in 1,733 stable random

economies with weights of both signs, the nonstructural zeros equalled the memory rates and lay inside the unit disk. With a second independent shock in the cohorts' memories, the Jacobian of the price spectrum with respect to six model parameters has full rank, with singular values from 34.51 down to 0.0698. Passive noise helps identification rather than hindering it.

**Theorem 6.10** (Passive cost)**.** *Suppose the price is observed passively as the stationary output $x_t = H_\theta(L)\xi_t$ of i.i.d. Gaussian innovations $\xi_t \sim N(0, \sigma^2)$, $\sigma^2 > 0$ known, without observation noise, for $\theta$ in a compact, uniformly Schur-stable family with rates in $[\eta_{\min}, \eta_{\max}] \subset (0, 1)$, and let $D(\theta_1 \| \theta_0)$ be the Kullback–Leibler divergence rate per observation.*

*(i) For a single cohort at $\bar{\eta}$ against the symmetric pair at $\bar{\eta} \pm \delta$ with the same total weight, $D = \Theta(\delta^4)$.*

*(ii) For the moment-matched two-cohort economies of Theorem 6.2, $D = \Theta(\tau^2(\Delta\eta)^6)$.*

*(iii) For every $K \geq 2$, for the $K$-cohort Gauss and Gauss–Radau economies of Theorem 6.4, $D = \Theta((\Delta\eta)^{4K-2})$.*

*Hence any test based on $T$ passive observations with worst-case error at most $\alpha < 1/4$ needs $T = \Omega(\delta^{-4})$, $T = \Omega(\tau^{-2}(\Delta\eta)^{-6})$ and $T = \Omega((\Delta\eta)^{-(4K-2)})$ respectively, uniformly as the separation shrinks: passive data cost at least the same polynomial order as active probing for every number of cohorts. For each fixed pair, at fixed type-I error the likelihood-ratio test's type-II error decays at exponential rate $D$ (Stein's lemma), and both errors decay at the Chernoff-information rate, which is of the same order in the separation; so the orders are the right ones; we do not claim that this attainment is uniform as the separation shrinks.*

**In words.** Watching the market without trading does not escape the barrier. A passive observer needs at least the same polynomial order of observations as a prober needs experiments; it pays in time rather than in trading losses. Prices recorded with extra measurement noise that is independent of the price are a garbling of the noiseless record, so by the data-processing inequality they carry less information, and the lower bound holds a fortiori.

The proof (Appendix S.6) combines the Whittle form of the divergence rate with the resolvent identity $H_1 - H_0 = z^{-1}H_1H_0(G_1 - G_0)$: the two spectra differ by the leading unmatched moment, of order $\delta^2$ for the pair and $\tau(\Delta\eta)^3$ for the moment-matched

economies, and the divergence rate is the square of that difference. Numerically, the fitted slopes of the required sample length are $-4.21$ and $-5.93$, against the theoretical $-4$ and $-6$; for part (iii) the fitted slopes of the Whittle divergence rate in $\Delta\eta$ are 5.91, 9.98 and 14.05 for $K = 2, 3, 4$, against 6, 10 and 14 (`hardening/p1_checks.py`).

Passive surveillance is possible in principle but needs at least the same polynomial order of observations as active probing needs experiments. Proposition S.8.2 is the exact finite-sample version for the known pair.

# 7 Robustness to nonlinear and adaptive trading rules

The theorems of Sections 3–6 use the linear exponential-memory recursion (2). Real desks cap positions, trade only beyond thresholds, adapt their gains and learn online. A small probe of size $A$ moves the state by $O(A)$, so any rule whose order is a twice-differentiable function of an exponential-memory state is linear to first order and differs from it by $O(A^2)$; the theorems should then hold for small probes and fail for large ones. We check this, and locate where it fails, in simulations of five stylized rules at $a = 0.5$, $\kappa = 0.8$, total weight $q = 0.2$ and mean rate $\bar{\eta} = 0.4$, over 240 periods after a pulse probe.

The rules are: (1) *momentum with a position limit*, the cohort's order a smooth saturating (tanh) function of its memory state $y_{i,t}$, normalized to unit slope at the operating point; (2) a *threshold rule* that trades only when $|y_{i,t}| > \tau = 0.05$, in two versions, an exact dead zone and one averaged over background state variation of standard deviation 0.04; (3) an *adaptive-gain rule* in the form of recursive least squares with forgetting factor $1 - \eta_i$, whose gain falls when the regressor is large; (4) an *online neural readout*, a linear readout of a fixed two-layer tanh feature map with eight hidden units, trained by regularized stochastic gradient steps of size $\eta_i$; and (5) a *tabular value rule* that updates a 21-bin table at rate $\eta_i$, in two versions, kernel-smoothed across bins and a single-bin lookup. These are stylized: each is built so that its small-signal dynamics are an exponential filter with rate $\eta_i$, and they are not calibrated to any production system.

Two checks follow the theory. *Test A (merged measure):* one cohort with weight $q$ and position limit 1 against two cohorts with weights $q/2$ at the same rate and limits 0.55 and 1.65, so the two economies have the same merged measure; the raw response gap $\|X^{(1)}(A) - X^{(2)}(A)\|_2$ should be $O(A^2)$ (slope 2 in $\log A$) and the probe-normalised gap $\|X^{(1)}(A) - X^{(2)}(A)\|_2/A$ should be $O(A)$ (slope 1 in $\log A$) over $A \in [0.002, 0.064]$. *Test B ($\delta^{-4}$ law):* one cohort at $\bar{\eta}$ against the symmetric pair at $\bar{\eta} \pm \delta$, $\delta \in [0.015, 0.12]$, at probe size $A = 0.005$; the normalized response difference $\|\Delta h\|_2$ should scale as $\delta^2$ and the

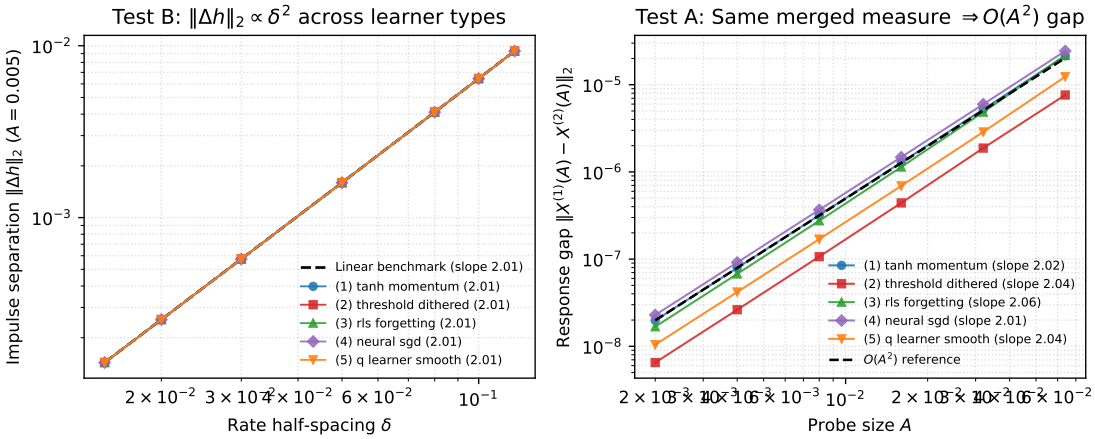



Figure 6: Left: Test B, probe-normalised response difference $\|\Delta h\|_2$ against the rate half-spacing $\delta$ at probe size $A = 0.005$, five stylized rules and the linear benchmark. Right: Test A, probe-normalised response gap $\|X^{(1)}(A) - X^{(2)}(A)\|_2/A$ between two economies with the same merged measure against the probe size $A$, with an $O(A)$ reference line (corresponding to an $O(A^2)$ raw gap).

capital lower bound of Theorem 5.1 as $\delta^{-4}$. The saturation threshold $A_{\text{sat}}$ is the smallest probe at which $\|\Delta h\|_2$ at $\delta = 0.05$ departs by more than 10% from its small-probe value.

To check that these conclusions do not depend on hand-built rules, we pre-specified a second experiment in which online learners are trained from scratch inside the closed-loop market for $T_{\text{burn}} = 5{,}000$ periods of flow and noise innovations; their learned parameters are saved and reloaded into the probing simulator without rescaling. Four learning rules are used: (i) recursive least squares with forgetting factor $\lambda = 0.995$, learning its return-forecast slope; (ii) a two-layer tanh network with eight hidden units whose readout is trained by regularized online stochastic gradient descent on trading profit; (iii) a scalar policy-gradient rule trained on trading profit; and (iv) a tabular Q-learner with 21 states and 21 actions, TD(0) Bellman backups ($\gamma = 0.90$) and Boltzmann action choice. Each learner acts on an exponential-memory state $y_{i,t}$ with rate $\eta_i$: training sets its response gain and curvature, not its memory rate, so the experiment asks whether learned policies preserve the merged-measure and $\delta^{-4}$ predictions, not whether learning produces exponential memory. The specification fixed four predictions: (a) a single exponential fits each trained learner's small-probe impulse response with $R^2 \geq 0.90$; (b) two trained populations with the same merged measure differ by at most 1% in relative $L_2$ response at $A = 0.005$; (c) the capital lower bound to separate trained populations whose memory rates differ by $2\delta$ scales with log–log slope in $[-4.15, -3.85]$; and (d) we report where equivalence and the $\delta^{-4}$ law fail when learning continues during the probe.

Table 17: Merged-measure equivalence and the $\delta^{-4}$ law under stylized nonlinear rules and closed-loop trained online learners

| Rule | Test A raw ($O(A^2)$) | Test A norm. ($O(A)$) | Test B slope ($\|\Delta h\|_2$) | Test B slope (capital) | Capital at $\delta = 0.05$ | $A_{\text{sat}}$ / $R^2_{\text{exp}}$ |
|---|---|---|---|---|---|---|
| *Panel A. Stylized nonlinear and adaptive rules (fixed operating point)* | | | | | | |
| Linear benchmark | — | — | 2.007 | −4.001 | 61.42 | — |
| 1. Momentum (tanh limit) | 2.015 | 1.015 | 2.007 | −4.001 | 61.47 | 0.834 |
| 2. Threshold rule, averaged | 2.043 | 1.043 | 2.007 | −4.001 | 61.42 | 0.049 |
| 3. Adaptive gain (RLS) | 2.064 | 1.064 | 2.007 | −4.001 | 61.46 | 0.751 |
| 4. Online neural readout | 2.011 | 1.011 | 2.007 | −4.001 | 61.48 | 0.751 |
| 5. Tabular value, smoothed | 2.039 | 1.039 | 2.007 | −4.001 | 61.44 | 1.271 |
| *Panel B. Learners trained in the closed loop, saved and reloaded (frozen during the probe; shared training stream)* | | | | | | |
| 6. Recursive least squares | 3.000 | 2.000 | 2.008 | −4.014 | 54.58 | $R^2 = 0.993$ |
| 7. Two-layer network (SGD) | 1.878 | 0.878 | 2.007 | −4.012 | 65.19 | $R^2 = 0.994$ |
| 8. Policy gradient on profit | 3.000 | 2.000 | 2.004 | −4.006 | 58.05 | $R^2 = 0.995$ |
| 9. Tabular Q-learner (TD(0)) | 2.108 | 1.108 | 1.994 | −3.973 | 186,821 | $R^2 = 1.000$ |
| *Panel C. Where the trained-learner results change (range over the four learners)* | | | | | | |
| Independent training streams | rel. gap $\leq 10^{-5}$ | | 0.13 to 0.92 | −1.75 to −0.38 | — | (c) fails |
| Learning during the probe | rel. gap $\leq 1.1 \times 10^{-3}$ | | 1.99 to 2.01 | −4.02 to −3.98 | — | (c) holds |

Exact dead zone ($\tau = 0.05$): $\|\Delta h\|_2 = 0$ at $A = 0.005$; the probe moves the state past $\tau$ only for $A > 0.139$.
Single-bin value lookup: $\|\Delta h\|_2 = 0$ at $A = 0.005$; the probe leaves the central bin only for $A > 0.149$.

Panel A: deterministic simulations around the operating point; Test A reports the raw response-gap slope in $\log A$ ($O(A^2)$) and the probe-normalised gap slope $\|X^{(1)}(A) - X^{(2)}(A)\|_2/A$ ($O(A)$, plotted in Figure 6). Panel B: learners trained for 5,000 periods, parameters saved and reloaded without rescaling and frozen during the probe; the two compared populations are trained on the same innovation stream; relative equivalence gaps at $A = 0.005$ are at most $10^{-5}$. A raw Test A slope above 2 means the gap is of higher order than $A^2$. Panel C: the same learners trained on independent innovation streams (first row) or updated at learning rate 0.35 during the probe (second row). Capital in par units, lower bound of Theorem 5.1 (61.42 for the linear model); the Q-learner settles on a small response gain (0.022), so separating it costs far more capital. Kind: recomputed (Panel A: `recompute_p1_learners.py` → `R_P1_learners.json`; Panels B–C: `validate_trained_learners_hardened.py` → `R_P1_trained_learners_hardened.json`).

Table 17 and Figure 6 show both where the linear reduction holds and where it breaks down. In Panel A, for small probes every smooth or dithered rule behaves like the linear model: economies with the same merged measure have raw response gap $O(A^2)$ (slopes 2.011 to 2.064) and probe-normalised gap $O(A)$ (slopes 1.011 to 1.064), while the response difference and capital lower bound scale as $\delta^2$ (slope 2.007) and $\delta^{-4}$ (slope −4.001), with capital at $\delta = 0.05$ within 0.1% of the linear 61.42. In Panel B, predictions (a)–(c) pass for all four trained learners: a single exponential explains $R^2 \geq 0.993$ of each small-probe impulse response, populations with the same merged measure differ by at most $10^{-5}$ in relative response at $A = 0.005$, and capital lower bound scales with slopes −4.014 to −3.973, inside the registered band. The level of capital differs across learners because training sets the response gain.

Panel C shows where this changes. When the two populations are trained on indepen-

dent innovation streams, prediction (c) fails: the capital slopes are $-1.75$, $-0.97$, $-1.62$ and $-0.38$. Independently trained populations end with learned gains that differ by sampling error of order $T_{\text{burn}}^{-1/2}$, so they differ in merged weight as well as in memory rate, and a difference in weight is cheaper to detect than an $O(\delta^2)$ difference in rates. The $\delta^{-4}$ law therefore prices the separation of memory rates between populations whose feedback weights match; it is not a claim about telling apart any two trained populations. When learning continues during the probe at rate 0.35, the law survives (slopes $-4.02$ to $-3.98$) and the merged-measure gap rises only to $1.1 \times 10^{-3}$, so the breakdown we anticipated under prediction (d) did not occur in this design.

The linear theory fails in two further places. First, saturation, adaptive gains and the neural readout leave the small-signal regime once probes exceed $A_{\text{sat}} \in [0.751, 1.271]$ par units, and the dithered threshold rule leaves it already at $A_{\text{sat}} = 0.049$, the threshold itself. Second, rules with hard discontinuities are different in kind: an exact dead zone ($\tau = 0.05$) or a single-bin lookup does not respond at all to probes smaller than 0.139 and 0.149 par units ($\|\Delta h\|_2 = 0$), concealing those cohorts from small probes altogether. Neither smooth nonlinearity nor hard thresholds offers a cheaper route to separating memory rates than the linear benchmark; populations whose learned weights differ are told apart by their weights, not their rates.

# 8 What disclosure buys

Because active probing is costly and passive data are slow, the natural policy question is what a supervisor gains from disclosure. We compare six observation contracts at $\delta = 0.05$.

- $I_0$: public prices only.
- $I_1$: prices and aggregated executed flow.
- $I_2$: prices and one independent noisy report of dealer marked equity per reset ($\sigma_E = 0.5$).
- $I_3$: prices and exact audited equity (Proposition 4.4), also with reports rounded to 0.01.
- $I_4$: algorithm update timestamps without the update values.
- $I_5$: a supervisory audit registry with access to internal algorithm states.

Table 18: Disclosure contracts at $\delta = 0.05$ (pulse-design capital, par units)

| Contract | Channel | Pulses | Benchmark | Saving vs. $T = 20$ |
|---|---|---|---|---|
| $I_0$: prices, $T = 3$ | public prices | 271 | 4,305.25 | −2,123.5% |
| $I_0^*$: prices, $T = 20$ | full price path | 12 | 193.62 | 0.0% |
| $I_1$: prices and signed flow | public flow | 12 | 193.62 | 0.0% |
| $I_2$: noisy equity ($\sigma_E = 0.5$) | statement | 12 | 193.62 | 0.0% |
| $I_3$: exact equity, 5-unit lot | audited equity | 1 | 12.70 | 93.4% |
| $I_3$: exact equity, 0.01 rounding | rounded report | 1 | 15.52 | 92.0% |
| $I_4$: timestamps only | no likelihood | 12 | 193.62 | 0.0% |
| $I_5$: audit registry | internal states | 0 | 0.00 | 100.0% |

Closed-form values. Noisy equity adds information linearly in the number of resets, $D_{\mathrm{KL}} = N\Delta_E^2/(2\sigma_E^2)$, and saves only 1.5% against the $T = 3$ baseline. The equity difference is $\Delta E = \kappa^2 q \delta^2 V^2$; with reports rounded to 0.01, a guaranteed change needs $V \geq 5.59$.

Table 18 shows that disclosure is not one thing. Timestamps without update values carry no information about $\delta$ in this model. Noisy periodic statements barely help. Exact audited equity collapses the requirement to a single trade, limited only by lot sizes and report precision, and an audit registry removes the trading requirement altogether.

The cleanest form of useful disclosure is flow tagged by participant class.

**Proposition 8.1** (Tagged flow removes the barrier)**.** *Let the price be driven by i.i.d. innovations of variance $\sigma_\xi^2$ in a positive, stable economy, with stationary autocovariances $\gamma_x(s) = \sum_\ell c_\ell \lambda_\ell^{|s|}$ ($c_\ell \geq 0$, $0 \leq \lambda_\ell < 1$ the closed-loop modes). Suppose the observer receives prices and each cohort's flow $\tilde{u}_{i,t} = u_{i,t} + \varepsilon_{i,t}$, $u_{i,t} = q_i y_{i,t}$, with i.i.d. measurement noise of variance $\sigma_f^2$ independent of prices. Then $\tilde{u}_{i,t} = r_i \tilde{u}_{i,t-1} + w_i x_t + e_{i,t}$ with $e_{i,t} = \varepsilon_{i,t} - r_i \varepsilon_{i,t-1}$, and the just-identified IV estimator of $\beta_i = (r_i, w_i)$ with instruments $Z_t = (x_{t-1}, x_t)^\top$ satisfies $\sqrt{T}(\hat{\beta}_i - \beta_i) \to N(0, V_i)$,*

$$V_i = \Sigma_i^{-1} \Omega_i \Sigma_i^{-\top}, \qquad \Sigma_i = \begin{pmatrix} w_i A_0 & \gamma_x(1) \\ w_i A_1 & \gamma_x(0) \end{pmatrix}, \qquad \Omega_i = \sigma_f^2 \big[ (1 + r_i^2)\Gamma_0 - r_i(\Gamma_1 + \Gamma_1^\top) \big], \tag{27}$$

*where $A_m = \sum_{s \geq 0} r_i^s \gamma_x(s + m)$, $\Gamma_0 = \left( \begin{smallmatrix} \gamma_x(0) & \gamma_x(1) \\ \gamma_x(1) & \gamma_x(0) \end{smallmatrix} \right)$ and $\Gamma_1 = \mathbb{E}[Z_t Z_{t-1}^\top]$. The Jacobian determinant is*

$$\det \Sigma_i = w_i \sum_{\ell, m} c_\ell c_m \frac{1 - \lambda_\ell \lambda_m}{1 - r_i \lambda_m} \; > \; 0. \tag{28}$$

*$V_i$ depends only on cohort $i$'s own $(w_i, r_i)$, $\sigma_f^2$ and the price autocovariances, which are bounded and nondegenerate uniformly on a uniformly stable family whatever the rate spacing; so the merged weights are estimated at rate $T^{-1/2}$ with a constant that does not depend on $|r_i - r_j|$.*

**In words.** If each group's trading is reported separately, each group becomes an ordinary regression. Its precision depends on the group's own rate and on the price dynamics, but it has no singularity as the groups' rates approach each other.

Each tagged flow follows $u_{i,t} = r_i u_{i,t-1} + w_i x_t$, a regression whose information about $w_i$ does not involve the other cohorts' rates; the closed form (28) matches the simulated Jacobian (0.1330 against 0.1322 in a two-cohort economy with $4 \times 10^5$ periods; `hardening/p1_checks.py`). In simulation ($T = 5{,}000$, 60 replications) the root-mean-square error of the recovered weights is flat in $\Delta\eta$ (fitted slope 0.011, error between $5.8 \times 10^{-4}$ and $6.6 \times 10^{-4}$). This is the formal content of a disclosure regime such as a consolidated audit trail: tagging flow by participant class turns a polynomial barrier into an ordinary estimation problem.

## 8.1 How much disclosure is worth

Proposition 8.1 says that tagging removes the barrier; the next result says by how much.

**Theorem 8.2** (Value of class-tagged disclosure)**.** *Take a rich class of Theorem 6.5: rates $r_c + \Delta\eta\, s$ with $s$ in a compact set of $\gamma$-separated ordered points that has nonempty interior and contains the Gauss and Gauss–Radau pair of Theorem 6.4, and merged weights in a nondegenerate interval $[\omega_{\min}, \omega_{\max}]$, $0 < \omega_{\min} < \omega_{\max}$. In each reset experiment the observer applies a unit impulse and records the price response with independent $N(0, \sigma^2)$ noise per tap; under tagging it also records each class's flow response $f_{i,t} = w_i \sum_{s \le t} r_i^{t-s} h_s$ with independent $N(0, \sigma_f^2)$ noise per tap. Let $N_p$ and $N_t$ be the numbers of experiments needed, without and with tagging, for a fixed accuracy and confidence. There are constants $0 < c \le C < \infty$, depending on $(\sigma, \sigma_f)$ and the class but not on $\Delta\eta$, such that*

*(i) to recover the weights to fixed accuracy, $c \le N_t \le C$, so $N_p / N_t \asymp (\Delta\eta)^{-(4K-2)}$;*

*(ii) to recover the rates to accuracy $c_0 \Delta\eta$, for a fixed $c_0 > 0$ smaller than the radius of a ball contained in the class of rescaled nodes (so that no fixed guess meets the target), $c(\Delta\eta)^{-2} \le N_t \le C(\Delta\eta)^{-2}$, so $N_p / N_t \asymp (\Delta\eta)^{-(4K-4)}$.*

*Proof.* $N_p \asymp \sigma^2 (\Delta\eta)^{-(4K-2)}$ by Theorems 6.4 and 6.5. *Upper bounds.* Average the $N$ price responses to estimate $h$ with error of order $\sigma N^{-1/2}$ per tap. Given $h$, class $i$'s mean flow is a two-parameter family $F(w_i, r_i; h)$ whose Jacobian columns $\sum_s r_i^{t-s} h_s$ and $w_i \sum_s (t-s) r_i^{t-s-1} h_s$ are linearly independent, with a Gram determinant bounded below uniformly on the class because $w_i \ge \omega_{\min}$, the rates lie in a compact subset of $(0, 1)$ and $h_0 = \kappa > 0$; the bound does not involve the other classes or $\Delta\eta$. Least squares on class

$i$'s flows with the plug-in $h$ therefore estimates $(w_i, r_i)$ with error $O_P(N^{-1/2})$, uniformly on the class, which gives the upper bounds in (i) and in (ii) for accuracy $\epsilon\Delta\eta$. *Lower bounds.* At a configuration in the interior of the class, perturb one class's weight by $\epsilon$, or its rate by $\epsilon\Delta\eta$; for small $\epsilon$ both perturbed configurations remain in the class because the weight interval is nondegenerate and the rate set has nonempty interior. The mean differences of both the price and the flow records are of order $\epsilon$, respectively $\epsilon\Delta\eta$, so the Kullback–Leibler divergence of $N$ experiments is at most $CN\epsilon^2$, respectively $CN\epsilon^2(\Delta\eta)^2$, and Le Cam's two-point lemma gives the lower bounds. □

**In words.** This is the value of disclosure measured in data. Tagging replaces a requirement that explodes as the groups become similar with one that does not grow at all (for the weights) or grows only like $(\Delta\eta)^{-2}$ (for the rates).

Proposition 8.1 and Theorem 8.2 use different observation arrangements: the proposition concerns passive, stationary data with prices observed without noise, where the price is a valid instrument; the theorem concerns reset experiments with noisy prices. With noisy prices, regressing flow on the observed price is an errors-in-variables problem, which is why the theorem works from the known impulse instead.

With the same noise and lags for both observers, the Cramér–Rao requirements give fitted slopes of $-6.08$ for prices and $-4.34$ for the ratio at $K = 2$ (theory $-6$ and $-4$). Calibrated to the class memories estimated below, prices alone would need about 333 times as many days as the published class ratios to separate the top-trader and all-account memories in BTCUSDT (rates 0.9889 and 0.9986 per five minutes; about 6,000 days against 18), and about 19 times as many in ETHUSDT (rates 0.9793 and 0.9972). These rates come from day-demeaned regressions, which bias persistence down (Section 8.5), so the factors are illustrative.

## 8.2 Disclosure in dollars

*This subsection is a hypothetical scale illustration of an outside prober's shadow loss, not a public cost–benefit calculation.*

Theorem 8.2 states the value of class-tagged disclosure in samples. Theorems 5.1 and 6.4 let us translate that value into a flow of round-trip trading losses for an outside participant. Two adjustments make the figures exact:

(i) *Exact $K$-cohort moment-gap constant.* Rather than extrapolating from Cramér–Rao

ratios, we evaluate the spectral round-trip trading loss bound of Theorem 5.1,

$$L^*_{\mathrm{rt}}(K, \Delta\eta) \;=\; \frac{4\sigma^2 z^2_{1-\alpha}}{\sup_\omega\big(|\Delta\hat{H}_{K,\Delta\eta}(e^{i\omega})|^2/g_0(\omega)\big)},$$

directly for the $K$-point Gauss versus Gauss–Radau economies of Theorem 6.4 and Table 13, whose moments below order $2K-1$ coincide and whose $(2K-1)$-th moment gap has the exact constant $\Delta_2 = 0.222222$, $\Delta_3 = 0.053333$, and $\Delta_4 = 0.013061$ at spacing $\Delta\eta$ (with $\Delta\eta = 2\delta$ for the symmetric known pair).

(ii) *Flow against flow.* A single probe loss $L^*_{\mathrm{rt}}$ is a one-time certification cost, whereas an audit trail is an ongoing annual expenditure. Because algorithm populations turn over, we report the annualised round-trip trading loss $52 \times L^*_{\mathrm{rt}}$ under weekly renewal (matching the CFTC weekly reporting cycle of Section 8.4). For orientation only, we also record official audit-trail figures of two different kinds; we do not divide one by the other, because a prober's trading loss is a private transfer to other traders calibrated to a Bitcoin perpetual, while an audit trail's budget is a resource cost for equities and options. The first is CAT LLC's own operating budget: $248.8 million for 2025 in the November 2024 filing (SEC Release No. 34-101901, Dec. 12, 2024, p. 4), revised to $228.3 million in May 2025 and reduced further later in 2025, and the revised 2026 Financial and Operating Budget of 31 March 2026, with total expenses of $147,044,869, which we use (CAT LLC, 2026). The second is historical, ex ante estimates of industry-wide compliance costs, which are not operating budgets and cover a different scope: the SEC's 2016 CAT NMS Plan Approval Order estimate of $2.4 billion in initial industry build costs and $1.7 billion per year in ongoing industry costs (SEC, 2016, Release No. 34-79318, Nov. 15, 2016, 81 FR 84696 at 84801, p. 363); and the SEC's Rule 613 proposing and adopting releases estimating $4.0 billion initial and $2.1 billion annual ongoing costs (SEC, 2012, Release No. 34-62174, May 26, 2010, 75 FR 32556 at 32598, 32600, pp. 147, 153; Release No. 34-67457, July 18, 2012, 77 FR 45722 at 45790–45795, pp. 220–238).

The figures are a shadow cost of learning by trading, the price an outside participant would pay; a supervisor without an audit trail does not probe, and its cost is detection delay, which Proposition 8.3 models. The cost results require a positive economy: with signed weights the execution form $\frac{1}{2}v^\top T_h v$ can be indefinite and a round trip can earn money, so none of the dollar figures applies there. Probing cost is a lower bound on the cost of learning from prices by trading, not on passive learning and not a social cost. It is also a lower bound for deterministic probes only: sequential probing can lower the expected

Table 19: Price-only round-trip probing loss per market and annualised weekly-renewal cost (hypothetical outside prober)

| Economy ($\Delta\eta$) | Loss / probe (USDT) Roll | 1-sec | Annual (52×, USDT) Roll | 1-sec |
|---|---|---|---|---|
| $K = 2$, known (0.20) | 6,200 | 149,901 | 322,400 | 7,794,852 |
| $K = 2$, known (0.10) | 99,192 | 2,398,422 | 5,157,984 | 124,717,944 |
| $K = 2$, known (0.04) | 3,874,696 | 93,688,369 | 201,484,192 | 4,871,795,188 |
| $K = 2$, Radau (0.20) | 4,292 | 103,788 | 223,184 | 5,396,976 |
| $K = 2$, Radau (0.10) | 283,488 | 6,854,612 | 14,741,376 | 356,439,824 |
| $K = 3$, Radau (0.20) | 804,403 | 19,450,107 | 41,828,956 | 1,011,405,564 |
| $K = 3$, Radau (0.10) | 1,137,325,880 | 27,500,017,407 | 59,140,945,760 | 1,430,000,905,164 |
| $K = 4$, Radau (0.20) | 156,632,086 | 3,787,291,895 | 8,144,868,472 | 196,939,178,540 |

Separation variable $\Delta\eta$ throughout ($\Delta\eta = 2\delta$ for the symmetric known pair). Gauss–Radau rows use the exact $K$-cohort quadrature pair of Theorem 6.4 and Table 13 (moment gaps $\Delta_2 = 0.222222$, $\Delta_3 = 0.053333$, $\Delta_4 = 0.013061$ at $W = 0.08$, $r_c = 0.60$). Loss per probe is the spectral round-trip trading loss bound of Theorem 5.1 at the median BTCUSDT Roll noise (0.40 USDT) and median one-second price-change standard deviation (1.98 USDT); annual loss multiplies by 52 weekly renewals. Probing cost is a lower bound on the cost of learning from prices by trading, not on passive learning; it is a private transfer to other traders, not a social or resource cost, and it is not comparable with audit-trail budgets. Kind: recomputed (`recompute_p1_cat_costs.py` → `R_P1_cat_disclosure_dollars.json`).

loss by a factor of up to 0.49 (Theorem 5.2). Only the observation noise is estimated from data; the structural parameters are illustrative, and the constant is sensitive to them. At $\delta = 0.05$ the numerically evaluated lower bound of Theorem 5.1 is 358.8, 179.0, 61.1 and 13.9 par units for $a = 0$, 0.25, 0.5 and 0.7, and 3.9, 19.6, 61.1 and 305.2 for $\bar{\eta} = 0.2$, 0.3, 0.4 and 0.6; at $\Delta\eta = 0.20$ instead of 0.10 the unknown-pair figures fall by a factor of about 64. The Gauss–Radau pair is used in the orientation that gives the larger, still valid, lower bound. The known-pair rows span a rate width of $2\delta = \Delta\eta$, whereas the $K = 2$ Gauss–Radau rows on $r_c + \Delta\eta[-1, 1]$ span $\frac{4}{3}\Delta\eta$. Within that interpretation, Table 19 shows how rapidly the polynomial exponent $(\Delta\eta)^{-(4K-2)}$ and the shrinking Gauss–Radau moment-gap constant $\Delta_K$ turn the comparison in favour of disclosure. For a known pair at coarse separation $\Delta\eta = 0.20$ ($\delta = 0.10$), weekly renewal of price-only probing costs \$0.32 million per market per year at Roll noise and \$7.79 million at one-second noise. At $\Delta\eta = 0.10$ ($\delta = 0.05$) the unknown $K = 2$ Gauss–Radau pair costs \$14.74 million (Roll) or \$356.44 million (one-second) per market per year; with $K = 3$ unknown cohorts at $\Delta\eta = 0.20$ the figures rise to \$41.83 million and \$1.01 billion, and at $K = 3$, $\Delta\eta = 0.10$ or $K = 4$, $\Delta\eta = 0.20$ they run to billions. For orientation only, CAT LLC's revised 2026 budget is \$147.0 million; as explained above, the two numbers measure different things.

The renewal frequency is an assumption: annual figures scale with it, so monthly renewal divides them by 4.3 and renewal on each of 252 trading days multiplies them by 4.8.

## 8.3 When disclosure is worth acquiring

**When is disclosure worth its cost?** The dollar illustration of Section 8.2 prices disclosure; it does not say when a supervisor should buy it. Remark 6.3 shows that a supervisor who only needs to bound aggregate price risk does not need disclosure at all: the summed response is identified from public prices at the ordinary rate. Attribution matters when supervision is selective: one algorithm must be stopped or sanctioned while the others keep supplying liquidity, and the law requires attributing the conduct to it at a given error level. A supervisor without an audit trail does not run trading probes; it waits for public data to accumulate, and the cost of waiting is the harm done in the meantime.

Consider $M$ markets, a supervisory cycle of $\bar{T}$ periods, and in each market one algorithm whose conduct does harm $\ell > 0$ per period until it is attributed. With prices alone, attribution at the required error level takes $T_p(\Delta\eta) = c_p(\Delta\eta)^{-(4K-2)}$ periods; with class-tagged records it takes $T_t(\Delta\eta) = c_t(\Delta\eta)^{-2}$ periods, the orders of Theorems 6.10 and 8.2 with constants $c_p, c_t > 0$. We take the attribution times to be of exactly these orders, which is a modelling assumption: Theorem 6.10 gives only a lower bound for prices, and if price-only attribution is slower, $G$ below is larger and disclosure is chosen at least on the band the proposition describes. $T_t \propto (\Delta\eta)^{-2}$ is the rate target; for weights at fixed accuracy $T_t$ does not grow as $\Delta\eta$ shrinks, and the lower edge of the band disappears. Attribution that would take longer than the cycle does not happen within it. An audit trail costs $F$ per cycle to operate and $c$ per market to comply with, including any information leakage. The supervisor's expected loss is therefore $\mathcal{L}_{\text{price}} = M\ell \min\{\bar{T}, T_p\}$ without disclosure and $\mathcal{L}_{\text{disc}} = F + Mc + M\ell \min\{\bar{T}, T_t\}$ with it. Write $\Delta\eta_t = (c_t/\bar{T})^{1/2}$ and $\Delta\eta_p = (c_p/\bar{T})^{1/(4K-2)}$ for the spacings at which tagged and price-only attribution just fit within the cycle.

**Proposition 8.3** (When an audit trail is chosen)**.** *Let $K \geq 2$ and $\Delta\eta_t < \Delta\eta_p$, and let $G(\Delta\eta) = \min\{\bar{T}, T_p(\Delta\eta)\} - \min\{\bar{T}, T_t(\Delta\eta)\}$ be the attribution delay that disclosure saves.*

*(i) The supervisor strictly prefers disclosure if and only if $F/M + c < \ell\, G(\Delta\eta)$.*

*(ii) $G$ vanishes for $\Delta\eta \leq \Delta\eta_t$, increases on $(\Delta\eta_t, \Delta\eta_p]$ to its maximum $G^* = \bar{T} - T_t(\Delta\eta_p) > 0$, decreases wherever it is positive beyond $\Delta\eta_p$, and is negative for $\Delta\eta > (c_p/c_t)^{1/(4K-4)}$, where it returns toward zero from below. Hence the spacings at which disclosure is chosen form an interval around $\Delta\eta_p$, possibly empty: disclosure*

*is never chosen for algorithms so similar that even tagged records cannot attribute them within the cycle, nor for algorithms so different that prices attribute them quickly.*

*(iii) The interval is non-empty if and only if the audit trail covers more than* $M^* = F/(\ell G^* - c)$ *markets (with* $M^* = \infty$ *if* $\ell G^* \le c$*), and it widens as* $M$ *grows.*

Part (i) restates the comparison of losses. Part (ii) says that disclosure is valuable in a middle band, where algorithms are close enough that prices cannot attribute them within the cycle but far enough apart that tagged records can; the polynomial gap between the two delays, $(\Delta\eta)^{-(4K-2)}$ against $(\Delta\eta)^{-2}$, is what makes the band wide. Part (iii) is an economies-of-scale result: an audit trail with a fixed operating cost pays only when it spans enough markets. This illustrates a possible economy of scale for market-wide reporting; the cost function is stylised, not estimated from CAT, and the result neither explains CAT's legal architecture nor shows that it is optimal. A supervisor that can trade has a second option, active probing, whose cost is the frontier of Table 19; because that cost grows at the same polynomial order, it shortens price-only attribution only for well-separated algorithms and leaves the comparison for close ones unchanged. The model takes the harm $\ell$ as given and holds the algorithms' behaviour fixed across regimes; Section 12 returns to both.

**A decision in which attribution matters.** Proposition 8.3 takes the harm from slow attribution as given. The next result derives such a harm inside the model: a supervisor that must restore stability can act on the whole market, which needs only the combined response, or halt one group, which needs that group's own intensity.

**Proposition 8.4** (Market-wide versus targeted intervention)**.** *In the positive, stable economy of Section 2 with known* $a$ *and* $\kappa$*, let a supervisor require the closed-loop persistence* $S = a + \kappa \sum_i q_i$ *to be at most* $\bar{s} \in (a, 1)$*. A market-wide measure scales every group's intensity by* $\theta \in (0, 1]$*; a targeted measure halts one group* $i$*, removing* $q_i = w_i/(1 - r_i)$*.*

*(i) The market-wide measure needed,* $\theta^* = \min\{1, (\bar{s} - a)/(S - a)\}$*, depends on the economy only through* $S = a + \kappa \int (1 - r)^{-1} dM(r)$*, which also equals* $1 - \kappa/\sum_j h_j$*; it is estimated at the parametric rate (Remark 6.3).*

*(ii) Halting group* $i$ *suffices if and only if* $S - \kappa q_i \le \bar{s}$*. Let* $A$ *and* $B$ *be the two* $K$*-cohort economies of Theorem 6.4 built from the* $K$*-point Gauss and Gauss–Radau rules, and let* $\omega^G_{\max} \neq \omega^R_{\max}$ *be the largest normalized weights of the two rules. Then*

$|S^A - S^B| \le C(\Delta\eta)^{2K-1}$, *while* $|q^A_{\max} - q^B_{\max}| \ge W|\omega^G_{\max} - \omega^R_{\max}|/(1 - r_c) - C'\Delta\eta$. *Hence, for small* $\Delta\eta$, *there is an interval of thresholds* $\bar{s}$ *at which halting the largest group restores stability in one economy and not in the other, and any rule based on* $N$ *reset experiments that chooses correctly with probability at least* $3/4$ *in both economies needs, with* $z_{0.75} = \Phi^{-1}(0.75)$,

$$N \;\ge\; \Big(\frac{2z_{0.75}\,\sigma}{\|h^A - h^B\|_2}\Big)^2 \;\ge\; c\,\sigma^2(\Delta\eta)^{-(4K-2)}.$$

*(iii) With class-tagged flow as in Theorem 8.2, each* $q_i$ *is estimated to any fixed accuracy from a number of experiments that does not depend on* $\Delta\eta$, *so for a fixed decision margin* $|S - \kappa q_i - \bar{s}| > 0$ *the targeted decision needs a bounded number of experiments.*

*Proof.* (i) Scaling all intensities by $\theta$ gives persistence $a + \theta(S - a)$, which is at most $\bar{s}$ exactly when $\theta \le (\bar{s} - a)/(S - a)$; $q_i = w_i/(1 - r_i)$ gives the integral form, and $H(1) = \kappa/(1 - S) = \sum_j h_j$ gives the second. (ii) Write $f(r) = (1 - r)^{-1}$ and expand around $r_c$: $f(r_c + \Delta\eta s) = \sum_m (1 - r_c)^{-(m+1)}(\Delta\eta s)^m$. The two economies have the same total weight $W$ and the same moments of order $0, \dots, 2K - 2$ in $s \in [-1, 1]$, so $|S^A - S^B| \le 2\kappa W \sum_{m \ge 2K-1} (\Delta\eta)^m (1 - r_c)^{-(m+1)} \le C(\Delta\eta)^{2K-1}$ for $\Delta\eta \le (1 - r_c)/2$. Each $q_i = W\omega_i/(1 - r_c - \Delta\eta s_i)$ is within $W\omega_i\Delta\eta/((1 - r_c)(1 - r_c - \Delta\eta))$ of $W\omega_i/(1 - r_c)$, which gives the bound on the largest intensities. Let A be the economy with the larger $q_{\max}$. Then $(S^B - \kappa q^B_{\max}) - (S^A - \kappa q^A_{\max}) > 0$ for small $\Delta\eta$, and any $\bar{s}$ strictly between the two post-halt persistences, and below both $S^A$ and $S^B$, separates the correct decisions. A rule that is correct with probability at least $3/4$ in both economies is a test between them with both errors at most $1/4$. For Gaussian observations with a common covariance the best such test has error $\Phi(-\sqrt{N}\|h^A - h^B\|_2/(2\sigma))$, which gives the first inequality, and $\|h^A - h^B\|_2 \asymp (\Delta\eta)^{2K-1}$ (Theorem 6.4) gives the second. (iii) As in the proof of Theorem 8.2, tagged flow gives each $(w_i, r_i)$ with error of order $N^{-1/2}$ uniformly in the spacing, and $\eta_i = 1 - r_i$ is bounded away from zero on the class. □

**In words.** A supervisor that only needs to cool the whole market can act on public data: the size of a market-wide measure depends on the combined response, which is learned quickly. A supervisor that wants to stop one group and leave the others trading needs that group's own trading intensity, and there are two markets that look almost the same in prices, one in which halting the largest group is enough and one in which it is not. Telling them apart takes the full $(\Delta\eta)^{-(4K-2)}$ cost; class-tagged records reduce it to a bounded number of experiments. Table 20 gives numbers. The largest normalized weights

of the two rules differ for every $K \leq 8$ that we checked (for example 0.500 against 0.750 for $K = 2$ and 0.444 against 0.512 for $K = 3$); we do not have a proof that they differ for every $K$. This proposition is new to this revision and has not been independently reviewed.

Table 20: Targeted versus market-wide intervention: two economies that prices barely separate

| $K$ | $\Delta\eta$ | $\lvert S^A - S^B \rvert$ | $\kappa q^G_{\max}$ | $\kappa q^R_{\max}$ | Window for $\bar{s}$ | $N$ for a correct choice |
|---|---|---|---|---|---|---|
| 2 | 0.20 | $3.9 \times 10^{-3}$ | 0.112 | 0.144 | [0.527, 0.562] | 5 |
| 2 | 0.10 | $5.0 \times 10^{-4}$ | 0.093 | 0.131 | [0.532, 0.570] | 306 |
| 2 | 0.05 | $6.5 \times 10^{-5}$ | 0.086 | 0.125 | [0.536, 0.575] | 18,095 |
| 3 | 0.20 | $2.8 \times 10^{-4}$ | 0.073 | 0.092 | [0.583, 0.603] | 1,092 |
| 3 | 0.10 | $7.8 \times 10^{-6}$ | 0.071 | 0.076 | [0.587, 0.592] | $1.4 \times 10^6$ |

Calibration $a = 0.5$, $\kappa = 0.8$, $W = 0.08$, $r_c = 0.60$, observation noise $\sigma = 0.01$ per tap; G and R are the Gauss and Gauss–Radau economies. Both economies have $S \approx 0.66$–$0.68$. "Window" is the range of thresholds in which halting the largest group restores $S \leq \bar{s}$ in one economy and not in the other. The last column is the exact Gaussian-shift requirement for a choice that is correct with probability 3/4 in both. Kind: recomputed (`theory/targeted_intervention.py` → `R_P1_targeted_intervention.json`).

**What the data can and cannot test.** The theorems concern experiments that no outside researcher can run: reset initial states, known price persistence and impact, and either controlled probes or stationary data from a known innovation law. Public data meet none of these exactly. Order flow is endogenous, the fundamental value is unobserved and replaced by returns, observations overlap in time, parameters drift, and the class reports are positions aggregated over many accounts rather than tagged flow. The tests below therefore check the theory's observable prediction, that class records restrict persistence which prices leave unrestricted, under a stated mapping from class positions to cohort states. They do not estimate the theorems' rates, and a pass does not show that class persistence is learning memory.

## 8.4 Mandated disclosure: the CFTC's trader-class reports

The cleanest test uses disclosure mandated by law. The U.S. Commodity Futures Trading Commission requires large traders in regulated futures markets to report their positions and publishes a weekly snapshot of Tuesday positions, usually on Friday, aggregated by reporting category: leveraged funds, asset managers/institutional investors and dealers/intermediaries in financial futures, and managed money, produc-

ers/merchants/processors/users and swap dealers in commodities. The categories reflect each trader's reported business, not the algorithm that traded. These are published, aggregated class positions, not class-tagged flow. We pre-specified a test (SHA-256 `6f1d6f35ae88...`) before downloading any data, in eight markets that span asset classes: CME Bitcoin and Ether, the E-mini S&P 500, 10-year Treasury notes, the euro, the yen, WTI crude oil and Henry Hub natural gas, using every weekly report through October 2026 (282 to 1,039 weeks per market). For each class, $n_{c,t} = (\text{long} - \text{short})/\text{open interest}$ follows $n_{c,t} = \alpha_c + r_c n_{c,t-1} + w_c \,\text{ret}_t$, the weekly version of the cohort recursion. The price-only alternative regresses each week's return on its own twelve lags and fits a two-exponential kernel $\phi_j = b_1 r_1^{j-1} + b_2 r_2^{j-1}$ to the twelve coefficients by least squares over the grid $0 \le r_1 < r_2 \le 0.99$ in steps of 0.02. Weekly futures returns are close to serially uncorrelated, so the fitted weights are close to zero and the rates are weakly identified nuisance parameters (Andrews and Cheng, 2012); that is part of what the wide price-only intervals show. Returns come from Binance spot (Bitcoin, Ether), the S&P 500 index, euro and yen spot rates, minus the change in the 10-year Treasury yield, and front-month crude-oil and natural-gas futures (Yahoo Finance). Only the last two are futures returns; for the other six the basis between spot and the CME contract enters the return regressor; this matters most for the sign of $w_c$ in markets where leveraged funds run basis trades. The comparison is descriptive, not a race between estimators of the same object: the class route fits the persistence of an observed position series, the price route infers latent kernel rates from returns. Intervals come from a 13-week moving-block bootstrap; near a unit root an autoregressive coefficient is estimated at rate $T^{-1}$ rather than $T^{-1/2}$, so the narrow class intervals partly reflect the near-unit-root persistence of position stocks, such percentile intervals are pointwise and can understate uncertainty, and price-only intervals that fill the admissible range are better read as a sign of weak identification than as calibrated 95% intervals. The pre-specified hypotheses were: (H1, primary) the fast class's memory rate is pinned to an interval narrower than 0.25 while both price-only intervals are wider, in at least 75% of markets; (H2) the fast class trend-follows, $w_c > 0$, in at least 75%; (H3) the fast class has the shorter memory in at least half.

The primary hypothesis holds in all eight markets (Table 21). The class reports pin the fitted persistence rate of each fast class's positions to an interval between 0.013 and 0.106 wide, while the price-only kernel leaves both rates anywhere in the admissible range; the width ratios run from 9 to 71. The ratio partly reflects how little weekly returns reveal, which is the point of the theory rather than an artefact of it. A fitted persistence of aggregated positions is not a structural learning memory: it also reflects how slowly

Table 21: Fitted persistence of trader-class positions, CFTC Commitments of Traders, eight regulated futures markets

| Market | Weeks | Fast $\hat{r}$ [95% CI] | Slow $\hat{r}$ | $\hat{r}_{\text{fast}} - \hat{r}_{\text{slow}}$ [95% CI] | $\hat{w}_{\text{fast}}$ | Ratio |
|---|---|---|---|---|---|---|
| Bitcoin (CME) | 434 | 0.951 [0.928, 0.969] | 0.986 | −0.035 [−0.062, −0.010] | − | 23.7 |
| Ether (CME) | 282 | 0.890 [0.826, 0.932] | 0.960 | −0.070 [−0.143, −0.011] | − | 9.1 |
| E-mini S&P 500 | 1,039 | 0.914 [0.884, 0.937] | 0.954 | −0.040 [−0.071, −0.012] | − | 18.3 |
| 10-year T-note | 1,039 | 0.992 [0.985, 0.998] | 0.993 | −0.000 [−0.006, +0.007] | (0) | 71.4 |
| Euro | 1,035 | 0.961 [0.947, 0.972] | 0.996 | −0.034 [−0.051, −0.022] | + | 37.3 |
| Yen | 1,035 | 0.955 [0.939, 0.968] | 0.984 | −0.029 [−0.047, −0.013] | + | 34.0 |
| WTI crude oil | 1,039 | 0.961 [0.946, 0.974] | 0.999 | −0.037 [−0.053, −0.023] | + | 35.2 |
| Natural gas | 1,039 | 0.981 [0.969, 0.990] | 0.980 | +0.001 [−0.014, +0.017] | + | 44.0 |

*Pre-specified hypotheses*: H1 (primary) 8 of 8, pass; H2 4 of 8, fail; H3 6 of 8, pass (two indistinguishable).

"Fast" (designated speculative) class: leveraged funds (financial futures) or managed money (commodities); "slow" (designated comparison) class: asset managers or producers/merchants. The labels are fixed by class role before estimation, not by the estimates; in natural gas the designated fast class has the (insignificantly) higher persistence. $\hat{w}_{\text{fast}}$: sign of the response to returns, + or − when the 95% interval excludes zero, (0) otherwise. Ratio: mean width of the two price-only rate intervals over the width of the fast-class interval; the price-only intervals span 0.95–0.96 of the admissible range $[0, 0.99]$ in every market. Weekly returns: Binance spot (Bitcoin, Ether); S&P 500 index, euro and yen spot, minus the change in the 10-year yield, and front-month crude-oil and natural-gas futures from Yahoo Finance. For the six non-futures series the spot–futures basis is ignored. Specification SHA-256 `6f1d6f35ae88...`; test opened once. Kind: real data (Part 11).

positions turn over and how accounts enter and leave a class. In the model with inventory costs (the remark after Lemma 2.1) a position accumulates order flow, so it carries an inventory-adjustment root, close to one when inventory costs are small, on top of the belief root $r_i$, and a one-lag fit to positions mostly picks up the former. The classes differ as the cohort model allows. Leveraged funds and managed money have the less persistent positions in six of eight markets, with half-lives of 6 to 18 weeks against months to years for asset managers and producers; in Treasuries and natural gas the two persistences are indistinguishable.

The trend-following hypothesis fails. The fast class buys after rises in the euro, the yen, crude oil and natural gas, but sells after rises in Bitcoin, Ether and the S&P 500 futures. The first half matches the finding of Moskowitz et al. (2012) that speculators' positions tend to go with past returns. We did not predict this. One candidate explanation is that leveraged-fund positions in financial futures are dominated by the short futures leg of cash–futures basis trades, which a single memory per class cannot represent (Barth and Kahn, 2021). A post-hoc check is consistent with it but not decisive: weekly position changes of leveraged funds and asset managers are strongly negatively correlated in Bitcoin, Ether, the S&P 500 and Treasuries (−0.37 to −0.67) but not in the euro or yen (−0.04 and −0.05), and holding the asset managers' change fixed removes the negative response in

Bitcoin and halves it in Ether and the S&P 500. Because class positions sum to zero across all reporting categories, some negative correlation is mechanical, so this is a signature, not a test. The failure sharpens rather than weakens the case for class tagging: class labels are not strategies, and a supervisor who wants to know how a class responds to prices needs its positions, which the price process does not reveal. Negative estimated $w_c$ also lies outside the positive economy of Section 2, so the dollar bounds of Section 8.2 do not apply to these classes; the pre-specified restriction test does not use positivity.

Together with Table 22, the evidence now covers two disclosure regimes, one voluntary and one mandated by law, in crypto and in regulated equity-index, rate, currency and commodity futures. In both, class-tagged positions restrict persistence rates that prices leave unrestricted; whether that persistence is learning memory or slow turnover of positions, these data do not say.

## 8.5 Voluntary disclosure: Binance's trader-class ratios

Binance publishes voluntarily, for one venue but every five minutes, long/short ratios for its top-trader group, by position and by account, and for all accounts. These are class-level positions, the closest public analogue to the tagged data of Proposition 8.1, but not homogeneous cohorts: the top-trader position ratio is built from position sizes, the all-account ratio from counts of long and short accounts, the top-trader group is a subset of all accounts, and its membership can change. We treat a class's reported net position as the observable counterpart of its cohort state: it obeys the same one-lag recursion class by class, so the block-diagonal information structure of Proposition 8.1 carries over. The mapping is an assumption, because the reports are positions rather than flows and returns stand in for the unobserved deviation $x_t$. For each class $c$ we estimate $n_{c,t} = r_c n_{c,t-1} + w_c \,\mathrm{ret}_t$, with $n = (R-1)/(R+1)$ from the ratio $R$. The price-only alternative regresses signed five-minute taker flow on twelve lagged five-minute returns and fits two exponentials to the kernel; it estimates the memory rates without class information. Intervals come from a day bootstrap with 200 draws.

We begin with the one-hour price kernel of Table 22 and end with the fairer horizon-matched comparison on 30 new markets, which reduces the width ratio to a median of 7.3. Table 22 gives three results. First, tagged class data restrict persistence rates that prices and flow leave essentially unrestricted: with the one-hour price-only kernel, the price-only intervals are 28 to 124 times wider in every one of 30 symbols on fresh days, and cover most of the admissible range. Part of this ratio is mechanical, because a series of positions identifies its own persistence directly while the price-only route must fit two

Table 22: Fitted persistence rates with and without class-tagged data

| Symbol | Days | Top position $\hat{r}$ [95% CI] | All accounts $\hat{r}$ [95% CI] | Width ratio | Classes differ |
|---|---|---|---|---|---|
| BTCUSDT | 48 | 0.9889 [0.9842, 0.9935] | 0.9986 [0.9955, 1.0005] | 121.7 | yes |
| ETHUSDT | 48 | 0.9793 [0.9616, 0.9907] | 0.9972 [0.9934, 0.9997] | 55.6 | yes |
| CELRUSDT | 48 | 0.9884 [0.9830, 0.9922] | 0.9882 [0.9804, 0.9914] | 81.6 | no |
| CVXUSDT | 33 | 0.9822 [0.9732, 0.9908] | 0.9829 [0.9694, 0.9900] | 45.9 | no |

| *Pre-specified test on fresh days, 30 USD-M perpetuals, 2025–2026* | |
|---|---|
| (i) width ratio $> 10$ | 30 of 30 (range 27.6–124.0) |
| (ii) price-only rate interval wider than 0.25 | 30 of 30 (range 0.65–0.99) |
| (iii) merged response $\sum_m k_m$ identified | 5 of 30 |
| Classes differ | 11 of 30 |

Top panel: training days 2023–2024; width ratio is the mean price-only rate-interval width over the mean tagged width. Estimates are from day-demeaned regressions, which bias persistence down; corrected by a split-panel jackknife, the median tagged rate is 1.0008 (Section 8.5). The price-only intervals for both rates cover most of $[0, 0.99]$. Bottom panel: specification pre-specified before the fresh days were downloaded (SHA-256 `65acda361861...`); a symbol passes if all three of the first rows hold, and the test required 80% of symbols to pass.

exponentials to a weakly identified kernel. Restricting attention to the five symbols in which the price-only fit does identify the merged response (ACH, API3, OGN, ZEN and DASH) does not change the conclusion: the price-only rate intervals are still 0.64 to 0.92 wide and the ratios run from 27.6 to 62.5 (median 47.5). We therefore read the ratios as a measure of how little prices reveal about class memory, not as a horse race between two estimators of equal standing. The ratios also overstate the gap for a second reason: the price-only kernel spans one hour (twelve five-minute lags), while the tagged half-lives are several hours, so the price-only fit cannot see memories of that length. An exploratory check on the 30 symbols and 105 days of the follow-up test refits the price-only kernel with 48 and 96 lags (four and eight hours) and compares both routes in one unit, the half-life. With 96 lags the price-only slow half-life (median 5.6 hours) reaches the tagged scale (median 4.2 hours). The tagged intervals remain narrower in all 30 symbols, but by a median factor of 7.5 in log half-life rather than 28 to 124, and the price-only interval still reaches a bound of the fit in 25 of 30. The horizon-matched comparison was then pre-specified as a primary hypothesis of a test on 30 symbols never used in this project, before its data were downloaded, and passed: the tagged interval was narrower in 29 of 29 evaluable symbols (median factor 7.3, smallest 2.6), and the price-only interval reached a bound of the fit in 26. A pre-specified secondary of the same test qualifies what the tagged estimate measures. Day-demeaned regressions bias persistence down; corrected by a split-panel jackknife, the median tagged rate is 1.0008 per five minutes, and the corrected interval lies below one in only 7 of 87 class fits. Within a day the class

ratios are close to a random walk, so the half-lives of a few hours reported here are largely produced by removing each day's mean. The evidence therefore supports a narrower claim than identification of class memory: positioning data restrict a persistence parameter that prices cannot bound. Whether that persistence reflects learning memory or slow turnover of positions, which theory's tagged contract (class-tagged flow) would distinguish, is not established by these data. Second, the classes differ where theory says the information should be: in BTCUSDT and ETHUSDT the top-trader group's positioning has a half-life of about three to five hours against about one to two days for all accounts, while in thin symbols the classes are often indistinguishable. Third, the pre-specified test fails its 80% criterion, on the part of the prediction that concerns what prices *do* reveal: the merged response is significantly different from zero in only 5 of 30 symbols. Theorem 6.9 says the merged measure is identified; on 42 days of thin-market data it is not estimated precisely. This is a failure of the prediction as pre-specified, and we report it as one. A post hoc reading, not tested here, is that identification is an asymptotic statement and 42 days of passive thin-market data are far from that regime. Two follow-ups were pre-specified before their data were downloaded, and each ran once. On 105 untouched days in the same 30 markets, price-only intervals were again at least ten times wider than class-tagged ones in all 30 symbols (median ratio 74.9 with the one-hour kernel), but the merged response was significantly different from zero in only 9 symbols, and pinning it down was at least ten times cheaper than separating the memory rates in only 10 of 30 (23 were required): that prediction failed. On 58 further days, the advantage of tagging grew with the sample in 22 of 29 symbols, the number required, but the tagged intervals shrank more slowly than the parametric rate (20 of 29 in the predicted range, 22 required), consistent with drift in class persistence over 21 months. Complete tables for both follow-ups are in the public replication repository.

To test directly whether the memory rates identified by class-tagged positions improve out-of-sample return predictions after large order-flow shocks, we pre-specified a dedicated out-of-sample test before downloading the 22nd-of-month data for January 2025–September 2026 across 19 thin perpetuals (6,137 top-decile five-minute flow shocks on 2024 training days; 4,579 shocks on untouched 2025–2026 test days). On the training sample we estimate each symbol's two memory rates $\hat{r}_1, \hat{r}_2$ either from the class-tagged positions or from the price-only two-exponential fit, construct the filtered memory states $y_{k,t} = \hat{r}_k y_{k,t-1} + (1 - \hat{r}_k)\mathrm{ret}_t$, and forecast the 30-minute post-shock cumulative return $R_{t+1\to t+6}$ out of sample relative to an AR(1) return-and-flow baseline. The primary hypothesis fails: on the untouched test shocks, the price-only memory

states yield $\Delta R^2 = -0.199$ percentage points relative to the baseline, the class-tagged memory states yield $\Delta R^2 = -1.288$ points, and the tagged-minus-price-only difference is $\Delta R^2 = -1.089$ points (95% date-block bootstrap CI $[-2.605, +0.376]$, Clark–West $t = 0.96$, $p = 0.1684$). The difference is statistically inconclusive, and there is no evidence of a gain from class data. Likewise, adding the level and one-hour change of the top-trader and all-account positions to the hourly tail-risk controls of the companion paper leaves out-of-sample $R^2$ unchanged ($-0.19$ points, CI $[-0.99, 0.83]$).

After this test failed, we pre-specified a follow-up on untouched 2nd-and-9th-of-month data for January 2025–September 2026 across the same 19 thin perpetuals (12,046 top-decile five-minute flow shocks on 24 training dates in 2024; 9,875 shocks on 42 test dates; test opened once). It asks the narrower question that Theorem 3.1 and Proposition 8.1 answer directly: can prices and flow track the class states themselves? A two-exponential price-and-flow filter ($\alpha_{\text{fast}} = 0.50$, $\alpha_{\text{slow}} = 0.10$ on five-minute returns and signed flow, plus shock return, shock flow and symbol fixed effects) is compared with a filter that adds the current class states and their one-bar changes. Both pre-specified primaries pass by a wide margin (Table 23): adding the class states raises out-of-sample $R^2$ from $-4.8\%$ to 46.0% for the 30-minute divergence between top-trader and all-account positions, and from 4.4% to 54.8% for the top-trader state. As the next paragraph shows, the gain reflects the near-unit-root persistence of position levels, not predictability of future trading.

Table 23: Pre-specified out-of-sample cohort-state trajectory test on untouched 2nd-and-9th-of-month days (`P1_disclosure_state_oos`), 2025–2026

| 30-min post-shock target (19 thin) | $R^2_{\text{pf}}$ | $R^2_{\text{tag}}$ | $\Delta R^2$ (pts) [95% CI] | CW $t$ ($p$) | Res. |
|---|---|---|---|---|---|
| Prim. 1: Divergence $d_{t+6}$ (9,875 shocks) | −4.766 | 45.962 | +50.728 [+45.291, +55.918] | 21.27 ($< 10^{-16}$) | pass |
| Prim. 2: Top state $n_{\text{top},t+6}$ (9,875 shocks) | 4.441 | 54.845 | +50.404 [+47.226, +53.724] | 21.85 ($< 10^{-16}$) | pass |
| Sec.: Divergence $d_{t+6}$, all (210,144 bars) | −0.586 | 37.053 | +37.639 [+36.232, +39.107] | 72.75 ($< 10^{-16}$) | — |
| Sec.: Top state $n_{\text{top},t+6}$, all (210,144 bars) | 0.186 | 46.779 | +46.593 [+45.555, +47.643] | 80.44 ($< 10^{-16}$) | — |

Out-of-sample $R^2$ in percent. Trained on 24 dates in 2024 (12,046 shocks, 120,384 bars); evaluated once on 42 untouched test dates (2nd and 9th of each month, Jan 2025–Sep 2026); 2,000-draw date-block bootstrap 95% CIs; Holm $p < 10^{-16}$ across both primaries. Specification SHA-256 `5136cc6b846d...` (`R_P1_disclosure_state_oos.json`).

The gain is almost entirely persistence. In an exploratory decomposition on the same test shocks (`hardened_empirical_audits.py` → `R_hardened_empirical_audits.json`), an AR(1) on the current level alone accounts for 100.5% and 99.1% of the improvement, and when the target is the 30-minute *change* in positions the class data add $-0.26$ and $+1.41$ points. Because the class filter observes the series it forecasts, this is a weak test: it confirms that prices and flow cannot reconstruct where the classes are positioned, which Theorem 3.1 implies, but it does not show that class data reveal how their positions will

move, and neither pre-specified test finds that class data improve return forecasts.

# 9 A spectral blind spot

For any eigenvalues $0 < \lambda_2 < \lambda_1 < 1$, one-step price variance and sufficiently large stationary price variance, there is a family of two-state markets sharing all three quantities whose worst-case transient gain grows without bound (Supplemental Appendix, Theorem S.4.1 and Figure 8).

# 10 Empirical feedback and its measurement

Across a 96-date, eight-pair Binance spot panel (66.3M one-second bars), a 72-date BTCUSDT one-second panel, 30 USD-M perpetuals and two BTCUSDT spot zero-fee events, standard reduced-form feedback indices are dominated by EMA filtering mechanics ($1 - \alpha = 0.9355$) and clock alignment (0.0081 with look-ahead vs. 0.00037 aligned); real feedback beyond the placebo is positive but small (0.0045), rises with market depth (Spearman +0.70), and does not move when zero fees multiply trading volume by 2.6 to 4.9 (Supplemental Appendix, Tables 25–30).

# 11 Implications for supervision and market design

The results separate two supervisory tasks that are often run together. Monitoring aggregate fragility, for example to set market-wide limits, needs only the combined price response, which public data identify at the ordinary rate however many groups trade (Remark 6.3, Proposition 8.4(i)). Attributing feedback to particular groups, to apply targeted limits or enforcement, faces the $(\Delta\eta)^{-(4K-2)}$ barrier whenever groups react over similar horizons (Proposition 8.4(ii)). Class-tagged records remove that barrier group by group (Proposition 8.1), and in the model persistent pseudonymous class labels deliver the full statistical gain without personal data.

**What a supervisor can learn from public data.** Prices and anonymous flow reveal the merged measure $M$ and the closed-loop impulse response, hence the transfer function, and nothing finer. A supervisor who wants to know *which* algorithms drive a feedback loop cannot get there from public data at reasonable cost when their memories are close.

This is not a failure of econometric technique: Theorem 6.2 holds for every estimator, biased or not.

**What probing costs.** At realistic observation noise, an exchange or a large desk could separate two well-separated memory rates for about $10^5$ USDT of capital. Probing is therefore feasible for coarse questions and infeasible for fine ones. Because capital grows as $\delta^{-4}$ and experiments as $(\Delta\eta)^{-(4K-2)}$, halving the separation multiplies the cost by 16 for a known pair and by $2^{4K-2}$ for $K$ unknown cohorts.

**What disclosure buys.** Disclosure regimes differ sharply in value (Table 18). Timestamps without update values are worthless for this purpose. Noisy periodic statements are nearly worthless. Audited equity and, above all, flow tagged by participant class remove the barrier entirely (Proposition 8.1). In our attribution experiment, correctly tagged flow is far more informative than the periodic statements considered here. Calibrated to the fitted day-demeaned persistences of Binance's published class ratios (an illustrative calibration), separating the top-trader group from all accounts in BTCUSDT would take prices alone about 333 times as long (Theorem 8.2). The class reports that the CFTC already requires have the same property in regulated markets (Table 21), so the argument concerns the granularity and frequency of existing disclosure, not a new kind of reporting.

**When audit trails already exist.** The US Consolidated Audit Trail (SEC Rule 613) is designed to capture specified order and reportable-event information for NMS stocks and listed options across exchanges and broker-dealers, from origination to execution or cancellation, linked to a customer identifier and to the broker-dealer that handled the order; its actual scope is governed by Rule 613, the CAT NMS Plan and exemptions. Since February 2025, under SEC exemptive relief, it no longer requires the names, addresses and years of birth of natural-person customers, who remain linked through an identifier derived from a transformed tax identifier (SEC, 2012, 2016, 2024, 2025). Our results bear on such regimes in three conditional ways. First, for the attribution task modelled here, records that report each class's flow separately remove a barrier that, for an observer who learns by probing, costs round-trip trading loss of order $\delta^{-4}$, and they save samples by a factor of order $(\Delta\eta)^{-(4K-2)}$ at fixed accuracy or $(\Delta\eta)^{-(4K-4)}$ for rates resolved to a fraction of their spacing (Proposition 8.1, Theorem 8.2). This is a measurement value, not a cost–benefit assessment: CAT's budget pays for enforcement, market reconstruction and surveillance, none of which the model measures, and Section 8.2 sets the hypothetical probing loss beside it only as a scale illustration. For estimating class responses in our

model a persistent pseudonymous label suffices; this does not settle what enforcement or data-minimization design requires. Second, an audit trail records accounts, not decision rules. One account can run several algorithms and one algorithm can trade through several accounts, so account-level records need not provide the class-homogeneous flow that Proposition 8.1 assumes; an observer who wants rule-level memories faces our problem within each account's flow, with fewer cohorts but the same exponent. MiFID II's order-record and algorithmic-governance rules (RTS 24 for venue order records, European Commission, 2017; RTS 6 for firms' algorithmic systems, European Commission, 2017b) are the closer analogue, although the firm-assigned algorithm identifier tracks a distinct strategy within a firm, not its continuously updated parameters. Third, the audit trail does not reach the markets we study. Crypto perpetual futures are outside it, futures regulated by the CFTC have separate reporting, and its data are not public: regulators and authorized self-regulatory organizations have controlled access, while outside desks and researchers generally do not. For these observers the price-only and coarse-disclosure contracts of this paper are the relevant ones.

**What to monitor instead.** Because transient loss can be arbitrarily large at fixed eigenvalues and volatility (Theorem S.4.1), supervision that wants to control risk rather than identify participants should monitor quantities that bound transient loss directly: the summed absolute impulse response and confidence sets for the transfer function, both of which are identified from public data. These are cheap where identification is expensive (Remark 6.3); the companion paper shows that the summed response can be bounded at the parametric rate from controlled experiments, and only under a declared bound on memory length from a finite window (Niroula et al., 2026).

**How to measure feedback.** Empirical feedback indices should (i) compare persistence with the mechanical value of the filter, (ii) align flow with the bar in which it is observed, (iii) control for order-splitting persistence or use instruments with a defended exclusion, and (iv) report placebo pipelines. Each of these changes the sign or the order of magnitude of published-style estimates in our data.

# 12 Conclusion and an open problem

In a linear market with exponential-memory cohorts and known impact parameters, prices reveal a merged summary of algorithmic feedback. Recovering the algorithms behind it

costs executed quantity of order $\delta^{-2}$ and trading capital of order $\delta^{-4}$ for a known pair, with a numerically evaluated constant of about 61 par units at the calibration, and a number of experiments of exact order $(\Delta\eta)^{-(4K-2)}$ for $K$ unknown cohorts, and at least that order of passive observations; in simulations of stylized nonlinear rules and of online learners trained in the closed loop the same costs hold when the competing populations' feedback weights match, populations whose learned weights differ are told apart by those weights instead, and hard thresholds hide cohorts from small probes altogether. Without the exponential form, accuracy improves only as $1/\log N$, with matching lower and upper bounds. Class-tagged disclosure removes the barrier under the stated contract, and its value can be stated in samples: a factor of order $(\Delta\eta)^{-(4K-4)}$ for resolving rates (and $(\Delta\eta)^{-(4K-2)}$ at fixed accuracy), about 333 for the trader classes Binance already publishes in BTCUSDT. The CFTC's class reports restrict a fitted position persistence that prices leave unrestricted in all eight regulated markets we examined; this persistence is not shown to be learning memory, a pre-specified test of what prices do reveal failed, and class-tagged memory states did not improve 30-minute post-shock return forecasts ($\Delta R^2 = -1.09$ points, inconclusive). At realistic noise the capital barrier for a moderate separation is about $10^5$ USDT. Measured feedback in crypto markets is real but small, rises with depth, does not move when fees change trading volume severalfold, and is easily confused with filtering and timing artefacts. Finally, eigenvalues and volatility cannot certify safety, because transient loss can be arbitrarily large at fixed spectrum and variance.

Two open questions remain. The first is economic: Proposition 8.4 gives one stylised decision in which knowing the individual groups changes the right action, but turning the information costs here into a value of disclosure needs a supervisory loss function estimated from real interventions. The second is for supervision: *what can be measured and controlled without identifying the algorithms?* The impulse response and the transfer function, and finite-sample confidence sets for them, are identified from public data even when cohorts are not. The structural matrix $J$ is not: economies with the same merged measure can have different state dimensions, so $J$ is identified only up to the equivalence class of minimal realizations of the same transfer function. A well-posed next question is: for a stated class of stable closed-loop markets, given an estimated transfer function and a finite-sample confidence set, which intervention policy of least cost guarantees a stated bound on future price displacement without recovering individual cohorts? The companion paper uses exactly this interface to build an identification-free pre-trade control.

**Data and code availability.** All data are public: Binance archives (https://data.binance.vision), verified against published checksums; the CFTC Commitments of Traders reports; and Yahoo Finance prices for the CFTC markets other than Bitcoin and Ether. The pre-specified specification of the disclosure test, its SHA-256 hash and its test-set unlock counter are in the replication package. Every number in this paper is produced by a notebook cell or script that writes a result file (Appendix S.9).

**Use of AI tools.** The authors used AI assistants. Claude (Anthropic) was used to write and debug analysis code, run checks of derivations and numerical results, and draft and edit text. ChatGPT (OpenAI) and Gemini (Google) were used for planning and for AI-generated critiques of drafts. These AI critiques are internal checks, not independent review. Every number in the paper is produced by code the authors executed and archived in the replication package. The authors reviewed all content and take full responsibility for it.

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Table 24: Map of results

| Question | Answer | Where |
|---|---|---|
| What do prices identify? | The merged rate–weight measure only | Thm 3.1 |
| Quantity to separate a known pair | $\Theta(\delta^{-2})$, exact error formula | Thm 4.1 |
| Capital to separate a known pair | $\Theta(\delta^{-4})$, counterparty or own funds | Thm 4.3, Lem. 4.5 |
| Constant at the calibration | $[61.41, 64.48]$ par units; $\approx 10^5$ USDT | Thms 5.1–5.3, Table 9 |
| Does adaptivity help? | At most by a factor $\approx 0.49$ in expected loss | Thm 5.2 |
| Unknown mixtures | $(\Delta\eta)^{-(4K-2)}$, tight for every $K$ | Thms 6.4, 6.5 |
| General memory | Accuracy $\asymp 1/\log N$, lower and upper bounds | Lem. 6.7, Thm 6.8 |
| Passive data | Identifies $M$; at least the same polynomial cost for every $K$ | Thms 6.9, 6.10, Prop. S.8.2 |
| Nonlinear and adaptive rules? | Settled online learners obey $\delta^{-4}$; fast adaptation or thresholds break it | Table 17 |
| What removes the barrier? | Tagged flow, audited equity | Props 4.4, 8.1 |
| Does attribution change a decision? | Yes in a stylised case: a market-wide limit needs only $S$; whether a targeted halt suffices needs each $q_i$ | Prop. 8.4 |
| What is tagging worth? | Factor $(\Delta\eta)^{-(4K-2)}$ (fixed accuracy) or $(\Delta\eta)^{-(4K-4)}$ (rates); $\approx 333\times$ for BTCUSDT (illustrative) | Thm 8.2 |
| Hypothetical probing loss? | At least \$15M–\$356M a year per market to re-learn two unknown groups weekly at $\Delta\eta = 0.10$; illustrative, not a social cost | Table 19 |
| Do class data restrict class persistence? | Yes: 30 of 30, and 29 of 29 new markets (registered); whether it is memory is open | Table 22 |
| Can eigenvalues certify safety? | No | Thm S.4.1 |
| What do feedback indices measure? | Mostly filtering and timing; small real feedback | Tables 26, 28 |
| Does feedback track activity? | No: fees move volume 2.6–4.9×, not $\hat{Q}$ | Table 30 |

# Supplemental Appendix for "Auditable Memory and Financial Identification Limits"

## S.1 Map of results

## S.2 Observation design and the tri-region partition

An observer distinguishes two candidate mechanisms with rates $\theta_0$ and $\theta_1 = \theta_0 + \delta$ over $N$ periods, submitting probes $V = (V_1, \ldots, V_N)^\top$ that generate inventory $I_t = \sum_{s \le t} V_s$. Under contract $I_0$ (active probing, Gaussian observation noise) $p_t = (h_i * V)_t + \epsilon_t$, $\epsilon_t \sim N(0, \sigma^2)$, so

$$D_{\mathrm{KL}}(P_0^{\otimes N} \| P_1^{\otimes N}) = \frac{1}{2\sigma^2} \sum_{t=1}^{N} \big((h_1 * V)_t - (h_0 * V)_t\big)^2. \tag{29}$$

The observer minimizes capital $C(N, V) = \sum_t (\lambda V_t^2 + \phi |V_t|) + \max_t \mu p_0 |I_t|$ subject to (i) separation $D_{\mathrm{KL}} \ge \frac{1}{2}(z_\alpha + z_\beta)^2$, (ii) caps $|V_t| \le V_{\mathrm{eff}}$ and $|I_t| \le I_{\max}$, and (iii) a solvency budget $\max_t \mathrm{Loss}_t(V) \le B$. Here $V_{\mathrm{eff}} = \min(V_{\max}, D_{\max}/\kappa)$ combines resting depth and a

price-displacement limit.

**Proposition S.2.1** (Tri-region partition and finite-session resolution floor)**.** *Under observation horizon $T$ per pulse, $(\delta, B)$ space splits into three regions.*

*(i)* Feasible single pulse. *For $\delta \geq \delta_{\min}(T)$ and $B \geq C^*(\delta)$ one pulse within capacity suffices. For a simple rate shift ($\eta_1 = \eta_0 + \delta$) the response difference is $\Theta(\delta)$ and $C^* = \Theta(\delta^{-2})$; for symmetric splitting the first-order variation cancels, the difference is $\Theta(\delta^2)$ and $C^* = \Theta(\delta^{-4})$.*

*(ii)* Sequential bounded probing. *For $\delta < \delta_{\min}(T)$ the required quantity exceeds $V_{\text{eff}}$. Capped pulses each supply divergence $V_{\text{eff}}^2 \|d_T\|^2/(2\sigma^2)$, so*

$$N_{\text{pulses}}(T, \delta) = \left\lceil \frac{4\sigma^2 z_\alpha^2}{V_{\text{eff}}^2 \|d_T\|_2^2} \right\rceil. \tag{30}$$

*(iii)* Infeasible with isolated pulses. *If the budget cannot finance sequential costs, peak inventory breaches $I_{\max}$, or a session deadline binds, the finite-session floor $\delta_{\min}(T_{\text{session}})$ is the root of $V_{\text{eff}} \|d_{T_{\text{cycle}}}(\delta)\|_2 = 2\sigma z_\alpha / \sqrt{\lfloor T_{\text{session}}/T_{\text{cycle}} \rfloor}$, with small-$\delta$ approximation $\delta_{\min} = \Theta(T_{\text{session}}^{-1/4})$.*

**In words.** A single test trade works only when the groups are far enough apart and the account has enough capital. Closer groups need many capped test trades, and a longer observation window after each trade makes every test trade more informative.

At the calibration $\kappa = 0.8$, $q = 0.2$, $\sigma = 0.01$, $V_{\max} = 50$, $D_{\max} = 5$ ($V_{\text{eff}} = 6.25$), the single-tap floor is $\delta_{\min}(3) = \sqrt{2\sigma z_\alpha/(V_{\text{eff}}\kappa^2 q)} = 0.2028$; extended observation lowers it to 0.1376 ($T = 4$), 0.0973 ($T = 10$), 0.0914 ($T = 20$) and 0.0905 ($T = 100$). At $\delta = 0.05$ the simplified one-leg benchmark (cost $\frac{1}{2}\kappa V_{\text{eff}}^2 + \phi P_* V_{\text{eff}} = 15.875$ per pulse plus initial margin 3.125) needs 271 pulses and 4,305.25 par units with $T = 3$, 58 pulses and 923.88 with $T = 4$, but only 12 pulses and 193.63 with $T = 20$ and 11 pulses and 177.75 with $T = 100$; optimizing the pulse size (6.06 rather than 6.25) lowers the $T = 20$ figure to 182.03. Most of the saving comes from observing the transient response rather than a single tap (Figure 7).

These are costs within an isolated-pulse design class, not minimum capital; the next subsection replaces the formula by a ledger.

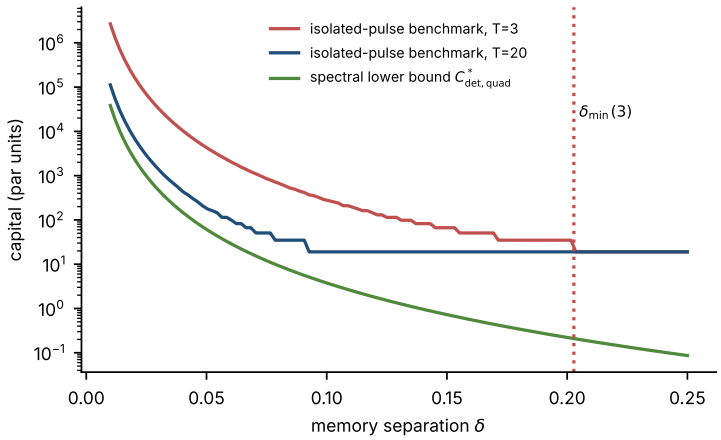



Figure 7: Capital against separation: isolated-pulse benchmarks with three and twenty observations per pulse, and the spectral lower bound of Theorem 5.1. The dotted line is the single-tap resolution floor $\delta_{\min}(3) = 0.2028$. Recomputed in this revision.

## S.3 Robustness: heteroskedastic impact and probing protocols

**Corollary S.3.1** (Invariance under impact-induced heteroskedasticity)**.** *Suppose probing inflates innovation variance as* $\sigma^2_{i,t}(v) = \sigma^2(1 + \xi[(h_i * v)_t]^2)$ *and slippage scales as* $\kappa_{\text{eff}} = \kappa(1 + \xi_0|v_t|)$*. For capacity-bounded probes,* $D_{\text{KL}}(P_0^v \| P_1^v) \le \frac{1+O(\xi^2 V_{\text{eff}}^2)}{2\sigma^2} \|(H_1 - H_0)v\|_2^2 = O(\|v\|_2^2 \delta^4)$*, and convex impact only raises dissipation. Required capital remains* $\Theta(\delta^{-4})$*.*

Four probing protocols (unconstrained single pulse, repeated capped pulses, a sequential test with dynamic throttling, and a predetermined generalized-eigenvector trajectory) all show capital slopes near $-4$ in $\log \delta$: $-3.90$, $-3.84$, $-3.47$ and $-3.81$ over $\delta \in [0.03, 0.12]$, where the sequential slope is flattened by the 1.7 pulses needed at $\delta = 0.12$ (Appendix Table 32). At equal observation horizon, sequential stopping saves 14–49% of capital relative to repeated capped pulses, but most of the apparent saving from the single-tap baseline comes from observing the transient response, not from adaptivity.

## S.4 A spectral blind spot

Even without identification, could a supervisor monitor risk through eigenvalues or volatility?

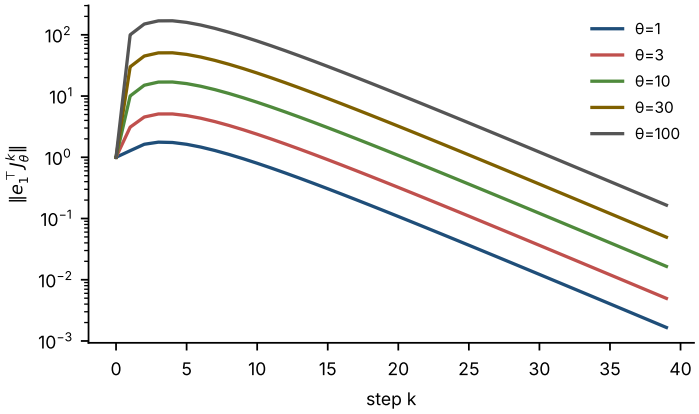



Figure 8: Price-row transient gain of the spectral-blindness family $J_\theta$: eigenvalues $(0.8, 0.7)$, one-step price variance 1 and stationary price variance 5 are the same for every $\theta$.

**Theorem S.4.1** (Spectral blindness)**.** *For any eigenvalues* $0 < \lambda_2 < \lambda_1 < 1$*, one-step price variance* $s_1 > 0$ *and stationary price variance* $V$ *large enough, there is a family of two-state markets* $J_\theta = \left(\begin{smallmatrix} \lambda_1 & \theta \\ 0 & \lambda_2 \end{smallmatrix}\right)$ *with shock covariance* $\mathrm{diag}(s_1, s_2(\theta))$ *such that all members share the eigenvalues, the one-step price variance and the stationary price variance, while the worst-case transient gain* $\sup_k \|e_1^\top J_\theta^k\|$ *grows without bound in* $\theta$*.*

**In words.** Two markets can look identical by the usual risk measures, the same eigenvalues and the same price variance, and yet one of them can produce far larger losses in the short run. Monitoring eigenvalues or volatility alone therefore cannot certify that a market is safe.

At $\lambda = (0.8, 0.7)$, $s_1 = 1$ and $V = 5$, the gain is 1.77, 5.10, 16.95, 50.85 and 169.50 for $\theta = 1, 3, 10, 30, 100$, with stationary variance 5.000 in every case; the cumulative gain rises from 18.3 to 1,667.7. No monitor that depends only on eigenvalues and second moments of the price can be uniformly safe (Figure 8).

Two clarifications prevent over-reading. First, the cohort economy of Section 2 is itself non-normal, yet its price output does not amplify (Lemma 2.3). Large weighted gains can be manufactured by output weights alone: with $C_w = (1, 160)$, a price-and-memory functional peaks at 160.003 at $t = 0$, which is the static weight, not dynamic growth (Appendix S.8.5). Second, in a network of $M$ identical cohort economies coupled by symmetric nonnegative cross-impact, the coupled operator stays symmetric in the coordinates of Lemma 2.3; with cross-impact 0.05, the spectral radius rises from 0.822 ($M = 1$) to 0.973 ($M = 10$) while the Kreiss constant stays at one, as it must for a

stable symmetric operator (`recompute_oct20.py`). A stable normal contraction cannot exhibit Euclidean state-norm transient growth. This does not exclude scalar input-output overshoot relative to initial impact, which also depends on the input and output maps. The positive-cohort no-overshoot result is model-specific; the companion paper studies a depth-depletion mechanism.

## S.5 Empirical feedback and its measurement

The theory says what prices can reveal. The empirical work has two roles, and neither is a test of the identification bounds themselves, which concern controlled experiments no outside researcher can run. First, Section 8.5 tests the theory's policy prediction directly: that class-tagged data pin down memories that prices leave unrestricted. Second, this section asks what the reduced-form feedback indices a supervisor would compute from public data actually measure, and how much of them is feedback rather than filtering, timing or trading activity.

### S.5.1 Estimand and filtering mechanics

In theory $x_t = p_t - p_t^*$ is the deviation from an unobserved fundamental. Empirical work replaces $p_t^*$ by a trailing filter. Let $p_b$ be a log price proxy on uniform bars of length $\Delta$ and $m_b = (1-\alpha)m_{b-1} + \alpha p_b$ an exponential moving average with $\alpha = 2/(W/\Delta + 1)$. The empirical state is

$$x_b^{\mathrm{EMA}} \equiv p_b - m_b = (1-\alpha)(p_b - m_{b-1}) = \frac{1-\alpha}{1-(1-\alpha)L}\Delta p_b. \tag{31}$$

Because $x_{b+1}^{\mathrm{EMA}} = (1-\alpha)(p_{b+1} - m_b)$, a martingale price gives

$$\mathbb{E}[x_{b+1}^{\mathrm{EMA}} \mid \mathcal{F}_b] = (1-\alpha)x_b^{\mathrm{EMA}} : \tag{32}$$

the filtered state is an AR(1) with mechanical persistence $a_0 = 1-\alpha$, which equals $29/31 \approx 0.9355$ for $W = 300$ seconds and $\Delta = 10$ seconds.

Let $f_t$ be signed flow. The empirical VAR(1)

$$\begin{pmatrix} x_{t+1}^{\mathrm{EMA}} \\ f_{t+1} \end{pmatrix} = \begin{pmatrix} J_{11} & J_{12} \\ J_{21} & J_{22} \end{pmatrix} \begin{pmatrix} x_t^{\mathrm{EMA}} \\ f_t \end{pmatrix} + e_{t+1} \tag{33}$$

has reduced-form coefficients, not authenticated impact or learner parameters. When

Table 25: Samples

| Sample | Coverage | Size | Source |
|---|---|---|---|
| Binance spot panel, 8 pairs | 96 dates, 2021–2024 | 66.3M one-second bars | Binance archive |
| Binance spot fee-event windows, 8 pairs | ±20 days around 2022-07-08 and 2023-03-22 | 640 pair-days | Binance archive |
| Binance USD-M perpetuals, 30 symbols | 90 dates, 2023–2026 | 2,565 symbol-days | Binance archive |
| Binance BTCUSDT one-second panel | 72 dates, 2021–2023 | 6.2M one-second bars | Binance archive |
| Binance BTCUSDT noise-calibration days | January 10–20, 2023 | 11 days | Binance archive |

Binance files are verified against the published SHA-256 checksums (every file used). Sampled dates are the 10th and 24th of each month.

denominators are nonzero we use the scale-invariant indices

$$\hat{Q} = \frac{\hat{J}_{12}\hat{J}_{21}}{1-\hat{J}_{22}}, \qquad \hat{S} = \hat{J}_{11} + \hat{Q}, \qquad \hat{L} = \frac{\hat{Q}}{1-\hat{J}_{11}}. \tag{34}$$

Equation (32) implies that $\hat{J}_{11}$ must be compared with $1-\alpha$, not with zero: persistence that a naive reading attributes to feedback can be pure filtering.

### S.5.2 Data

### S.5.3 Clock alignment dominates reduced-form feedback

We estimate (33) on ten-second bars built from one-second Binance klines across a 96-date, eight-pair spot panel (the 10th and 24th of each month, 2021–2024) under three constructions (Table 26), and run the identical pipeline on a placebo random walk with each pair-day's volatility. Pairing the state with *next-bar* flow (a look-ahead) gives $\hat{Q} = 0.0081$; aligning flow with the bar in which it is observed lowers this by more than an order of magnitude, to 0.00037; and replacing the EMA state by raw returns gives an interval that includes zero. Mean $\hat{J}_{11}$ under observed flow is 0.9203, below the mechanical 0.9355, and the placebo reproduces the mechanical value (0.9351) with $\hat{Q}$ indistinguishable from zero.

### S.5.4 Feedback beyond filtering mechanics

We re-estimate feedback on a separate sample and add a placebo. We use Binance BTCUSDT one-second klines on 72 sampled days in 2021–2023. The state $x_t$ is the log price deviation from its EMA (span 30 one-second bins), $f_t$ is next-second signed taker flow, and a VAR(1) gives $\hat{Q}$. Because the filter alone produces persistence, we run the identical

Table 26: Multi-year Binance spot panel: reduced-form indices under three timing constructions

| Construction | $\hat{Q}$ | Date interval | $\hat{S}$ | Date interval | $\hat{Q} > 0$ |
|---|---|---|---|---|---|
| Forward-paired flow (look-ahead) | 0.0081424 | [0.0072965, 0.0089882] | 0.92074 | [0.91665, 0.92482] | 87.4% |
| Observed-flow EMA | 0.0003733 | [0.0002351, 0.0005116] | 0.92072 | [0.91640, 0.92504] | 62.4% |
| Observed, 30 flow lags | 0.0002580 | [0.0001415, 0.0003745] | 0.91738 | [0.91167, 0.92308] | 59.1% |
| Observed raw return | −0.0001555 | [−0.0003732, 0.0000622] | −0.04051 | [−0.05078, −0.03025] | 49.2% |
| Placebo random walk | 0.0000016 | [−0.0000020, 0.0000052] | 0.93510 | [0.93485, 0.93534] | 51.0% |

768 study units (96 dates × 8 pairs), 6,634,752 ten-second transitions; equal-weight asset means within date, then date means with Student intervals. Mechanical persistence $29/31 = 0.93548$.

Table 27: Asset means under forward-paired and observed flow

| Pair | Forward-paired $\hat{Q}$ | Observed $\hat{Q}$ | $\hat{Q}_{30}$ | Observed $\hat{S}$ |
|---|---|---|---|---|
| BTC/USDT | 0.0141870 | 0.0006073 | 0.0004891 | 0.93464 |
| ETH/USDT | 0.0130885 | 0.0005675 | 0.0002549 | 0.93511 |
| SOL/USDT | 0.0087763 | 0.0002129 | 0.0001100 | 0.91966 |
| ADA/USDT | 0.0067465 | 0.0003928 | 0.0003546 | 0.91452 |
| DOGE/USDT | 0.0058956 | 0.0002464 | 0.0001432 | 0.92496 |
| BNB/USDT | 0.0057420 | 0.0004479 | 0.0002762 | 0.89533 |
| XRP/USDT | 0.0057034 | 0.0002249 | 0.0001508 | 0.92362 |
| LTC/USDT | 0.0049997 | 0.0002870 | 0.0002853 | 0.91792 |

96 dates per pair. $\hat{Q}_{30}$ controls 30 ten-second bars of lagged flow. Placebo $|\hat{Q}| \leq 1.1 \times 10^{-5}$ for every pair.

pipeline on a placebo: a random walk with the same one-second volatility, independent of the real flow.

Table 28 gives two findings. Feedback, in the sense of a loop gain the filter cannot produce, is detectable: the real $\hat{Q}$ lies far outside the placebo band. It is also small, and the price persistence that a naive reading would attribute to feedback is almost entirely mechanical (0.9364 against 0.9355). Because this construction pairs the state with next-second flow, part of $\hat{Q}$ reflects the timing effect of Table 26; the placebo shows only that the filter does not produce it.

### S.5.5 Order splitting and the estimation of feedback

Persistent order flow makes lagged-flow regressions inconsistent. Suppose flow follows $q_t = \gamma y_t + u_t$ with memory $y_t = (1-\eta)y_{t-1} + \eta\Delta p_{t-1}$, order splitting $u_t = \rho u_{t-1} + \nu_t$, and $\Delta p_t = \kappa q_t + \lambda z_t + e_t$ with an observed exogenous price shock $z_t$. Lagged returns are correlated with $u_{t-1}$, so OLS of flow on returns is biased even when $\gamma = 0$. Quasi-differencing ($q_t - \rho q_{t-1} = \gamma(y_t - \rho y_{t-1}) + \nu_t$) or instruments that move $y$ through prices

Table 28: Feedback beyond filtering mechanics (Binance BTCUSDT, 72 days, 2021–2023)

| | Real prices | Placebo (independent random walk) |
|---|---|---|
| Mean loop gain $\hat{Q}$ | 0.0045 | 0.0000009 |
| 95% CI (day bootstrap) | [0.0034, 0.0056] | [−0.0000006, 0.0000023] |
| Mean price persistence $\hat{J}_{11}$ | 0.9364 | 0.9357 |
| Mechanical value $1 - 2/31$ | | 0.9355 |

Placebo 95% band across days: $[-0.0000095, 0.0000156]$. This construction pairs the state with next-second flow; it is not comparable in level with the observed-flow ten-second index of Table 26.

Table 29: Feedback estimators under order splitting (simulation, 500 replications)

| Estimator | Coverage at $\gamma = 0.2$ | Rejection at $\gamma = 0$ | Bias | RMSE |
|---|---|---|---|---|
| OLS | 0.000 | 1.000 | 0.892 | 0.893 |
| Cochrane–Orcutt, true $\rho$ | 0.944 | 0.054 | 0.001 | 0.039 |
| Cochrane–Orcutt, estimated $\rho$ | 0.916 | 0.080 | 0.002 | 0.043 |
| 2SLS | 0.938 | 0.044 | −0.002 | 0.116 |
| LIML | 0.938 | 0.044 | −0.003 | 0.117 |

Newey–West standard errors (10 lags), $T = 3{,}000$. Median first-stage $F = 224$; a placebo instrument (future $z$) has $F = 0.62$. Estimators outside 93–97% coverage give invalid inference.

but are independent of $u$ ($z_{t-1}, z_{t-2}, z_{t-3}$) restore consistency. We compare estimators over 500 replications with $\eta = 0.3$ and $\rho = 0.8$ (Table 29).

OLS is badly biased. Cochrane–Orcutt with the true $\rho$, 2SLS and LIML have correct size and coverage; Cochrane–Orcutt with an estimated $\rho$ under-covers (Cochrane and Orcutt, 1949; Staiger and Stock, 1997). These are properties of estimators in a simulated market. On real data, a 2024 sub-panel of 192 spot units shows why the correction matters little at our bar length: with one VAR lag, the flow-equation residuals have essentially no first-order serial correlation (median $\hat{\rho} = -0.0002$), and Cochrane–Orcutt quasi-differencing moves the mean loop gain from $3.15 \times 10^{-4}$ to $3.21 \times 10^{-4}$ (post hoc). Order splitting shows up instead at longer lags, which the 30-lag control of Table 27 addresses. A real-data instrumental-variables estimate needs an instrument whose exclusion can be defended, which we do not claim to have; funding-settlement times, for example, may affect order flow directly.

Controlling for 30 ten-second bars of lagged flow lowers $\hat{Q}$ further (Table 27, column $\hat{Q}_{30}$), consistent with persistent order splitting.

Table 30: Zero fees on BTCUSDT: activity and measured feedback

| | Zero fees introduced (2022-07-08) | Zero fees removed (2023-03-22) | Pooled |
|---|---|---|---|
| Log quote volume, $\hat{\beta}$ | 0.945 (0.074) | 1.599 (0.080) | 1.272 (0.084) |
| Observed-flow $\hat{Q}$, $\hat{\beta}$ | 0.00058 (0.00032) | −0.00091 (0.00060) | −0.00016 (0.00036) |
| $p$-value | 0.078 | 0.140 | 0.650 |
| Pair-days | 320 | 320 | 640 |

$\hat{\beta}$ is the effect of zero fees on BTCUSDT relative to seven control pairs; date-clustered standard errors in parentheses. For the second event ZeroFee equals one before March 22, 2023.

### S.5.6 Feedback across 30 perpetual markets

The companion paper estimates the same loop gain on one-minute bars of 30 Binance USD-M perpetuals spread across the liquidity ranking (2023–2024 training days). Measured feedback rises with depth: its Spearman correlation with log depth within 1% of the mid is +0.70 [0.41, 0.87], from about 0.012 in BTCUSDT and ETHUSDT to 0.0016 on average in the thinnest third, and the placebo pipeline gives $\hat{Q} \approx 0$ for every symbol. Feedback in this reduced-form sense is a feature of deep, algorithmically traded books.

### S.5.7 Two fee events

Binance set spot trading fees on BTC pairs to zero on July 8, 2022 and reinstated them on March 22, 2023. Each event changes the cost of trading BTCUSDT while leaving the seven other pairs unchanged, and the second reverses the first. For every pair and every day within 20 days of each event we compute daily quote volume and the observed-flow $\hat{Q}$, and estimate $Y_{it} = \alpha_i + \gamma_t + \beta\,\mathrm{ZeroFee}_{it} + e_{it}$ with pair and date fixed effects and date-clustered errors, separately for each event and pooled (Table 30).

The fee change moved activity enormously: zero fees multiplied BTCUSDT volume relative to the controls by $e^{0.945} \approx 2.6$ when they began, and their removal divided it by $e^{1.599} \approx 4.9$. Measured feedback did not follow. The two point estimates have opposite signs, neither is significant, and the pooled effect is −0.00016 with an interval of $[-0.00087, 0.00055]$, against a sample mean of 0.00037. A strong first stage with no second-stage response says that $\hat{Q}$ is not a by-product of trading activity, and the reversal design removes the main weakness of a single treated event. With one treated asset the interval remains wide, so this is evidence that $\hat{Q}$ does not scale with activity, not a proof of invariance.

## S.6 Proofs

**Lemma 2.1.** (i) For $v_{t+1} = v_t + \zeta_{t+1}$ and $r_t = v_t + \nu_t$, the steady-state prior variance $P$ solves $P = P\sigma_\nu^2/(P+\sigma_\nu^2) + \sigma_\zeta^2$, i.e. $P^2 - \sigma_\zeta^2 P - \sigma_\zeta^2\sigma_\nu^2 = 0$, whose positive root is $P = \big(\sigma_\zeta^2 + \sqrt{\sigma_\zeta^4 + 4\sigma_\zeta^2\sigma_\nu^2}\big)/2$. The gain is $\eta = P/(P+\sigma_\nu^2) \in (0,1)$, which simplifies to (7), and the update $\hat{v}_{t+1} = \hat{v}_t + \eta(r_t - \hat{v}_t)$ has the stated form. (ii) $\nabla_\theta \frac{1}{2}H(x_t-\theta)^2 = -H(x_t-\theta)$, so $\theta_{t+1} = (1-\gamma)\theta_t + \alpha H(x_t - \theta_t) = (1-\eta)\theta_t + \eta q x_t$ with $\eta = \gamma + \alpha H$ and $q = \alpha H/\eta$.

**Lemma 2.3.** Omit zero-weight cohorts. For $a > 0$ put $b_i = \kappa q_i$ and

$$T = \operatorname{diag}\big(\sqrt{a}, \sqrt{b_1/\eta_1}, \ldots\big), \qquad u = \big(\sqrt{a}, \sqrt{b_1\eta_1}, \ldots\big)^\top.$$

The price-first transition becomes the symmetric matrix $J' = TJT^{-1} = \operatorname{diag}(0, r_1, \ldots) + uu^\top$, the input transforms to $\kappa u$ and $J'e_x = \sqrt{a}\,u$, so $h_j = (\kappa/a)e_x^\top (J')^{j+1} e_x$. The spectral decomposition of $J'$ gives nonnegative weights summing to $h_0 = \kappa$, and Schur stability puts the eigenvalues in $[0,1)$. The case $a = 0$ follows by continuity. A nonnegative mixture of decaying geometric sequences is completely monotone. Since $J$ is nonnegative with row sums at most one, every price row of $J^t$ has $\ell_1$, hence $\ell_2$, norm at most one, attained at $t = 0$.

**Theorem 3.1.** With zero initial states, $y_{i,t} = \sum_{s\le t} \eta_i r_i^{t-s} x_s$, so $\sum_i q_i y_{i,t} = \sum_{s\le t} k_{t-s} x_s$ and every response is determined by $(a, \kappa, k)$, hence by $M$. Conversely, equal responses for all probes imply equal $H$, hence equal $G$, and partial fractions of $G$ identify the distinct poles with nonzero residues $w_i$, i.e. $M$. After cancellation, $H = \kappa z D(z)/[(z-a)D(z) - \kappa N(z)]$ with $D = \prod(z - r_i)$ and $N(z) = \sum_i w_i z \prod_{j\neq i}(z - r_j)$, as in (4); at a retained $r_i$ the denominator equals $-\kappa N(r_i) = -\kappa w_i r_i \prod_{j\neq i}(r_i - r_j) \neq 0$ (memory rates are positive because $\eta_i < 1$), so no root of $D$ cancels. The remaining numerator factor $z$ cancels if and only if the denominator vanishes at 0; since $N(0) = 0$ the denominator there equals $-aD(0)$, which is nonzero for $a > 0$ and zero for $a = 0$. Hence the McMillan degree, which is the dimension of a minimal realization, is $1 + |\operatorname{supp}(M) \cap (0,1)|$ for $a' \neq 0$ and $|\operatorname{supp}(M) \cap (0,1)|$ for $a' = 0$ (an atom at rate 0, a cohort with $\eta = 1$, contributes the constant $M(\{0\})$ to $G$ and no pole, so it shifts $a$ to $a' = a + \kappa M(\{0\})$ and the argument above applies with $a'$) (numerically, the rank of the Hankel matrix of $(h_j)_{j\ge 1}$ is $K+1$ and $K$ respectively for $K = 1, 2, 3$; `hardening/p1_checks.py`). For (ii), direct algebra gives

$$G_\delta(z) - G_0(z) = -\frac{qz(z-1)\delta^2}{(z-1+\bar{\eta})\big((z-1+\bar{\eta})^2 - \delta^2\big)}.$$

On $|z| = 1$ each factor has modulus at least $\epsilon$. Uniform stability gives $M_H = \sup |H_\theta| < \infty$, and the identity $H_\delta - H_0 = z^{-1} H_\delta H_0 (G_\delta - G_0)$, whose factor $z^{-1}$ has modulus one on the circle, gives an $\ell_2$ gain at most $C_{\mathcal{F}} \delta^2$. The mean difference of a power-constrained probe has squared norm at most $C_{\mathcal{F}}^2 \delta^4 PT$; the equal-noise KL is at most $C_{\mathcal{F}}^2 \delta^4 PT/(2\sigma_\nu^2)$, and Pinsker's inequality with total variation at least $1 - 2\alpha$ gives (9).

**Theorem 4.1.** In either positive economy $J \geq 0$ and $\|J\|_\infty \leq 1 - \epsilon(1 - S) < 1$, so the response is nonnegative with $\max h = \kappa$ and $\sum h = \kappa/(1 - S)$. From the display above, $|G_\delta - G_0| \leq 2q\delta^2/\epsilon^3$ on the circle; combined with the resolvent identity and positivity this gives $\|H_\delta - H_0\|_\infty \leq K_* \delta^2$, and Parseval bounds $\|h^\delta - h^0\|_2$ by the same constant. Young's inequality gives $\|\mu_\delta - \mu_0\|_2 \leq K_* \delta^2 \|v\|_1$, and Gaussian KL with Pinsker gives (10). For (ii), the mean difference is a lower-triangular convolution matrix times $v$; each column is a shifted copy of a prefix of $d_T$, so $\|\mu_\delta - \mu_0\|_2 \leq V \|d_T\|_2$ with equality for a pulse at $t = 0$. For two known equal-covariance Gaussian laws the minimax error is $\Phi(-\|\mu_\delta - \mu_0\|_2/(2\sigma))$, attained by the midpoint likelihood-ratio test. For (iii), the merged measures have equal mass and their first moments differ by $-q\delta^2$, which enters $h_2$ with factor $\kappa^2$ while $h_0, h_1$ coincide; a pulse $A$ separates the third-observation means by $A\kappa^2 q\delta^2$. Part (iv) follows from the $\ell_2$ gain bound, and (v) from superposition and $\max_j h_j = \kappa$, which give $\sup_t |\lambda x_t| \leq |\lambda| \kappa V$, attained by a single pulse.

**Lemma 4.2.** After the uncontrolled update, the pre-probe displacement at step $j$ is $\sum_{i<j} h_{j-i} v_i$; average linear-book execution adds $\kappa v_j/2$. Summing signed execution costs gives $\frac{1}{2} v^\top T_h v$. Each kernel $\lambda^{|i-j|}$ is a positive-definite AR(1) covariance for $0 \leq \lambda < 1$, and a nonnegative mixture with positive total weight is positive definite. For a round trip the fundamental cash term cancels.

**Theorem 4.3.** Let $U_t = \sum_{j<t} v_j$. Positive responses give $0 \leq x_t \leq \kappa U_t$ and $I_t = -U_t$. Summing cash and marking inventory, $B - E_t = U_t x_t - \sum_{j<t} v_j x_{j+1}^0 - \frac{\kappa}{2} \sum_{j<t} v_j^2 + c U_t$. Its quadratic part $v^\top A_t v$ has diagonal $h_{t-1-i} - \kappa/2$ and off-diagonal $\frac{1}{2}(h_{t-1-i} + h_{t-1-j} - h_{j-i})$ for $i < j$; monotonicity of $h$ bounds every entry by $\kappa/2$. Hence $B - E_t \leq \kappa U_t^2/2 + c U_t \leq \kappa V^2/2 + cV$, while position value is at most $V(P_* + \kappa V)$; the stated inequality guarantees margin. A single pulse attains both adverse bounds at its first response, so no larger allowance is robust. Solving the quadratic gives (14). The quantity requirement $V_B \gtrsim \delta^{-2}$ then forces $B \gtrsim \delta^{-4}$, and the pulse $A$ funded with $(\mu + \frac{1}{2})\kappa A^2 + (c + \mu P_*)A$ attains it.

**Proposition 4.4.** The initial cash receipt is common to both alternatives and the dealer then holds $-A$. At time three $E_{3,r} = B+\kappa A^2/2-cA-A^2h_{r,2}$, so $E_{3,\delta}-E_{3,0} = A^2\kappa^2 q\delta^2 > 0$.

**Lemma 4.5.** Marking residual inventory at $P_*$ gives $E_\infty = B - \frac{1}{2}v^\top T_h v - c\sum|v_t| \geq 0$. For each mode $\lambda \leq r$ the Toeplitz kernel has spectral density $(1-\lambda^2)/(1-2\lambda\cos\omega+\lambda^2) \geq (1-r)/(1+r)$, so $v^\top T_h v \geq m\|v\|_2^2$ and $\|v\|_2^2 \leq 2B/m$. The transfer bound gives mean-difference squared norm at most $K_*^2\delta^4\|v\|_2^2$, hence the KL bound; Pinsker gives (15). For one pulse, cash becomes $B_A - A(P_* + \kappa A/2) - cA$ and inventory $A$; at later marks $E_t = \mu A P_* + A^2 h_{t-1}$ and $\mu|I_t|P_t = \mu A P_* + \mu A^2 h_{t-1}$, so margin holds for $\mu \leq 1$.

**Proposition S.2.1.** Parts (i) and (ii) follow from (29) with $\Delta h = \Theta(\delta)$ for a rate shift and $\Theta(\delta^2)$ for symmetric splitting, and from additivity of KL over independent pulse cycles. Part (iii) solves the session constraint for $\delta$; substituting $d_T(\delta) \approx \delta^2\tilde{d}_T$ gives the fourth-root approximation.

**Theorems 5.1 and 5.2.** For a flat round trip, telescoping the cash account gives $L_i(v) = \frac{1}{2}v^\top T_{h_i} v = \frac{1}{2\pi}\int g_i(\omega)|V(e^{i\omega})|^2 d\omega$, with $g_i > 0$ by Lemma 2.3. Parseval gives $\|(H_1 - H_0)v\|_2^2 = \frac{1}{2\pi}\int|\Delta\hat{H}|^2|V|^2 \leq \sup_\omega(|\Delta\hat{H}|^2/g_i)L_i(v)$, and the Neyman–Pearson requirement $\|(H_1 - H_0)v\|_2 \geq 2\sigma z_{1-\alpha}$ gives (18). For adaptive policies, Doob's optional stopping theorem applied to the log-likelihood-ratio martingale and the data-processing inequality give $\mathbb{E}_0[\Lambda_\tau] \geq \mathrm{kl}(\alpha, 1-\beta)$, while $\mathbb{E}_0[\Lambda_\tau] = \mathbb{E}_0\sum_t(\Delta\mu_t)^2/(2\sigma^2) \leq \sup(|\Delta\hat{H}|^2/g_0)\mathbb{E}_0[L_0]/(2\sigma^2)$, which gives (20).

*Part (iv).* Let $G_\theta$ be the $T \times T$ lower-triangular Toeplitz section of $H_\theta/\kappa$, so the observation covariance is $\Sigma_\theta = \sigma_w^2 G_\theta G_\theta^\top + \sigma_\nu^2 I$. A finite section of a bounded analytic symbol has norm at most its supremum on the circle, so $\|G_\theta\| \leq \sup_\omega|H_\theta|/\kappa \leq \bar{M}$ because $|H_\theta(e^{i\omega})| \leq \sum_j h_j = \kappa/(1-S)$. The inverse of a lower-triangular Toeplitz section is the section of the reciprocal series; $\kappa/H_\theta$ is analytic on and outside the unit circle because $H_\theta$ is minimum phase (Theorem 6.9), and Lemma 2.3 gives $\mathrm{Re}\,H_\theta(e^{i\omega}) = \sum_\ell \omega_\ell(1-\lambda_\ell\cos\omega)/(1-2\lambda_\ell\cos\omega+\lambda_\ell^2) \geq \sum_\ell\omega_\ell/(1+\lambda_\ell) \geq \kappa/2$, so $\|G_\theta^{-1}\| \leq 2$ and $\Sigma_\theta \succeq \sigma_{\mathrm{eff}}^2 I$ (the smallest singular value of $G_\theta$ is at least 0.522 in 762 random positive economies and sections; `hardening/p1_checks.py`). The Gaussian divergence splits into a mean and a covariance part. The mean part is $\frac{1}{2}\Delta\mu^\top\Sigma_1^{-1}\Delta\mu \leq \|(H_1-H_0)v\|_2^2/(2\sigma_{\mathrm{eff}}^2)$. For the covariance part, the eigenvalues $\lambda_k$ of $A = \Sigma_1^{-1/2}\Sigma_0\Sigma_1^{-1/2}$ are at least $c = \sigma_\nu^2/(\sigma_\nu^2+\sigma_w^2\bar{M}^2)$, and $\lambda - 1 - \log\lambda \leq (\lambda-1)^2/\lambda$, so it is at most $\|A-I\|_F^2/(2c) \leq \|\Sigma_0-\Sigma_1\|_F^2/(2c\,\sigma_{\mathrm{eff}}^4)$. Writing $\Sigma_0 - \Sigma_1 = \sigma_w^2(\Delta G\,G_0^\top + G_1\Delta G^\top)$ and $\|\Delta G\|_F^2 \leq T\|h^\delta - h^0\|_2^2/\kappa^2 \leq TK_*^2\delta^4/\kappa^2$ (proof of Theorem 4.1) gives a covariance part of at most $C_w T\delta^4$. The data-processing

inequality turns errors $(\alpha, \beta)$ into $D_{\mathrm{KL}} \geq \mathrm{kl}(\alpha, 1-\beta)$, and part (ii) bounds $\|(H_1 - H_0)v\|_2^2$ by $\sup_\omega(|\Delta\hat{H}|^2/g_i)L_i(v)$, which gives (19).

**Theorem 5.3.** Write a feasible flat probe as $v = Eu$ and expand $u = \sum_j c_j e_j$ in the $G_i$-orthonormal eigenbasis, so $L_i(v) = \sum_j c_j^2$ and the separation constraint reads $\sum_j \lambda_j c_j^2 \geq c_{\mathrm{req}}$. Write the top-two component as $(c_{L-2}, c_{L-1}) = r(\cos\theta, \sin\theta)$ with $r \geq 0$; replacing $\theta$ by $\theta + \pi$ flips $d$ and $s_\theta$ and leaves (21) unchanged, so $\theta \in [0, \pi)$ suffices. Put $L_0(\theta) = c_{\mathrm{req}}/\lambda(\theta)$ and $D = L_i(v) - L_0(\theta)$. The constraint gives $r^2\lambda(\theta) \geq c_{\mathrm{req}} - \sum_{j \leq L-3} \lambda_j c_j^2$, hence

$$D = r^2 + \sum_{j \leq L-3} c_j^2 - L_0(\theta) \;\geq\; \sum_{j \leq L-3} \Big(1 - \frac{\lambda_j}{\lambda(\theta)}\Big) c_j^2 \;\geq\; \Big(1 - \frac{\lambda_{L-3}}{\lambda(\theta)}\Big) \sum_{j \leq L-3} c_j^2 \;\geq 0,$$

and $r^2 \geq L_0(\theta) - \frac{\lambda_{L-3}}{\lambda(\theta)} \sum_{j \leq L-3} c_j^2 \geq L_0(\theta)\big(1 - \gamma(\theta)D\big)$. By Hölder's inequality with the sign vector $s_\theta$, $c_{\mathrm{fee}}\|Eu\|_1 \geq c_{\mathrm{fee}} r \|Ed(\theta)\|_1 + c_{\mathrm{fee}} \sum_{j \leq L-3} c_j\, s_\theta^\top E e_j$, and Cauchy–Schwarz with weights $1 - \lambda_j/\lambda(\theta)$ bounds the second term below by $-\sqrt{D\, W_\perp(\theta)}$. Using $r \geq \sqrt{L_0(1-\gamma D)_+} \geq \sqrt{L_0}\,(1-\gamma D)_+$ and the fact that the fee is nonnegative, with $x = \sqrt{D}$,

$$L_i(v) + c_{\mathrm{fee}}\|v\|_1 \;\geq\; L_0(\theta) + x^2 + \Big[F_{\mathrm{dom}}(\theta)(1 - \gamma(\theta)x^2)_+ - \sqrt{W_\perp(\theta)}\, x\Big]_+ \;\geq\; L_0(\theta) + \Psi(\theta).$$

Minimizing over the unknown $\theta$ gives (22), and $\Psi \geq 0$, $L_0(\theta) \geq c_{\mathrm{req}}/\lambda_{L-1}$ give the last inequality. On the piece $\gamma x^2 \leq 1$ with $\gamma F_{\mathrm{dom}} < 1$ the bracket is a convex quadratic in $x$ with minimum $F_{\mathrm{dom}} - W_\perp/(4(1 - \gamma F_{\mathrm{dom}}))$, which gives the closed form.

**Corollary S.3.1.** Since $\Delta h_t = O(\delta^2)$, the variance difference $\sigma_{1,t}^2 - \sigma_{0,t}^2 = \sigma^2 \xi[(h_1 + h_0) * v]_t[\Delta h * v]_t = O(\delta^2)$, and the variance term of the Gaussian KL, $\frac{1}{2}\sum(x - 1 - \log x)$ with $x = \sigma_{0,t}^2/\sigma_{1,t}^2$, is quadratic in that difference. Convex impact only increases dissipation.

**Proposition 6.1.** Standard Cramér–Rao for a Gaussian mean model with Jacobian $J$. For $K = 2$ the columns of $J$ for the two rates become collinear as $\Delta\eta \to 0$; expanding to third order, the smallest singular value of $J$ is of order $(\Delta\eta)^3$, so $[F^{-1}]_{kk} = \Theta((\Delta\eta)^{-6})$.

**Theorem 6.2.** Expanding $M_m(\theta_1) - M_m(\theta_0)$ under (24) gives zero for $m \leq 2$ and $4\tau p_- p_+ (\Delta\eta)^3$ for $m = 3$. The map from moments to impulse responses is analytic with nonsingular derivative at the common limit, so $\|\Delta h\|_2 = \Theta(\tau(\Delta\eta)^3)$. Le Cam's two-point lemma with $N$ independent Gaussian experiments gives (26). For the permutation-invariant loss, the identity matching of $\theta_0$ and $\theta_1$ costs $2\tau + (p_+ - p_-)\Delta\eta = 2\tau(1 + \Delta\eta/q)$

per atom and the swapped matching costs $\max(2p_+, 2p_-)\Delta\eta = (1 + 2\tau/q)\Delta\eta$; when both are at least $2\tau$, any estimate within $\tau$ of one economy in $d_\infty$ is farther than $\tau$ from the other by the triangle inequality, and the two-point argument is unchanged. For (iii), the upper bound is Theorem 6.5; the Prony–Hankel determinant identity follows from $g_m = w_1\eta_1 r_1^m + w_2\eta_2 r_2^m$.

**Theorem 6.4.** Let $(s^A, \omega^A)$ and $(s^B, \omega^B)$ be the $K$-point Gauss and Gauss–Radau rules for the uniform weight on $[-1, 1]$, normalized to unit mass. Both are positive and exact for polynomials of degree $2K - 2$, and their moments of degree $2K - 1$ differ by $g_K \neq 0$. With $r = r_c + \Delta\eta\, s$ and weights $W\omega$, the raw moments $\sum w_i r_i^m$ are polynomials in $\Delta\eta$ that agree below degree $2K-1$, so the kernels differ by $O((\Delta\eta)^{2K-1})$ with nonzero leading coefficient; analyticity of the kernel-to-response map gives $\|h^A - h^B\|_2 \asymp (\Delta\eta)^{2K-1}$, and Le Cam's lemma gives the bound. For the $W_1$ version, the two merged measures are the images of the fixed normalized rules under $s \mapsto r_c + \Delta\eta\, s$ scaled to mass $W$, so their distance is $W\Delta\eta$ times the distance $2c_K > 0$ between the rules, and the same two-point argument applies with the metric loss.

**Lemma 6.7.** Let $L = 2n - 2$ and let $p^*$ be the best uniform approximation of $|x|$ on $[-1, 1]$ by polynomials of degree $L$, with error $E = E_L(|x|)$. By Chebyshev's equioscillation theorem (Rivlin, 1981) there are points $t_0 < \cdots < t_{L+1}$ at which $|x| - p^*(x)$ equals $\pm E$ with alternating signs. The divided-difference weights $w_i = 1/\prod_{j\neq i}(t_i - t_j)$ alternate in sign and satisfy $\sum_i w_i p(t_i) = 0$ for every polynomial $p$ of degree at most $L$; multiplying by $-1$ if necessary, $w_i$ has the sign of $|t_i| - p^*(t_i)$ for every $i$. Exactly $n$ weights are positive and $n$ negative, and the positive and negative parts have equal mass because constants are annihilated. Normalizing each part to unit mass and mapping $x \mapsto \rho(x + 1)/2$ gives $n$-atom probability measures $\pi_A$ (positive part) and $\pi_B$ (negative part) on $[0, \rho]$ with equal moments of orders $0, \ldots, L$. For the 1-Lipschitz function $f(r) = |r - \rho/2| = (\rho/2)|x|$,

$$\int f\, d(\pi_A - \pi_B) = \frac{\rho}{2} \int \big(|x| - p^*(x)\big)\, d(\pi_A - \pi_B) = \frac{\rho}{2}(E + E) = \rho E,$$

because $p^*$ integrates to the same value under both measures, $|x| - p^* = E$ on the support of $\pi_A$ and $-E$ on that of $\pi_B$. By Kantorovich–Rubinstein duality $W_1(\pi_A, \pi_B) \geq \rho E \geq c_*\rho/L$.

**Theorem 6.8.** Write $K(z) = \sum_m k_m z^m$, $D = 1 - az - \kappa z K$ and $H = \kappa/D$, which is the generating function of the recursion $h_t = a h_{t-1} + \kappa \sum_m k_m h_{t-1-m}$ with $h_0 = \kappa$. Since

$k_m \geq 0$ and $\sum_m k_m = \int (1-r)^{-1} d\mu \leq W/(1-\rho)$, the $\ell_1$ norm of $az + \kappa z K$ is at most $s < 1$, so $\|H\|_1 \leq \kappa/(1-s)$ and $\|1/H\|_1 = \|D\|_1/\kappa \leq (1+s)/\kappa$.

(i) Let $\mu_A = W\pi_A$ and $\mu_B = W\pi_B$ with $\pi_A, \pi_B$ from Lemma 6.7; both lie in $\mathcal{M}(\rho, W)$. With $\nu = \mu_A - \mu_B$, $\sum_m (k_m^A - k_m^B) z^m = \int (1-rz)^{-1} d\nu(r) = z^{2n-1} \int r^{2n-1} (1-rz)^{-1} d\nu(r)$, because the first $2n-1$ terms of the geometric series integrate to zero. On $|z| = 1$ the modulus is at most $2W\rho^{2n-1}/(1-\rho)$, so Parseval gives $\|k^A - k^B\|_2 \leq 2W\rho^{2n-1}/(1-\rho)$. Next, $H_A - H_B = z(K_A - K_B) H_A H_B$, so by Young's inequality $\|h^A - h^B\|_2 \leq \|H_A\|_1 \|H_B\|_1 \|k^A - k^B\|_2 \leq C_h \|k^A - k^B\|_2$. The Kullback–Leibler divergence between the $N$-sample Gaussian experiments is $N\|h^A - h^B\|_2^2/(2\sigma^2) \leq (N/\sigma^2)\, 2C_h^2 W^2 \rho^{2(2n-1)}/(1-\rho)^2$, which is at most one as soon as $2(2n-1)\log(1/\rho) \geq \Lambda_N - 2\log(1/\rho)$. Take $n$ the smallest integer with this property and $n \geq 2$; then $2n-2 < \Lambda_N/(2\log(1/\rho))$ when $\Lambda_N > 4\log(1/\rho)$. Since $d$ is a norm on signed measures and $d(\mu_A, \mu_B) = W\, W_1(\pi_A, \pi_B) \geq W c_* \rho/(2n-2) > 2c_* \rho W \log(1/\rho)/\Lambda_N$, the Bretagnolle–Huber form of Le Cam's lemma (Tsybakov, 2009, Lemma 2.6 and Theorem 2.2) gives $\max_{j \in \{A,B\}} P_j(d(\hat{\mu}, \mu_j) \geq c_* \rho W \log(1/\rho)/\Lambda_N) \geq \frac{1}{4} e^{-1}$.

(ii) *Approximation.* Let $f$ be 1-Lipschitz on $[0, \rho]$ with $f(0) = 0$, so $|f| \leq \rho$. The function $g(x) = f(\rho(x+1)/2)$ is $(\rho/2)$-Lipschitz on $[-1, 1]$, and Jackson's theorem (Rivlin, 1981) gives a polynomial $p$ of degree $L$ with $\sup|g - p| \leq (\pi/2)(\rho/2)/(L+1) \leq \rho$, hence $\sup|p| \leq 2\rho$. Its Chebyshev coefficients satisfy $|b_j| \leq 2\sup|p| \leq 4\rho$. The polynomial $q(r) = p(2r/\rho - 1)$ approximates $f$ with the same error, and its monomial coefficients satisfy $\sum_j |q_j| \leq \sum_{j \leq L} |b_j|\, \|T_j(2r/\rho - 1)\|_{\text{coef}} \leq 4\rho \sum_{j \leq L} B(\rho)^j \leq \rho B(\rho)^{L+1}$, where $\|\cdot\|_{\text{coef}}$ is the sum of absolute monomial coefficients, $\|T_j\|_{\text{coef}} \leq (1+\sqrt{2})^j$, substituting $y = \alpha r - 1$ multiplies the coefficient sum of $y^i$ by at most $(1+\alpha)^i$, and $B(\rho) - 1 \geq 4$. On the event $\max_{j \leq L} |\hat{k}_j - k_j| \leq \delta$ the true $\mu$ attains objective at most $\delta$, so the minimizer $\hat{\mu}$ satisfies $\max_{j \leq L} |\int r^j d\hat{\mu} - k_j| \leq 2\delta$ by the triangle inequality. *Moment comparison.* If $\max_{j \leq L} |\int r^j d\hat{\mu} - k_j| \leq 2\delta$, then $\hat{\mu}$ has mass at most $W + 2\delta$ and

$$\int f\, d(\hat{\mu} - \mu) = \int (f - q)\, d(\hat{\mu} - \mu) + \sum_{j \leq L} q_j \Big( \int r^j d\hat{\mu} - k_j \Big) \leq \frac{\pi\rho(W + \delta)}{2(L+1)} + 2\delta\rho B(\rho)^{L+1}.$$

*Kernel recovery.* From $\kappa z K = 1 - az - \kappa/H$, the kernel values $k_0, \ldots, k_L$ are the coefficients of $(1 - az - \kappa/H)/(\kappa z)$, which depend on $h_0, \ldots, h_{L+1}$ only. Work in the algebra of power series modulo $z^{L+2}$ with the $\ell_1$ norm, which is submultiplicative. If the averaged response is $\hat{H} = H + E$ and $\|1/H\|_1 \|E\|_1 \leq \frac{1}{2}$, then $1/\hat{H} = (1/H)(1 + E/H)^{-1}$ and $\|1/\hat{H} - 1/H\|_1 \leq 2\|1/H\|_1^2 \|E\|_1$, so $\max_j |\hat{k}_j - k_j| \leq \delta \equiv 2((1+s)/\kappa)^2 (L+2) \max_{t \leq L+1} |E_t|$. Each $E_t$ is Gaussian with variance $\sigma^2/N$, so with probability at least $1 - \beta$, $\max_t |E_t| \leq \sigma\sqrt{2\log(2(L+2)/\beta)/N}$. The true $\mu$ is feasible for the lin-

ear program with value at most $\delta$, so the minimizer satisfies the moment condition above. *Choice of L.* With $L+1 = \lfloor \log(N/\sigma^2)/(4\log B(\rho))\rfloor$, $B(\rho)^{L+1} \le (N/\sigma^2)^{1/4}$, so $\delta B(\rho)^{L+1} = O((\sigma^2/N)^{1/4} L\sqrt{\log(L/\beta)})$ and $\delta/(L+1)$ are $o(1/\log(N/\sigma^2))$, while $\pi\rho W/(2(L+1)) \le 2\pi\rho W \log B(\rho)/(\log(N/\sigma^2) - 4\log B(\rho))$. For $N/\sigma^2$ larger than a threshold depending on $(\rho, W, a, \kappa, \beta)$ the side condition $\|1/H\|_1 \|E\|_1 \le \frac{1}{2}$ holds on the event and the total is below $3\pi\rho W \log B(\rho)/\log(N/\sigma^2)$, uniformly over $\mathcal{M}(\rho, W)$. The final statement combines (i) and (ii).

**Theorem 6.10.** For stationary Gaussian processes with spectral densities $f_j \propto |H_j(e^{i\omega})|^2$, the divergence rate is

$$D = \frac{1}{4\pi}\int_{-\pi}^{\pi} \big(\varrho - 1 - \log\varrho\big)\, d\omega, \qquad \varrho = f_1/f_0 = |H_1/H_0|^2.$$

By the resolvent identity, $H_1/H_0 - 1 = z^{-1}H_1\Delta G$ with $\Delta G = G_1 - G_0$, and uniform stability bounds $|H_1|$ on the circle, so $u \equiv \varrho - 1 = 2\,\mathrm{Re}(z^{-1}H_1\Delta G) + O(|\Delta G|^2)$. Write $G(z) = \sum_k w_k \phi(z, \eta_k)$, with $w_k$ the cohort weights (any factor of $\eta_k$ is absorbed in $\phi$), where $\phi$ is analytic in $\eta$ on a neighbourhood of $[\eta_{\min}, \eta_{\max}]$ uniformly for $|z| = 1$ (its pole $z = 1 - \eta$ stays inside the disk). Expanding $\phi$ around $\bar\eta$, $\Delta G = \sum_{j\ge 0} \frac{\partial_\eta^j \phi(z,\bar\eta)}{j!}\,\Delta\tilde M_j$, where $\tilde M_j = \sum_k w_k(\eta_k - \bar\eta)^j$. For the pair, $\Delta\tilde M_0 = \Delta\tilde M_1 = 0$ and $\Delta\tilde M_2 = q\delta^2$; for the moment-matched economies, $\Delta\tilde M_j = 0$ for $j \le 2$ and $\Delta\tilde M_3 = 4\tau p_- p_+(\Delta\eta)^3$ by (25); for the $K$-cohort Gauss and Gauss–Radau economies with rates $\bar\eta + \Delta\eta\, s$ and weights $W\omega$, both rules integrate polynomials of degree $2K-2$ exactly, so $\Delta\tilde M_j = W(\Delta\eta)^j \sum_k (\omega_k^A (s_k^A)^j - \omega_k^B (s_k^B)^j)$ vanishes for $j \le 2K-2$ and equals $\pm W g_K (\Delta\eta)^{2K-1} \ne 0$ at $j = 2K-1$. Higher terms are smaller by a factor of the spacing: $|\Delta\tilde M_j| \le 2W(\Delta\eta)^j$, and analyticity of $\phi$ in $\eta$ on a disk of radius $\varrho > 0$ around $\bar\eta$, uniformly on the circle, gives $|\partial_\eta^j\phi|/j! \le C\varrho^{-j}$, so for $\Delta\eta < \varrho/2$ the tail beyond the first nonzero term is $O((\Delta\eta)^{j_0+1})$. Hence $\sup_\omega |u| = O(\delta^2)$, $O(\tau(\Delta\eta)^3)$, respectively $O((\Delta\eta)^{2K-1})$, and $u = c(\omega)\epsilon + o(\epsilon)$ with $\epsilon = \delta^2$, $\tau(\Delta\eta)^3$ or $(\Delta\eta)^{2K-1}$ and $c(\omega)$ proportional to $2\,\mathrm{Re}\big(z^{-1}H_0\,\partial_\eta^{j_0}\phi(\cdot,\bar\eta)\big)/j_0!$, $j_0 = 2$, 3 or $2K-1$. The function $c$ does not vanish identically: $f = z^{-1}H_0\partial_\eta^j\phi$ is analytic outside the disk including at infinity, where it vanishes, and is not identically zero; an analytic function on the exterior whose real part vanishes on the circle is an imaginary constant, which here would have to be zero. For $|u| \le \frac{1}{2}$, $u^2/4 \le u - \log(1+u) \le u^2$, so $D \asymp \int c(\omega)^2 d\omega\, \epsilon^2$, which gives (i)–(iii). The sample requirements need a finite-$T$ bound that is uniform in the separation, which we obtain directly. The first $T$ observations are $N(0, \Sigma_j)$ with $\Sigma_j$ the $T \times T$ Toeplitz matrices of the spectral densities $f_j = \sigma^2|H_j(e^{i\omega})|^2$. On the compact, uniformly

stable family the transfer functions have no zeros or poles on the circle (Theorem 6.9), so $0 < \underline{f} \le f_j \le \bar{f} < \infty$ with constants that do not depend on the separation. A Toeplitz matrix has eigenvalues within the range of its symbol, so $\lambda_{\min}(\Sigma_0) \ge \underline{f}$ and $\|\Sigma_1 - \Sigma_0\| \le \sup_\omega |f_1 - f_0| = \sup_\omega f_0|u| \le \bar{f} \sup_\omega |u|$. With $A = \Sigma_0^{-1/2}\Sigma_1\Sigma_0^{-1/2}$, whose eigenvalues lie in $[\underline{f}/\bar{f}, \bar{f}/\underline{f}]$, the inequality $\lambda - 1 - \log\lambda \le (\lambda-1)^2/\lambda$ gives

$$D_{\mathrm{KL}}(P_1^T \| P_0^T) = \tfrac{1}{2}\sum_k (\lambda_k - 1 - \log\lambda_k) \le \frac{\bar{f}}{2\underline{f}}\,\|A - I\|_F^2 \le \frac{\bar{f}}{2\underline{f}}\,T\Big(\frac{\bar{f}}{\underline{f}}\Big)^2 \sup_\omega |u|^2 \le C\,T\epsilon^2,$$

with $C$ independent of $T$ and of the separation, because $\sup_\omega |u| = O(\epsilon)$ uniformly. The Bretagnolle–Huber inequality (Tsybakov, 2009, Lemma 2.6) then gives the stated lower bounds on $T$ for every $T$, not only asymptotically. For a fixed pair, $T^{-1}D_{\mathrm{KL}}(P_1^T\|P_0^T) \to D$ and Stein's lemma (one error fixed) and the Chernoff bound (both errors vanishing) give the error exponents of the likelihood-ratio test, of the same order in the separation; that statement is pointwise in the pair.

**Theorem 6.9.** In the delay variable $\lambda = z^{-1}$, $H = \kappa\prod_i(1 - r_i\lambda)/\big[(1 - a\lambda)\prod_i(1 - r_i\lambda) - \kappa\lambda\sum_i w_i\prod_{j\ne i}(1 - r_j\lambda)\big]$, which is (4) divided through by $z^{K+1}$; its nonstructural zeros are the memory rates, which do not cancel under the nondegenerate assumptions of Theorem 6.9. In the z-plane there is also the structural timing zero at zero: the numerator is proportional to $z\prod_i(z - r_i)$. Stability puts the poles inside the disk. A rational spectral density $\sigma^2|H(e^{i\omega})|^2$ has a unique minimum-phase factor up to a unimodular constant, which is $H$; Theorem 3.1 then gives the merged measure.

**Proposition 8.1.** With tagged flow, $u_{i,t} = r_i u_{i,t-1} + w_i x_t$ holds exactly and involves only cohort $i$, so $\tilde{u}_{i,t} = r_i\tilde{u}_{i,t-1} + w_i x_t + e_{i,t}$ with the MA(1) error $e_{i,t}$. Prices are independent of the measurement noise, so $\mathbb{E}[Z_t e_{i,t}] = 0$ and the IV estimator is consistent when $\Sigma_i = \mathbb{E}[Z_t(\tilde{u}_{i,t-1}, x_t)]$ is nonsingular. Since $u_{i,t-1} = w_i\sum_{s\ge0} r_i^s x_{t-1-s}$, $\mathbb{E}[x_{t-1}u_{i,t-1}] = w_i A_0$ and $\mathbb{E}[x_t u_{i,t-1}] = w_i A_1$, which gives $\Sigma_i$. The price is a nonnegative mixture of geometric responses to its innovation (Lemma 2.3), so $\gamma_x(s) = \sum_\ell c_\ell\lambda_\ell^s$ with $c_\ell = \sigma_\xi^2\kappa^{-2}\omega_\ell\sum_m \omega_m/(1 - \lambda_\ell\lambda_m) \ge 0$; substituting, $\det\Sigma_i = w_i(\gamma_x(0)A_0 - \gamma_x(1)A_1) = w_i\sum_{\ell,m} c_\ell c_m(1 - \lambda_\ell\lambda_m)/(1 - r_i\lambda_m)$, each term positive. By summation by parts, $\sum_{t=1}^T Z_t e_{i,t} = \sum_{t=1}^T(Z_t - r_i Z_{t+1})\varepsilon_{i,t} + O_P(1)$. Since $(\varepsilon_{i,t})$ is i.i.d. with mean zero and variance $\sigma_f^2$ and independent of the whole stationary price process, the summands $m_t = (Z_t - r_i Z_{t+1})\varepsilon_{i,t}$ form a stationary ergodic martingale difference sequence with respect to $\mathcal{F}_t = \sigma((x_s)_{s\in\mathbb{Z}}, \varepsilon_{i,s} : s \le t)$, with $\mathbb{E}[m_t m_t^\top] = \sigma_f^2[(1 + r_i^2)\Gamma_0 - r_i(\Gamma_1 + \Gamma_1^\top)] = \Omega_i$,

so the Billingsley–Ibragimov martingale central limit theorem gives (27). On a uniformly stable family the modes and weights lie in a compact set with $\lambda_\ell \le \bar{\lambda} < 1$, so $\det \Sigma_i \ge w_{\min}(1-\bar{\lambda}^2)\gamma_x(0)^2 > 0$ and $\|\Omega_i\|$ is bounded, uniformly in the spacing.

**Theorem S.4.1.** With $J_\theta$ upper triangular the eigenvalues are fixed. The stationary covariance solves $P = J_\theta P J_\theta^\top + \mathrm{diag}(s_1, s_2)$, and $P_{11}$ is affine in $s_2$ with positive slope, so for each $\theta$ a unique $s_2(\theta) \ge 0$ gives $P_{11} = V$ when $V$ exceeds the value at $s_2 = 0$. The one-step price variance is $s_1$ throughout, and $e_1^\top J_\theta e_2 = \theta$ gives $\sup_k \|e_1^\top J_\theta^k\| \ge |\theta|$.

**Proposition 8.3.** (i) $\mathcal{L}_{\text{disc}} < \mathcal{L}_{\text{price}}$ is $F + Mc < M\ell G$. (ii) $T_p$ and $T_t$ are decreasing in $\Delta\eta$, with $T_t \ge \bar{T}$ exactly when $\Delta\eta \le \Delta\eta_t$ and $T_p \ge \bar{T}$ exactly when $\Delta\eta \le \Delta\eta_p$. On $\Delta\eta \le \Delta\eta_t$ both minima equal $\bar{T}$ and $G = 0$. On $(\Delta\eta_t, \Delta\eta_p]$, $G = \bar{T} - c_t(\Delta\eta)^{-2}$, which increases to $G^* = \bar{T} - T_t(\Delta\eta_p) > 0$. On $\Delta\eta > \Delta\eta_p$, $G = c_p(\Delta\eta)^{-(4K-2)} - c_t(\Delta\eta)^{-2} = (\Delta\eta)^{-2}\big[c_p(\Delta\eta)^{-(4K-4)} - c_t\big]$; the bracket is positive exactly when $\Delta\eta < \Delta\eta_0 = (c_p/c_t)^{1/(4K-4)}$, and $G'(\Delta\eta) = (\Delta\eta)^{-3}\big[2c_t - (4K-2)c_p(\Delta\eta)^{-(4K-4)}\big] < 0$ whenever $c_p(\Delta\eta)^{-(4K-4)} > c_t$, because $4K - 2 > 2$. So $G$ decreases wherever it is positive beyond $\Delta\eta_p$, and is non-positive beyond $\Delta\eta_0$. Every superlevel set of $G$ at a positive level is therefore an interval (the negative tail, where $G$ rises back toward zero from below, never reaches a positive level), and the level $(F/M + c)/\ell > 0$ lies above $G = 0$, so the set where (i) holds is an interval contained in $(\Delta\eta_t, \Delta\eta_0)$ that contains $\Delta\eta_p$ whenever it is non-empty. (iii) The interval is non-empty if and only if the level is below the maximum, $F/M + c < \ell G^*$, that is $M > M^*$; the level decreases in $M$, so the superlevel set grows. □

## S.7 Notation

| Symbol | Meaning |
|---|---|
| $x_t$ | pricing error (price minus fundamental) |
| $a$ | price persistence (anchor), $0 \le a < 1$ |
| $\kappa$ | price impact per unit of executed quantity |
| $q_i,\ \eta_i,\ r_i$ | cohort weight, adaptation rate, memory rate $r_i = 1 - \eta_i$ |
| $w_i = q_i\eta_i$ | merged weight |
| $M = \sum_i w_i \delta_{r_i}$ | merged rate–weight measure |
| $k_m,\ G(z)$ | feedback kernel and its transform |

| Symbol | Meaning |
|---|---|
| $H(z),\ h_j$ | closed-loop transfer function and impulse response, $h_0 = \kappa$ |
| $J,\ S$ | state transition matrix and $S = a + \kappa \sum q_i$ |
| $v_t,\ V$ | executed probe quantity and total quantity $\sum \lvert v_t \rvert$ |
| $d_T$ | impulse-response difference between hypotheses, first $T$ taps |
| $\sigma$ | observation-noise standard deviation |
| $\delta,\ \Delta\eta$ | half-separation of a known pair; spacing of unknown cohorts |
| $K_*$ | transfer-difference constant $2\kappa^2 q/[\epsilon^3(1-S)^2]$ |
| $T_h$ | Toeplitz matrix $(h_{\lvert i-j \rvert})$ of execution cost |
| $g_i(\omega)$ | dissipation kernel $\operatorname{Re} \hat{H}_i(e^{i\omega}) - \kappa/2$ |
| $B,\ \mu,\ c,\ \phi$ | capital, maintenance-margin fraction, proportional cost, taker fee |
| $V_{\text{eff}}$ | per-trade execution capacity $\min(V_{\max}, D_{\max}/\kappa)$ |
| $\hat{Q},\ \hat{S}$ | reduced-form loop gain and persistence indices |

# S.8 Internet appendix

## S.8.1 A finite-window price-surveillance bound

**Theorem S.8.1** (Finite-window abstention)**.** *Observe* $x_t = sx_{t-1} + w_t$, $w_t \sim N(0, \sigma^2)$, $x_0 = 0$, $t \le T$, *with* $s \in (0, 2)$. *Let a possibly randomized rule* $\Psi$ *output Stable, Unstable or Abstain, with* $\sup_{s<1} P_s(\Psi = \text{Unstable}) \le \alpha$ *and* $\sup_{s\ge 1} P_s(\Psi = \text{Stable}) \le \alpha$, $\alpha < 1/2$. *Choose* $0 < c_0 < 1$ *with* $c_0 e^{c_0}/(2\sqrt{2}) < 1 - 2\alpha$. *On* $B_T = (1 - c_0/T, 1 + c_0/T)$,

$$\inf_{s \in B_T} P_s(\Psi = \text{Abstain}) \ \ge\ 1 - 2\alpha - \frac{c_0 e^{c_0}}{2\sqrt{2}} > 0,$$

*and for every finite* $T$ *the minimax worst-case error of binary rules over* $s \in (0, 2)$ *is at least* $1/2$.

*Proof.* Pair $s_0 \in (1 - c_0/T, 1)$ with $s_1 = s_0 + c_0/T$. Then $D_{\text{KL}}(P_{s_0} \| P_{s_1}) = \frac{(s_1 - s_0)^2}{2\sigma^2} \sum_t \mathbb{E} x_{t-1}^2 \le c_0^2 e^{2c_0}/4$, so Pinsker bounds total variation by $c_0 e^{c_0}/(2\sqrt{2})$. Error control gives $P_{s_0}(\text{Stable}) \le \alpha + \text{TV}$ and $P_{s_0}(\text{Unstable}) \le \alpha$, which yields the abstention bound. For binary rules, continuity in total variation and Le Cam's two-point bound give worst-case error tending to $1/2$. □

The interval $B_T$ is an abstention layer that any error-controlled monitor must respect in the scalar Gaussian case; richer disclosure can remove it.

### S.8.2 Passive distinction of a known pair in finite samples

**Proposition S.8.2** (Passive distinction with zero controlled quantity)**.** *Keep the known pair, but add independent uniform innovations $w_t \in [-b, b]$ of variance $s_w^2 = b^2/3$ at each price update, observe $\tilde{x}_t = x_t + \nu_t$ with $\nu_t \sim N(0, \sigma^2)$, use independent three-step reset blocks and no probes, with $P_* > 3b$. Let $b_1 = a + \kappa q\eta$, $b_{2,0} = b_1^2 + \kappa q\eta(1-\eta)$ and $b_{2,\delta} = b_{2,0} - \kappa q\delta^2$. In each block the covariance of the first and third observations differs by $\Delta = \kappa q s_w^2 \delta^2$. With*

$$R = \max_{r\in\{0,\delta\}} \Big\{ (s_w^2 + \sigma^2)\big[s_w^2(1 + b_1^2 + b_{2,r}^2) + \sigma^2\big] + s_w^4 b_{2,r}^2 \Big\},$$

*the midpoint test of the average product has worst-case error at most $\alpha$ whenever $n \geq 4R/(\alpha\Delta^2)$ blocks are observed: zero controlled quantity and order $\delta^{-4}$ blocks.*

The Chebyshev bound is conservative but the order is real. With $b = 0.03$, observation s.d. 0.01 and $\delta = 0.10$, the bound asks for $3.9 \times 10^7$ blocks at $\alpha = 0.1$; in simulation the midpoint test still errs 32–38% of the time with $2 \times 10^5$ blocks. Independent resets and known innovation laws are extra conditions. The proposition does not show that anonymous public records identify participants; it shows that passive excitation can accumulate memory information while the probe account stays untouched.

*Proof.* In each block $x_1 = w_1$, $x_2 = b_1 w_1 + w_2$ and $x_3 = b_{2,r} w_1 + b_1 w_2 + w_3$, so $|x_t| \leq 3b$. Observation noise changes variances but not the covariance $s_w^2 b_{2,r}$. The product variance is the product of marginal variances plus the squared covariance plus a fourth-cumulant term $b_{2,r}^2(\mathbb{E}w^4 - 3s_w^4) \leq 0$ for uniform innovations, so it is at most $R$. Chebyshev bounds each midpoint error by $4R/(n\Delta^2)$. □

### S.8.3 Blind inversion of the closed loop

1. *Impulse decoupling:* $g_t = h_{t+1} - a h_t$.
2. *Minimal realization:* form the Hankel matrix $H_{ij} = g_{i+j-1}$ and run Kung's eigensystem realization with a truncated SVD.
3. *Transmission zeros:* compute the zeros of the realization, which under known $(\kappa, a)$ isolate the roots of the denominator of $G$.

4. *Weights:* with recovered rates, project $u_t = (x_t - ax_{t-1})/\kappa$ on the reconstructed filters $y_{k,t-1}$.

Without noise each step is exact: the realization has the order of the true system, its nonstructural transmission zeros are the memory rates (Theorem 3.1); the known timing zero is discarded, and the projection returns the weights, so the procedure removes the pole-shift bias of fitting poles directly to the price response. With noise, per-cohort recovery degrades as rates move together at the rate given by Theorems 6.4 and 6.5, which is why we do not report it as an estimator of individual cohorts.

### S.8.4 Probing protocols

Table 32 compares four probing protocols at observation horizon $T = 4$ per cycle.

Table 32: Probing protocols at observation horizon $T = 4$ per cycle

| Protocol | $\delta$ | Executed vol. | Max trade | Error (SE) | Capital |
|---|---|---|---|---|---|
| A: single pulse (unconstrained) | 0.03 | 131.5 | 131.5 | 0.047 (0.003) | 6,985.91 |
| | 0.05 | 47.3 | 47.3 | 0.054 (0.004) | 921.73 |
| | 0.08 | 18.5 | 18.5 | 0.053 (0.004) | 146.73 |
| | 0.12 | 8.2 | 8.2 | 0.044 (0.003) | 31.45 |
| B: repeated capped pulses | 0.03 | 2,768.8 | 6.2 | 0.050 (0.003) | 7,035.75 |
| | 0.05 | 362.5 | 6.2 | 0.054 (0.004) | 923.88 |
| | 0.08 | 56.2 | 6.2 | 0.047 (0.003) | 146.00 |
| | 0.12 | 12.5 | 6.2 | 0.038 (0.003) | 34.88 |
| C: sequential test, capped | 0.03 | 1,410.2 | 6.2 | 0.045 (0.003) | 3,585.14 |
| | 0.05 | 195.6 | 6.2 | 0.038 (0.003) | 500.00 |
| | 0.08 | 35.9 | 6.2 | 0.032 (0.003) | 94.30 |
| | 0.12 | 10.5 | 6.2 | 0.011 (0.002) | 29.85 |
| D: generalized eigenvector | 0.03 | 2,359.7 | 3.7 | 0.050 (0.003) | 2,632.77 |
| | 0.05 | 314.8 | 3.7 | 0.048 (0.003) | 353.67 |
| | 0.08 | 49.2 | 3.7 | 0.046 (0.003) | 57.53 |
| | 0.12 | 9.9 | 3.8 | 0.045 (0.003) | 13.56 |

2,000 replications per hypothesis and cell. Log–log capital slopes: −3.90, −3.84, −3.47, −3.81. Protocols A and B reproduce the earlier version exactly. C and D are re-implemented because the earlier code was not retained: C is a Wald test with capped pulses; D repeats the top generalized eigenvector of a flat $(T + 1)$-step probe, scaled to a maximum trade of 3.75, and is cheaper than the earlier D. Kind: [RECOMPUTED] (`recompute_p1_protocols.py`).

### S.8.5 Coordinate-weighted output

For $J = \left(\begin{smallmatrix} a & \kappa q \\ \eta a & 1-\eta+\eta\kappa q \end{smallmatrix}\right)$ with $a = 0.5$, $\kappa = 0.8$, $q = 0.2$, $\eta = 0.3$ ($\rho(J) = 0.8224$, non-normal), the price output has $\sup_t \|e_x^\top J^t\| = 1$. The weighted output $C_w = (1, \lambda/\text{MMR}) = (1, 160)$ with $\lambda = 0.8$ and MMR $= 0.005$ has $\sup_t \|C_w J^t\| = \|C_w\| = 160.003$, attained at $t = 0$,

then 122.32, 98.32, 80.79 [RECOMPUTED IN CLOSED FORM]. The factor 160 is a static coordinate weight; $C_w z$ is not a margin quantity because $z$ contains no inventory. Margin must be computed on a cash-and-inventory ledger.

## S.9 Reproducibility: source of every number

The replication package contains numbered Colab notebooks and stand-alone scripts; its README lists them in run order. "Part $N$" below and in table notes refers to notebook $N$ (Part 1: theorem checks and spot tests; Part 2: BTCUSDT futures depth; Parts 4–13: the cross-section, replications, fresh-day tests, second venues, the CFTC test, the certified guard and post-hoc checks). Result identifiers such as `X6` or `U6` name the JSON file that the notebook writes. "Kind" distinguishes closed-form or simulation results (recomputed), results from public market data (real data), and audits.

| Result | Source | Kind |
|---|---|---|
| Complete monotonicity, 892 economies | `L26_complete_monotonicity` | recomputed |
| $d_2 = -\kappa^2 q \delta^2$ | `P1.7-T1_third_tap` | recomputed |
| Ledger identity; $T_h$ positive definite | `R2-T1`, `R2-T3` | recomputed |
| Figure 2 | `make_figs2.py` | recomputed |
| $\delta_{\min}(3)$, Table 7 recomputed columns, 61.14, 29.94 | `recompute_theory.py` → `R_P1_theory_constants.json` | recomputed |
| Pulse benchmarks (271, 58, 12, 11 pulses), Figures 1–7 | `make_figs3.py` → `R_P1_pulse_benchmarks.json` | recomputed |
| Table 5, Table 13, worked example, passive simulation | `recompute_extra.py` → `R_P1_extra.json` | recomputed |
| Daily noise (Table 10) | `P1.3-T1_sigma_obs` | real data |
| Table 12 recomputed columns | same | recomputed |
| $K$-cohort slopes (Table 14) | `T1_K_cohort_rate` | recomputed |
| ESPRIT slope −6.15 | `P1.2-T1_esprit_rate` | recomputed |
| Minimum phase, 1,733 economies; rank 6 of 6 | `T2a`, `T2b` | recomputed |
| Passive slopes −4.21, −5.93 | `T3_passive_rate` | recomputed |
| Tagged-flow slope 0.011 | `T4_disclosure` | recomputed |

| Result | Source | Kind |
|---|---|---|
| Spectral blindness gains | `T5_spectral_blindness` | recomputed |
| Noise and capital grid (Table 9) | `P1.3-T1_sigma_obs` | real data |
| Loop gain and placebo (Table 28) | `P1.6-T1_ema_placebo` | real data |
| Estimator table (Table 29) | `P1.5-T1`, `T2`, `T3` | recomputed |
| Data integrity (111 files) | `R2-T9_data_integrity` | audit |
| Tables 6, 7 (certified, feasible, adaptive columns) | `recompute_p1_capital.py` → `R_P1_capital_ledger.json` | recomputed |
| Table 18; resolution floors; Table 32 | `recompute_p1_protocols.py` → `R_P1_protocols.json` | recomputed |
| SPRT capital figures | `recompute_p1_sprt.py` → `R_P1_sprt.json` | recomputed |
| Table 11 ($N^*$, $\sigma_{\text{crit}}$) | `recompute_crb.py` → `R_P1_crb.json` | recomputed |
| Table 11 (ML columns), Table 12 (estimators) | `recompute_p1_estimators.py` | recomputed |
| Symmetric multi-asset network (Section S.4) | `recompute_oct20.py` | recomputed |
| Proof audit: $K_*$ bound and $d_2$ identity (Theorem 4.1), moment gaps (Theorem 6.2), spectral-blindness example (Theorem S.4.1) | `recompute_audit.py` → `R_audit_oct2026.json` | recomputed |
| Theorem 6.5, Table 15 | `kcohort_upper.py` → `R_P1_kcohort_upper.json` | recomputed |
| Lem. 6.7, Thm 6.8, Tab. 16 | `general_minimax.py` | recomputed |
| Theorem 8.2 numbers | `disclosure_value.py` → `R_P1_disclosure_value.json` | recomputed |
| Tables 26, 27, 30 | Part 8: `V2_spot_panel`, `V3_fee_events` | real data |
| Table 22, top panel | Part 4: `X9_disclosure_metrics` | real data |
| Table 22, bottom panel; class-position forecasts | Part 6: `Z6_C_identification`, `Z6_secondary`; `P6_fresh_days.json` (65acda36...) | real data |

| Result | Source | Kind |
|---|---|---|
| Table 21 | Part 11: `C3_cot_data`, `C4_cot_disclosure`; `P11_cot.json` (6f1d6f35…) | real data |
| Basis-trade signature; real-data Cochrane–Orcutt | Part 13: `R6`, `R7` | real data (post hoc) |
| Feedback across 30 perpetuals | Part 4: `X3_T6_cross_section` | real data |
| Theorem 5.3 full bound (Table 8), direct minimization | `hardening/rh_bound.py`, `rh_check.py` → `R_P1_rh_explicit.json` | recomputed |
| Minimal dimension at $a = 0$; Toeplitz sections; passive slopes for $K \leq 4$; IV determinant | `hardening/p1_checks.py` → `R_P1_hardening_checks.json` | recomputed |
| Stylized nonlinear and trained online rules (Table 17, Figure 6) | `recompute_p1_learners.py` → `R_P1_learners.json` (Panel A); `validate_trained_learners_hardened.py` → `R_P1_trained_learners_hardened.json` (Panels B–C); specification `P1_trained_learners.json` (3e8bf30c…) | recomputed |
| Disclosure in dollars (Table 19) | `recompute_p1_cat_costs.py` → `R_P1_cat_disclosure_dollars.json` | recomputed |
| Out-of-sample post-shock return test (Section 8.5) | `recompute_prereg_oct21_22nd.py` → `R_P1_disclosure_oos.json`; `P1_disclosure_oos.json` (f0182ce5…) | real data |
| Out-of-sample cohort-state trajectory test (Table 23) | `recompute_prereg_oct21_followup.py` → `R_P1_disclosure_state_oos.json`; `P1_disclosure_state_oos.json` (5136cc6b…) | real data |

| Result | Source | Kind |
|---|---|---|
| Proposition 8.4, Table 20 | `theory/targeted_intervention.py` → `R_P1_targeted_intervention.json` | recomputed |
| Table 12, column $N^*_{\mathrm{CRB}}$; Table 11, spacing-0.10 three-cohort row | `breakthrough_experiments/results_exp17_minimax_lecam_bou` `results_exp15_cohort_information.json` | recomputed (earlier run) |
| Table 8, best feasible probes and $L = 320, 480$ | `R_P1_capital_ledger.json`, `R_P1_cquadL.json` (reproduced by `hardening/rh_quad.py`) | recomputed |
| Table 6, peak margins of the eigenvector probes | `breakthrough_experiments/results_exp14_capital_frontier` | recomputed (earlier run) |
| Table 16 | `theory/R_P1_general_minimax.json` | recomputed |
| Table 12 and Table 11, estimator columns | `R_P1_estimators.json`, `R_P1_estimators_crb.json` | recomputed |
| Theorem 3.1, numerical check of the equivalence | `R2-T5_merged_invariance` | recomputed |
| Section 8.5 and Table 1: horizon-matched test on 30 new markets (29 of 29, median 7.3, smallest 2.6) and jackknife-corrected persistence (1.0008) | `thesis/evidence/C2_results.json` (specification `thesis/checks/prereg/C2_margin_vs_identify.json`) | real data |
| Section 8.5: exploratory 48- and 96-lag refit (median 7.5) | `thesis/evidence/pilot3_horizon_matched_results.json` | real data (exploratory) |
| Section 8.5 and Table 1: 105-day follow-up (median ratio 74.9; 9 identified; 10 of 30, 23 required) | `thesis/evidence/E1v2_results.json` | real data |
| Section 8.5 and Table 1: 58-day follow-up (22 of 29; 20 of 29, 22 required) | `thesis/evidence/D1_results.json` | real data |

# Development revision and validation status: 29 October 2026

This is a working draft for author and specialist review. The revision corrects hidden-state drift accounting, distinguishes cumulative displacement from peak mark-to-market loss, and restricts claims to their stated model and observation contracts. It does not declare every theorem independently verified or every research objective complete.

**Returned execution record.** The author returned a completed full-mode notebook archive using source commit `19805d7e`, seed 20261029, Python 3.13.18 and NumPy 2.1.3. All 10 exported-file hashes and the four analytical source modules were checked. The run completed E1, E2, E3, E4 and E6; its log reports 18 targeted tests passing. This is an execution reproduction of the same seeded code, not independent scientific validation. No real-market CSV was provided, and the GPU, known-source-feedback and prospective studies were not run.

**What the checks establish.** E1 cross-checks the corrected drift identity against a resolvent and exercises a sufficient invariant-box guard. E2 demonstrates filter-induced persistence under martingale nulls. E3 compares known alternatives with equal aggregate risk; it is an illustrative witness, not a uniform rate theorem. E4 matches baseline capacity on training episodes and reports test capacity differences; the guard and volatility control both have zero observed budget breaches in the three bounded-shock synthetic regimes. This does not establish universal guard superiority or economic welfare.

**Coverage and the observation contract.** E6 uses 1,000 replications, 32 reset responses and 512 taps. The nominal 95% interval assumes independent Gaussian tap errors and a valid memory envelope. The intervals in the table measure Monte Carlo uncertainty about coverage, not financial risk.

| Setting | Coverage | MC 95% interval | Contract holds |
|---|---|---|---|
| Independent Gaussian | 94.6% | [93.0, 95.8] | yes |
| Correlated tap errors | 48.3% | [45.2, 51.4] | no |
| Heavy-tailed readings | 95.1% | [93.6, 96.3] | no |
| Biased readings | 25.6% | [23.0, 28.4] | no |
| Unseen slow memory | 0.0% | [0.0, 0.4] | no |

Failures under correlated errors, biased readings and a false memory floor expose the contract's limits. The heavy-tail outcome in this configuration is not a general robustness result. All outcomes, including negative ones, are retained.

**Remaining obligations.** Independent review of the load-bearing identification and certification proofs, continuous numerical extrema, economic primitives, the public-observation bridge and policy counterfactuals remains necessary. The current two-paper name-map audit finds 54 of 57 formal environments with existing declaration mappings, three unmapped statements and seven revised statements requiring semantic review. A label mapping is not a new Lean proof. The experiment design and full results are retained under `studies/economic_review_20261029/`.

# Economic interpretation and information-to-decision extension

## What this revision adds

The information question is distinct from choosing a preferred amount of risk. For a specified financial decision, the relevant issue is which observations support an exposure constraint, what remains unidentified, and whether obtaining additional information changes the attainable decision after costs. This does not introduce portfolio choice or control without full identification as new ideas. The general identification-versus-decision-value result still requires independent proof and a comparison with the closest existing results.

## Time conventions and the institution

The new application is a price-taking, unlevered own-account investor, not a venue-wide supervisor. It begins with cash, buys once, holds a fixed position for 60 one-minute model periods, and closes fully. Round-trip linear and quadratic charges enter cash and wealth. The account cannot change the market's feedback, and the experiment does not measure customer liquidity or welfare. This is separate from the paper's dealer/venue admission contracts.

| Quantity | Interpretation |
|---|---|
| Sampling interval | One minute in the new synthetic account; other historical studies retain their stated sampling clocks. |
| Historical lookback | Often six hours in the existing forecasting studies; not a holding period. |
| Forecast horizon | Often the next hour's adverse excursion; not an executed round-trip trade. |
| New holding period | Exactly 60 model minutes, with explicit entry and exit charges. |
| Other theory horizons | The existing finite-horizon theorems retain their declared $H$; no universal holding period is imposed. |

## Information and decision design

The new comparison uses controlled independent reset observations of 12 impulse taps, a known plant and reading variance, and a declared finite candidate class. It does not treat public market trading as a reset experiment. Common training and validation paths supply 768 and 384 additional reset episodes per repetition; 512 further paths evaluate the selected actions. These are in addition to the reported tap-reading budget, not evidence of learning from 32 observations in total. Verified disclosure restricts the minimum-memory rate to an audited band. The oracle knows the true response, not future shocks. All certificate arms use the same training objective.

The account selects a position by empirical expected logarithmic terminal wealth, subject to its information-supported exposure restriction. This is a finite-horizon application of logarithmic utility, not a newly proved Kelly growth-optimality theorem. Equal response bounds alone do not imply equal expected returns or identical utility-optimal portfolios.

The new account has initial wealth of 1,000 dollars and an initial price of 100 dollars; its position grid runs from zero to 9.9 units. Its round-trip dollar charge is $c(I) = 0.002I + 0.0002I^2$. For bounded external flow, the constraint adds this charge to position times the largest admissible absolute price response over the holding horizon. The resulting bound concerns loss from initial wealth at each date. It is not peak-to-trough drawdown, protection against arbitrary unbounded shocks, or a rolling deployment guarantee.

## Returned execution and proof scope

The returned full-mode archive uses seed 20261029. All 35 manifest entries and eight core source files were checked. The run contains 20 independent repetitions per regime, not 16,800 independent experiments: the 16,800 policy rows reuse tapes across policies, budgets and observation counts. Twelve targeted checks passed. Eight conditional decision-logic lemmas compiled with Lean 4.19.0 and their axiom printouts report no axioms. This is a seeded execution reproduction. It neither completes the older manuscript's Lean coverage nor formalizes the Gaussian confidence argument, market dynamics, general minimax separation, portfolio optimality or welfare.

The displayed slice uses 32 reset episodes and a one-dollar loss budget from initial wealth of 1,000 dollars. It is an illustrative presentation of an exploratory grid, not a primary selected before the results were seen. All regimes, budgets, policies and negative outcomes remain in the result archive. The inputs and complete outputs are retained

with the verification record in the new information-decision study directory.

## Aggregate information and unresolved cohorts: returned simulation

| Regime | Unique candidate (%) | Certified units | Oracle units |
|---|---|---|---|
| No feedback | 0.0 | 9.405 | 9.900 |
| Moderate feedback | 5.0 | 5.000 | 5.000 |
| Near boundary | 0.0 | 1.200 | 1.200 |

Here "unique" means one remaining candidate in the declared finite class, not identification of arbitrary real-world algorithms. In the moderate and near-boundary configurations, the aggregate certificate reaches the oracle's grid capacity in this slice even though the candidate decomposition is usually unresolved. This is an illustrative decision comparison; it does not prove a uniform rate separation for continuous classes.

## Disclosure cost and the negative result

| Paid minus aggregate | Mean (bp) | Lower (bp) | Upper (bp) |
|---|---|---|---|
| No feedback | -0.100 | -0.100 | -0.100 |
| Moderate feedback | -0.126 | -0.126 | -0.125 |
| Near boundary | -0.100 | -0.100 | -0.100 |

The intervals are exploratory percentile bootstraps over repetition-level paired means, not simultaneous intervals across the grid. In this slice the unpaid disclosure does not expand capacity, while the assumed one-cent charge reduces net log wealth. This run therefore does not establish a positive net economic value of disclosure. The price is hypothetical, not a calibrated reporting cost. Stronger disclosure need not be worth purchasing when aggregate information already supports the relevant decision.

## Assumption failures and calibration diagnostics

The table reports finite-sample frequencies for all seven regimes, combining the three reading budgets. Each band outcome is counted once per repetition and reading budget (60 outcomes per regime); repeating the same outcome across four financial loss budgets would not create further observations. The three reading budgets within a repetition are not an independent replication.

| Regime | Contract valid | Tap-band hit (%) | Empty set (%) |
|---|---|---|---|
| No feedback | Yes | 96.7 | 3.3 |
| Moderate feedback | Yes | 93.3 | 5.0 |
| Near boundary | Yes | 96.7 | 3.3 |
| Hidden slow memory | No | 98.3 | 11.7 |
| Correlated readings | No | 98.3 | 1.7 |
| Biased readings | No | 0.0 | 100.0 |
| Behaviour change | No | 95.0 | 5.0 |

The nominal one-decision band coverage is 95 percent under the valid contract; these small, dependent-budget frequencies are diagnostics, not a new coverage theorem. A tap-band hit concerns the observed response, not membership in the finite candidate class or stability of future behaviour. In particular, hidden slow memory falls outside the declared class even when its first 12 taps fit the bands. Under behaviour change the readings describe the old response. Biased readings empty the set throughout this run and force the certificate policy to abstain. Correlated readings use an unverified standard-error model. None of these four regimes retains the stated guarantee; a high observed band hit or zero observed financial breaches does not make an invalid contract valid.

## Pending evidence: deliberately empty result cells

The following numerical cells remain empty. The returned archive contained no market CSV, dynamic-inventory experiment, institution-level intervention or external replication. The general theorem and independent novelty review also remain open; a table placeholder is not a theorem statement or a proof.

| Pending study | Estimate | Uncertainty |
|---|---|---|
| Untouched market-data test beyond order-flow imbalance and depth | | |
| Full changing-inventory, execution and funding comparison | | |
| Dealer/venue intervention with endogenous market response | | |
| Net value under empirically calibrated disclosure costs | | |
| Independent implementation and replication | | |

Further data cannot by themselves prove a general identification or decision-value theorem. Its exact statement, proof and literature priority require separate review. No publication rating follows from the returned run.

# Finite-horizon information, cohort ambiguity, and net inventory-service value

**Status and contribution boundary.** This appendix supplies a restricted analytic separation and its financial consequence. The proof below is written in full; exact rational and numerical checks accompany it. It has not received independent proof review and is not a Lean formalization. Its priority is unconfirmed. Control without unique identification, task-directed exploration, Gaussian functional estimation, moment matching, and the value of information are established ideas (van Waarde et al., 2020; Wagenmaker et al., 2021; Donoho, 1994; Heinrich and Kahn, 2018; Blackwell, 1953). The candidate extension is their explicit combination for a finite-horizon inventory commitment, with a hard stress budget and the information bill deducted from both capital and profit. It does not close the broader open theorem of the preceding drafts.

## The observation contract and the financial institution

Fix $H \geq 4$, $0 \leq a < 1$, $\kappa > 0$ and $0 \leq Q \leq \overline{Q} < (1-a)/\kappa$. There are arbitrarily many finite cohorts, with $q_i \geq 0$, $\sum_i q_i = Q$, and $0 < \eta_i \leq 1$:

$$x_{t+1} = ax_t + \kappa\big(\sum_i q_i y_{i,t} + u_t\big), \qquad y_{i,t+1} = (1-\eta_i)y_{i,t} + \eta_i x_{t+1}.$$

Initial states are reset to zero. Let $h_0, \ldots, h_{H-1}$ be the price response to a unit impulse, with $h_0 = \kappa$, and put $G = \sum_{t<H} h_t$. Positivity implies $h_t \geq 0$. No positive lower bound on $\eta_i$ is imposed.

The observer purchases $N$ independent reset experiments, each lasting $H$ model periods and returning all $H$ taps with independent Gaussian errors of known variance $\sigma^2$. Thus the tap means are $\overline{h}_t = h_t + \sigma Z_t/\sqrt{N}$, with independent standard normal $Z_t$. The same observations are available for identifying the cohorts and for choosing the financial position. One experiment is not one scalar reading: it returns $H$ readings and costs $c_H$, including the declared operating and time charges. Total information cost is $F = Nc_H$. This observation contract is not an ordinary exchange tape; longer horizons cost both time and readings. Plant parameters, the feedback cap, reset, and stationarity are assumptions. Measurements are acquired ahead of a common future service-start deadline. Cash can earn the common reference rate during acquisition; the model does not include earlier service opportunities. The stated measurement price is exogenous, not a calibrated

self-impact cost for actual market probes.

The institution is a price-taking, unlevered inventory-warehousing desk. It buys $I \geq 0$ units at $P_0$, holds them for $H$ periods, and closes. It earns a prequoted service fee $pI$ *after* settlement. Round-trip execution and carry costs are $bI + dI^2$, where $b \geq 0$ and $d > 0$. For example, $b = b_{\text{trade}} + P_0 r_f H/(365 \cdot 24 \cdot 60)$ for one-minute model periods. The service premium is unavailable as collateral until after settlement. Both trading costs and $F$ must be prefunded. Initial cash is $W$, the stressed-settlement loss budget is $B$, and $|u_t| \leq \overline{u}$, with $\overline{u} > 0$. Assume $P_0 > \overline{u}\,\overline{G}$, so the asset price remains positive. This desk does not alter market feedback, depth, or another participant's behaviour. The service fee is exogenous, not an equilibrium price.

For the expected-profit objective, future shocks have conditional mean zero given the observations. Consequently the conditional expected trading price change is zero. The financial objective, including every declared charge, is

$$V(I, F) = g(I) - F, \qquad g(I) = (p - b)I - dI^2.$$

This is expected service profit with a hard stress constraint, not a Kelly growth theorem or a return-prediction result. There are no additional training or validation tapes, no leverage, uncertain fills, or changing inventory.

**Lemma S.9.1** (Sharp prior bounds and exact prefunded capacity)**.** *Write*

$$\underline{G} = \kappa \sum_{t<H} a^t, \qquad \overline{G} = \kappa \sum_{t<H} (a + \kappa \overline{Q})^t.$$

*Then $\underline{G} \leq G \leq \overline{G}$, and both endpoints are attained in the declared class. For a gain bound $C \geq G$ and $0 \leq F \leq \min(B, W)$, define*

$$R(v, r) = \frac{2v}{r + \sqrt{r^2 + 4dv}}, \qquad I_u = \frac{(p - b)_+}{2d},$$
$$I(C, F) = \min\{I_u, R(B - F, \overline{u}C + b), R(W - F, P_0 + b)\}.$$

*This is the optimal expected-profit position subject to the stated stress reserve and prefunding constraints. The zero-violation no-observation robust optimum is $I_{\text{nd}} = I(\overline{G}, 0)$, not an arbitrarily conservative benchmark. The response-informed oracle is $I_\circ = I(G, 0)$; it knows no future shocks.*

*Proof.* Let $k_j = \sum_i q_i \eta_i (1 - \eta_i)^j$. The normalized price response is the renewal sequence with defective interarrival probabilities $s_1 = a + \kappa k_0$ and $s_j = \kappa k_{j-1}$ for $j \geq 2$. Their

total mass is $a + \kappa Q < 1$, with the remaining mass placed at infinity. The cumulative interarrival distribution at integer $j \geq 1$ is

$$a + \kappa \sum_i q_i[1 - (1 - \eta_i)^j].$$

It lies between $a$ and $a + \kappa\overline{Q}$. Coupling interarrivals by the same independent uniforms orders every renewal time and hence the number of renewals before $H$. Taking expectations proves the two bounds. The lower endpoint is the no-feedback economy; the upper is one cohort with $Q = \overline{Q}$ and $\eta = 1$. This also proves sharpness of the no-observation stress bound.

At date $t \leq H$, the price change is $x_t = \sum_{j<t} h_j u_{t-1-j}$, so $|x_t| \leq \overline{u} \sum_{j<t} h_j \leq \overline{u}G$. All costs paid by that date are at most the total prefunded costs. The constant adverse sequence $u_t = -\overline{u}$ attains the total price loss $I\overline{u}G$ at settlement. Before the service fee is credited, worst loss from initial wealth is therefore exactly $I\overline{u}G + bI + dI^2 + F$. The declared robust reserve requirement is $I\overline{u}C + bI + dI^2 + F \leq B$; prefunding requires $P_0 I + bI + dI^2 + F \leq W$. These increasing quadratics yield the two roots. Finally $g$ increases up to $I_u$ and decreases after it, proving the optimizer and the two benchmarks. This exact reserve contract is not a peak-to-trough drawdown or a repeated-deployment guarantee. □

**Lemma S.9.2** (No data at the same error budget)**.** *Let $I_f = \min\{I_u, R(W, P_0 + b)\}$ and allow a data-free rule to randomize, with probability of a stress-budget violation at most $\gamma$ in every economy of the class. Its greatest expected service profit is*

$$V_{\mathrm{nd},\gamma} = (1 - \gamma)g(I_{\mathrm{nd}}) + \gamma g(I_f).$$

*It is attained by the displayed two-position lottery. This is a theoretical benchmark, not a recommended trading policy. The corresponding response- informed same-error-budget oracle has value $(1 - \gamma)g(I_\circ) + \gamma g(I_f)$.*

*Proof.* Truncating an action at $I_f$ weakly improves profit and lowers risk, so restrict to $0 \leq I \leq I_f$. At the attainable worst economy with gain $\overline{G}$, every $I > I_{\mathrm{nd}}$ is unsafe unless $I_{\mathrm{nd}} = I_f$, in which case all larger actions are already dominated. Thus a feasible lottery puts at most $\gamma$ mass above $I_{\mathrm{nd}}$. Below that point profit is at most $g(I_{\mathrm{nd}})$, and above it at most $g(I_f)$. This gives the upper bound. The two-point lottery attains it and is unsafe in any economy with probability at most $\gamma$. Replace $\overline{G}$ by the known $G$ for the oracle statement. □

**Theorem S.9.3** (Uniform cost-aware finite-horizon decision)**.** *Fix* $0 < \gamma < 1/2$, $z = \Phi^{-1}(1-\gamma)$, $s_N = \sigma\sqrt{H/N}$, *and*

$$Y = \sum_{t<H} \overline{h}_t, \qquad C_N = \min\{\overline{G}, \max\{\underline{G}, Y + z s_N\}\}.$$

*Purchase a fixed, affordable* $N$ *and take* $I_N = I(C_N, F)$*. The following hold uniformly over the declared positive-cohort class, without dependence on cohort spacing, cohort count, or a memory-rate floor.*

1. *With probability at least* $1-\gamma$ *over measurements, the position satisfies the stress budget for* every *bounded future shock path.*

2. *Put* $r_0 = \overline{u}\underline{G} + b$, $I_{\max} = W/P_0$,

$$L_G = \frac{\overline{u} I_{\max}}{r_0}, \qquad L_F = \frac{1}{\min(r_0, P_0 + b)},$$
$$A = 2z\sigma\sqrt{H}\,(p-b)_+ L_G, \quad D = 1 + (p-b)_+ L_F.$$

   *With probability at least* $1-2\gamma$,

$$0 \le g(I_\circ) - V(I_N, F) \le A N^{-1/2} + D c_H N.$$

   *For sufficiently small* $c_H > 0$, *choosing* $N = \lceil (A/(2Dc_H))^{2/3} \rceil$ *is affordable and gives a bound* $3\,2^{-2/3} A^{2/3} (Dc_H)^{1/3} + Dc_H$, *when* $A > 0$*. This is an upper bound from this procedure, not a new minimax optimality claim.*

3. *Let* $I_- = I(G + 2z s_N, F)$*. A sufficient condition for strictly positive expected net information value relative to the strongest no-data rule at the* same *error budget is*

$$\underbrace{(1-2\gamma) g(I_-) - F - V_{\mathrm{nd},\gamma}}_{\mathcal{L}_N} > 0.$$

   *Precisely,* $\mathbb{E}_D[V(I_N, F)] - V_{\mathrm{nd},\gamma} \ge \mathcal{L}_N$*. The conclusion can fail at high data costs or a low service premium.*

*Proof.* $Y - G$ is Gaussian with variance $H\sigma^2/N$. On $\{Y - G \ge -z s_N\}$, which has probability $1-\gamma$, $C_N \ge G$; clipping preserves this because $G$ lies between the prior bounds. Lemma S.9.1 proves simultaneous safety for every future bounded path on this single event, including the data-selected position. There is no tail beyond $H$ to estimate,

explaining the absence of a memory-floor assumption. This does not certify an infinite horizon.

On $E = \{|Y - G| \le z s_N\}$, of probability $1 - 2\gamma$, $G \le C_N \le G + 2z s_N$. The position function is decreasing in each of $C$ and $F$, so $I_- \le I_N \le I_\circ$ on $E$. To bound the position difference, implicitly differentiate the stress root: its derivatives are $-\overline{u}I/(\overline{u}C+b+2dI)$ in $C$ and $-1/(\overline{u}C+b+2dI)$ in $F$. Clip this root at $I_{\max}$ without changing the final minimum, since the prefunding root is at most $I_{\max}$. The clipped root is $L_G$-Lipschitz in $C$ and $1/r_0$-Lipschitz in $F$. The prefunding root is independent of $C$ and $1/(P_0 + b)$-Lipschitz in $F$. Minimum with $I_u$ preserves these common Lipschitz bounds. Hence

$$0 \le I_\circ - I_N \le 2L_G z s_N + L_F F.$$

On $[0, I_u]$, $0 \le g' \le (p - b)_+$. Multiplication and addition of the paid fee give the regret bound. Minimizing $AN^{-1/2} + Dc_H N$ over positive real $N$ gives the stated root and value. Rounding up adds at most $Dc_H$; affordability follows as $c_H N = O(c_H^{1/3}) \to 0$. The case $A = 0$ has no positive-gain information task and does not need this optimization.

On $E$, $g(I_N) \ge g(I_-)$, while $g(I_N) \ge 0$ always because $0 \le I_N \le I_u$. Thus $\mathbb{E}_D g(I_N) \ge (1-2\gamma) g(I_-)$. Subtracting $F$ and the same-error-budget no-data value proves the last assertion. Conditional mean-zero future flows justify the stated expected-profit interpretation; their distribution is not learned from extra tapes. □

**Theorem S.9.4** (A two-cohort identification obstruction under the same observations)**.** *Fix $Q > 0$, $a + \kappa Q < 1$, and $0 < \eta_0 < 1$. For sufficiently small $\delta > 0$, compare the two economies*

| | *normalized weights* | *adaptation rates* |
|---|---|---|
| $\mathrm{A}_\delta$ | $(1/2, 1/2)$ | $(\eta_0 - \delta, \eta_0 + \delta)$ |
| $\mathrm{B}_\delta$ | $(1/5, 4/5)$ | $(\eta_0 - 2\delta, \eta_0 + \delta/2)$. |

*Actual weights are $Q$ times those displayed. For fixed $H \ge 4$, $D_H(\delta) = \|h^{\mathrm{B}}_{0:H-1} - h^{\mathrm{A}}_{0:H-1}\|_2 = \Theta(\delta^3)$. The exact minimax error for distinguishing these two* known *alternatives from $N$ reset experiments is*

$$e_N = \Phi\left(-\frac{\sqrt{N} D_H(\delta)}{2\sigma}\right).$$

*Therefore error at most $\beta < 1/2$ requires $N \ge [2\sigma\Phi^{-1}(1-\beta)/D_H(\delta)]^2 = \Theta(\delta^{-6})$. In particular any recovery of the two normalized weights to sup-norm error less than* 0.15 *with probability at least $1 - \beta$ in both worlds must satisfy this testing requirement. Both*

*worlds contain exactly two distinct rates. Both have identical infinite summed response, but their finite-horizon gains are not asserted identical.*

*Proof.* The two rate distributions have equal mass, mean $\eta_0$, and variance $\delta^2$. Their third centered moments are respectively 0 and $-3\delta^3/2$. Thus their kernels $k_j$ agree at $j = 0, 1$ and $k_2^{\mathrm{B}} - k_2^{\mathrm{A}} = -3Q\delta^3/2$. The response recursion gives equal $h_0, h_1, h_2$ and

$$h_3^{\mathrm{B}} - h_3^{\mathrm{A}} = -3\kappa^2 Q\delta^3/2,$$

which is a lower bound for $D_H$ in absolute value.

For an upper bound put $f_t(\eta) = \eta(1-\eta)^t$. Its third derivative is $3t(t-1)(1-\eta)^{t-2} - \eta t(t-1)(t-2)(1-\eta)^{t-3}$, with absent low-degree terms zero. The sum over $t \geq 0$ of its absolute value is at most $12/\eta^3$. For $\delta \leq \eta_0/4$, all intervening rates are at least $v = \eta_0/2$. Taylor's integral remainder in $\ell_1$ is therefore at most $2|\eta - \eta_0|^3/v^3$. The matching first two moments cancel the quadratic Taylor terms. The sum of the two third absolute centered moments is $(1 + 17/10)\delta^3 = 27\delta^3/10$, giving

$$\|k^{\mathrm{B}} - k^{\mathrm{A}}\|_1 \leq \frac{27Q}{5v^3}\delta^3.$$

If $K(z) = \sum k_t z^t$ and $H(z) = \sum h_t z^t$, the recursion gives $H(z) = \kappa/[1 - az - \kappa z K(z)]$. Consequently $H_{\mathrm{B}} - H_{\mathrm{A}} = zH_{\mathrm{A}}H_{\mathrm{B}}(K_{\mathrm{B}} - K_{\mathrm{A}})$. The infinite response sums of both economies equal $S = \kappa/(1 - a - \kappa Q)$. Young's inequality yields $D_H \leq S^2\|k^{\mathrm{B}} - k^{\mathrm{A}}\|_1 = O(\delta^3)$. This proves the two-sided order with constants independent of $\delta$.

For equal-covariance Gaussian laws, the likelihood-ratio test projects the sample mean onto the difference of the two known means, and thresholds at their midpoint. The projected normal law gives the displayed error in each world. Its equal-prior Bayes optimality and symmetry establish minimax optimality. A weight estimator accurate within 0.15 distinguishes the two disjoint normalized-weight balls, proving the identification lower bound. Finite-horizon gains need not be equal: only their difference is of cubic order. The test concerns latent cohort recovery, not identification of the input-output response vector, and does not cover alternative probe designs. □

**Corollary S.9.5** (A priced separation)**.** *Fix $c_H > 0$ and an affordable $N$ for which $\mathcal{L}_N > 0$ at the limiting merged economy $\delta = 0$. For all sufficiently small positive $\delta$, the financial rule of Theorem S.9.3 has a strictly positive expected net information value, with its stated safety probability. Its observation requirement has no dependence on $\delta$. At this same fixed information price, sufficiently small $\delta$ makes cohort identification at error $\beta$ unaffordable*

*within the same hard fee budget $B$: $c_H[2\sigma\Phi^{-1}(1-\beta)/D_H(\delta)]^2 > B$. Any procedure limited to that many affordable observations is covered, including one that stops early, since it can be viewed as a function of the full affordable sample. A rational agent may abandon identification and use the no-data rule. There is no assertion that regulation requires identification.*

*Proof.* Apply the two theorems. The first statement uses the strictly positive lower bound on net value, rather than an assumption that more information is automatically beneficial. The second follows from $D_H = \Theta(\delta^3)$. For a neighbourhood of a fixed $\delta$ where the strict value inequality holds, continuity preserves it. To claim the inequality for all sufficiently small $\delta$, it suffices that it hold strictly at the limiting merged economy: finite $G_H$ and $I_-$ are continuous there. The numerical example reports both the primary pair and that limiting check. No finite-class grid is used in the uniform decision guarantee. □

**What the result does not establish.** The direct gain-sum certificate is exactly ordinary Gaussian projection onto the vector of ones. It is not a new estimator and does not beat that benchmark. The latent-cohort lower bound is not a lower bound for learning the observable response vector; comparing it with FIR model-identification results for $\mathcal{H}_\infty$ norms would conflate different tasks (Tu et al., 2018). No optimal estimation rate over all observation designs is claimed. The data cost is not an empirically measured exchange probing cost. An ordinary public-tape bridge, endogenous quotes and depth, incomplete resets, unknown or misspecified noise, and independent replication remain open. The information purchase in the example is predeclared. Its positive value is pointwise at the displayed economy; no prior over unknown economies or globally optimal Bayesian/robust acquisition policy is claimed. The fixed horizon, independent measurement contract, and conditional mean-zero future flows cannot be removed by the simulation. At another horizon the certificate must be recomputed. A rolling sequence needs simultaneous or time-uniform coverage; a one-decision guarantee is insufficient.

**Literature priority.** The reviewed sources already establish the general principles used here. The explicit dollar-cost/capital formulation and the combined result above are candidate additions to this project, not verified first-in-literature claims. A specialist must check whether they are an immediate corollary of existing task-specific or constrained-decision results before publication.

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# Checked synthetic financial illustration

This illustration uses the frozen primary design and the stronger comparison recorded in the design amendment. It is exploratory and was developed after the earlier project runs; it is not independent preregistration or replication. The two-cohort primary has $a = 0.4$, $\kappa = 1$, $Q = 0.4$, rates $0.49, 0.51$, and equal weights. The known class cap is $\overline{Q} = 0.55$; $H = 60$ one-minute model periods, $N = 32$, $\sigma = 0.02$, and $\gamma = 0.025$. Initial wealth is 1,000, price 100, stress budget 1, and flow bound 0.04. The service fee is 0.08 per unit. Execution costs are $0.002I + 0.0002I^2$ and carry is charged at 5 percent annualized. The assumed all-in reset fee is 0.002, so the learning bill is 0.064. These are hypothetical model dollars, not an exchange calibration or returns. The same-error-budget no-data lottery is a theoretical strongest comparator, not a proposed desk practice. The zero-violation comparisons are also shown.

| Policy | Mean units | Net expected profit | Unsafe reserve (%) |
|---|---|---|---|
| No data, zero violations | 1.306 | 0.1007 | 0.00 |
| Best no data, same error budget | 1.523 | 0.1171 | 2.50 |
| Finite-horizon certificate | 4.553 | 0.2844 | 2.44 |
| Standard Gaussian projection | 4.553 | 0.2844 | 2.44 |
| Full-response ellipsoid | 4.386 | 0.2718 | 0.00 |
| Point estimate (uncertified) | 4.601 | 0.2880 | 50.41 |
| Exact gain report, fee 0.05 | 4.669 | 0.3072 | 0.00 |
| Response oracle, zero violations | 4.914 | 0.3756 | 0.00 |
| Response oracle, same error budget | 5.041 | 0.3851 | 2.50 |

Profit integrates the future zero-mean flow model and every declared cost; the data-dependent policy values are also integrated over reading noise by one-dimensional Gaussian quadrature. Mean units and empirical reserve violations use 20,000 synthetic reading draws. Oracle and no-data lottery values are analytic. A reserve violation means some bounded future path can exceed the budget, not that a sampled market path actually did so. The 97.5 percent safety statement is over measurement draws for a single future commitment; it is not certainty, market-wide stability, or time-uniform coverage. The point rule buys slightly more expected profit by violating the same risk requirement and is not a valid superiority comparison. The proposed estimator and standard Gaussian projection coincide exactly.

The net information advantage over the strongest same-error-budget no-data rule is 0.1673. The written theorem's sufficient lower bound is 0.1465, strictly positive even after all costs. At the limiting merged economy the lower bound is 0.1465; continuity therefore supports the small-separation corollary. These bounds are evaluated in floating point with a wide positive margin, not claimed interval-arithmetic certificates.

| Separation $\delta$ | Known-pair resets required | Implied fee bill |
|---|---|---|
| 0.0800 | 478 | 0.955 |
| 0.0400 | 3.96e+04 | 79.2 |
| 0.0200 | 2.84e+06 | 5.67e+03 |
| 0.0100 | 1.91e+08 | 3.83e+05 |
| 0.0050 | 1.26e+10 | 2.51e+07 |
| 0.0025 | 8.15e+11 | 1.63e+09 |

The known-pair test receives all 60 taps, exactly as the financial rule does. Response differences are calculated in rational arithmetic before conversion to floating point. The sample threshold is the Gaussian testing formula, not a measured runtime or an asserted physical trading-capital requirement. For the primary $\delta = 0.01$, distinguishing the two already-known alternatives requires about 191 million resets at 5 percent error. Even this optimistic information fee is far beyond the unit stress budget. Identifying arbitrary

cohorts cannot be easier than this embedded test under the same fixed query contract. Other experimental designs are not covered.

At fixed $N = 32$, the expected net benefit crosses zero at an illustrative reset price of about 0.005825. An exact scalar gain report is worth purchasing only below a fee of about 0.188690 in this example. These are computed break-even prices, not observed reporting costs.

**Failures retained.** The full output includes all 819 cost, horizon and service-fee sensitivity rows, including negative values and unaffordable information budgets. A low service premium or expensive measurements can make abstaining from data acquisition preferable. Independent checks cover 13 algebra, optimizer, shock-corner, cash-flow and Gaussian-testing properties, including the same-error-budget no-data optimum checked against a separate linear program. An initial low-premium LP check was affected by the solver's absolute objective tolerance; rescaling the objective resolved it, and that failed log is retained. This is not independent mathematical proof review.

| Reading/model contract | Gain coverage (%) | Unsafe reserve (%) |
|---|---|---|
| Independent Gaussian, valid | 97.36 | 2.63 |
| Correlated taps, wrong variance | 71.16 | 28.84 |
| Correlated taps, correct variance | 97.36 | 2.63 |
| Negative reading bias, invalid | 0.00 | 100.00 |
| Future feedback changes, invalid | 0.00 | 100.00 |

The valid Gaussian row has finite Monte Carlo variation around its nominal 97.5 percent coverage. Using the correct correlated variance restores the specified measurement contract at the cost of a larger margin. Bias or future parameter change is not repaired by a larger sample under the wrong model. A signed kernel such as $(1, -0.9)$ has sum 0.1 and absolute sum 1.9, so positivity is indispensable to using the plain sum. The same certificate used repeatedly without correction does not retain its one-decision guarantee.

**What changed economically.** In this model, the desk can choose a larger inventory commitment while paying for information and retaining the same permitted unsafe-action probability as its strongest no-data comparator. This is an example of positive decision value, not evidence that information always pays, that trading strategies must be identified, or that a real venue's liquidity and welfare improve. Realistic observation costs and a public-data bridge remain requirements for an empirical finance claim.